BANDON HOLDINGS, LLC

Company Information

Transaction Summary

Date of Investment	July 2022
Source	Piper Sandler
Enterprise Value	$250.0 million
Total Investment	$135.0 million
Class A Units	$127.1 million
Class B Units	$7.9 million
Sentinel Capital Partners VI, L.P. Investment	$115.6 million
Class A Units	$115.6 million
Fully Diluted Ownership	74.9%
Sentinel Capital Partners VI-A, L.P. Investment	$9.0 million
Class A Units	$9.0 million
Fully Diluted Ownership	5.8%
Sentinel Capital Investors VI, L.P. Investment	$2.4 million
Class A Units	$2.4 million
Fully Diluted Ownership	1.5%
Transaction Multiple of EBITDA	8.6x
Debt as % of Enterprise Value	52.2%
Total Debt/EBITDA	4.5x

Business

Founded in 2012 and headquartered in Austin, Texas, Bandon is the largest Anytime Fitness franchisee, with 260 fitness clubs in 29 states and Australia, more than twice as many clubs as the next largest franchisee. Bandon operates with a substantial presence in Texas, Ohio, Indiana, Louisiana, Minnesota, and Florida. Bandon generates revenue from membership dues, personal training packages, biannual club enhancement fees, corporate partnerships, and initial membership down payments.

Franchisor Anytime Fitness, founded in 2002 and headquartered in Woodbury, Minnesota, is the largest fitness company in the United States, with more than 5,500 clubs in nearly 40 countries and territories. Anytime's share of the U.S. market is about 7.2%, with 2,301 of the estimated 32,000 fitness clubs. Anytime offers affordable fitness options that emphasize a broad array of equipment and services and unparalleled convenience for members, including 24-hour access. Fitness concepts typically differentiate themselves by price and amenities, but most gym users rate convenient location as their top criterion. In 2014, Anytime received a minority equity investment from Roark Capital Group, which remains a shareholder.

For franchisees, Anytime's small-box format with low buildout costs promotes attractive unit economics and return on investment. The Anytime Fitness prototype is 4,000–6,000 square feet staffed by three to five employees. The club will generally contain strength training machines, free weights, cardio equipment, and a functional training area.

Anytime Fitness competes in the $38 billion U.S. fitness and health club industry, which includes approximately 53 million end-users (club members). The industry is projected to grow approximately 5% annually through 2030. At the time of Sentinel's acquisition, revenue growth was expected to be driven by an ongoing shift towards greater health consciousness and prioritization by millennials, who are entering their peak spending years. Revenue growth was expected to outpace the growth in the number of gym members, driven by experience-enhancing add-ons, such as personal training, and increases in membership fees.

Anytime Fitness is a mid-tier, traditional gym. Members pay monthly dues of $40–50, similar to LA Fitness, 24 Hour Fitness, and Snap Fitness. Anytime Fitness also competes with high-volume, low-price (HVLP) concepts that charge $10–25 per month, led by Planet Fitness and Crunch Fitness, and premium competitors that charge $100 or more per month, like Lifetime Fitness and Equinox. Anytime Fitness most directly competes with other mid-tier gyms in small to midsize markets, whereas HVLP and premium-price gyms typically operate in larger markets. Bandon's focus on convenient locations in secondary and tertiary markets positions it to succeed in markets that are too small for HVLP competitors. Partly because Bandon favors non-urban locations, it was not forced to shut a single location during the worst of the Covid pandemic. By contrast, since March 2020 until Sentinel's investment in Bandon, approximately 15–20% of other fitness brands' clubs had permanently closed.

Bandon's unit economics at close were attractive—the $437,000 average capital outlay per club is modest compared to many key competitors, with each club typically generating revenue of $416,000, EBITDA margins of 39%, and cash-on-cash returns of 37%. The capital required to maintain the clubs is also low at an expected average of $8,000 per club per year, and the estimated refresh capex is $40,000 per club every five years. These appealing economics are a key element of the exceptional success of Anytime Fitness's franchising efforts. The Anytime Fitness system grew every year before the pandemic.

Bandon manages its clubs through a software system developed by ABC Fitness Solutions, a Thoma Bravo portfolio company and the premier provider of comprehensive SaaS health and fitness club management systems. ABC's systems allow Bandon to track membership counts, attrition, membership fees, and club enhancement fees for owned clubs. ABC is used throughout the Anytime Fitness system and has the capability to efficiently streamline the integration process for acquisitions. Personal training is managed through a separate system.

Bandon is the largest consolidator in the Anytime Fitness system, and its growth strategy is primarily based on acquiring other Anytime Fitness franchises. In 2018–2019, Bandon grew rapidly—it acquired 67 clubs and added $12.4 million of revenue and $4.3 million of club-level EBITDA. In 2020, constrained by the pandemic, Bandon added only 14 clubs. However, its acquisition pace rebounded in 2021, with Bandon adding 46 clubs, $17.6 million of revenue, and $5.7 million of club-level EBITDA. The elevated acquisition pace continued in 2022, with Bandon acquiring another 54 clubs. When Sentinel invested, Bandon had a large pipeline of acquisition candidates available at highly accretive multiples of 2.5–3.5x EBITDA. Bandon completed its historical acquisitions at a blended multiple of 3.0x EBITDA, in line with target pricing levels established by the franchisor.

Bandon is an asset-light business with attractive free cash flow and an impressive return on net invested capital. When we invested, Bandon employed $28.0 million of tangible capital and generated $29.0 million of EBITDA, which produced an impressive 103.5% return on net invested capital.

Investment Rationale

Sentinel invested in Bandon based on (i) the favorable growth trends in the fitness and health industry; (ii) Anytime Fitness's strong market position as the largest global fitness franchise; (iii) its leadership position as the largest franchisee in the Anytime Fitness system and only acquiror of scale; (iv) a large pipeline of acquisition targets at highly accretive valuation multiples; (v) its fortress position in secondary and tertiary markets; (vi) its strong unit economics and low capital expenditure requirements; (vii) attractive valuation multiples in the fitness space; and (viii) its well-aligned, highly capable, and committed management team with a record of success.

Transaction Background

Bandon was previously owned by private equity firm Growcore Investments. In late 2021, having owned Bandon for about four years and after successfully navigating Covid-related shutdowns, Growcore hired midmarket investment bank Piper Sandler to manage a sale. Piper Sandler, with whom Sentinel has worked on many buyside and sellside transactions, invited Sentinel into the process. Sentinel was chosen because of our significant experience investing in the franchise industry, the strong chemistry we developed with management, our record of helping similar businesses scale rapidly through acquisitions, and Piper Sandler's confidence that we would close a transaction quickly and on the agreed terms. Three members of Bandon's management invested $7.9 million alongside Sentinel.

On July 27, 2022, Sentinel acquired Bandon for $250.0 million, or 8.6x trailing 12-month adjusted EBITDA, which is reduced to 8.3x after adjusting for the estimated present value of the tax shield. We consider this an attractive valuation for the only acquiror of scale in a growing fitness club system with a strong financial profile and talented management team. Total funds required at closing, including transaction expenses and other purchase price adjustments, were $268.2 million. To finance the transaction, Sentinel secured a $190.5 million senior credit facility led by First Eagle, with Manulife, Maranon, Stifel, and Webster participating. The senior facility consists of a $10.0 million revolver, undrawn at closing; a $130.5 million senior term loan; and a $50.0 million delayed-draw term loan. At the closing, net debt to EBITDA was 4.5x.

To complete the transaction, Sentinel led a $135.0 million equity financing, of which Sentinel VI invested $127.0 million and management and other coinvestors $8.0 million. Sentinel established a time- and performance-based incentive unit pool for management and other key employees as an opportunity to participate meaningfully in the upside rewards. The incentive pool represents 12.5% of fully diluted ownership.

Sentinel owns a controlling interest in Bandon and has the right to designate a majority of its board of directors. Trevor Anderson and Michael Fabian are directors. Also serving on the board are Bandon's two cofounders and CEO.

Performance

For Bandon, 2022 was highly productive. For the year, Bandon acquired 54 clubs with $25.1 million of sales and $10.3 million of EBITDA. The average purchase multiple was a highly accretive 2.9x EBITDA. All acquisitions were financed with cash on hand and debt. Bandon ended 2022 with 229 clubs across 26 states, up from 213 clubs and 24 states at the July closing.

Bandon performed well from the 2022 closing through the end of 2022. For the full year, revenue rose 68.4% year-over-year to $101.5 million, and EBITDA was $30.7 million, up 76.0%. As of December 31, 2022, Bandon's total net debt to EBITDA was 4.4x, down from 4.5x at the closing.

In 2023, Bandon continued its acquisition program. Bandon acquired 32 clubs in 2023, including five in Australia, that generated combined annual revenue of $16.6 million and EBITDA of $7.3 million. In aggregate, the enterprise value of the 32 acquired clubs was $30.3 million, which represented a highly accretive 4.2x EBITDA. The acquisitions were funded with a mix of cash on hand and incremental senior debt. Bandon also opened four de novo clubs in 2023. Bandon ended the year with 262 clubs in 30 states and Australia, up from 229 clubs in 26 states the prior year-end.

Bandon's financial performance in 2023 was mixed. Including a full year of ownership of all acquired clubs, revenue was $118.2 million, up 16.5% from the prior year, and EBITDA rose 13.4% to $34.8 million. Clubs acquired in the year contributed most of the topline increase, with same-store sales down 1.0% over 2022, primarily because of declines in personal training. EBITDA gains were partly offset by Bandon's investment in professionalizing and ramping its personal training program. As of December 31, 2023, Bandon's total net debt to EBITDA was 4.6x, up from 4.4x the prior year.

In June 2024, Sentinel appointed Michael Abt as CEO to succeed the cofounders. As the former CEO of Sentinel IV portfolio company Huddle House, Mr. Abt brings a successful record of having worked with a private equity firm and deep multi-unit leadership experience. Bandon acquired four clubs in 2024, including three in Australia, that generated combined annual revenue of $3.7 million and EBITDA of $2.0 million. In aggregate, the enterprise value of the four acquired clubs was $7.6 million, for a highly accretive 3.8x EBITDA. The acquisitions were funded with cash on hand and incremental senior debt. Bandon ended the year with 265 clubs in 30 states and Australia.

Bandon's financial performance in 2024 was below plan. Including a full year of ownership of all acquired clubs, revenue increased 2.8% year-over-year to $121.6 million, and EBITDA was $35.3 million, up 1.4%. Price increases and acquired clubs drove topline growth, partly offset by a 0.7% year-over-year decrease in same-store sales due to membership declines and lower personal training revenue. EBITDA growth lagged sales growth because of higher operating expenses. As of December 31, 2024, Bandon's total net debt to EBITDA was 4.7x, up from 4.6x the prior year.

For Bandon, 2025 was another challenging year. Entering 2025, U.S. membership was 11.7% lower than in January 2024, which negatively affected comparable performance. Management focused on attracting new members by increasing marketing spend, improving member satisfaction and retention, and selling personal training packages. While these initiatives significantly slowed the rate of membership attrition, sales and profitability continued to decline. Revenue decreased 3.0% year-over-year to $117.9 million, and EBITDA declined 25.3% to $26.4 million. The performance decline resulted in a covenant breach in the second quarter, followed by a forbearance agreement extending through February 2026. As of December 31, 2025, net debt to EBITDA was 6.4x, up from 4.6x the prior year.

We are concerned about Bandon's near-term prospects. Ongoing membership declines are expected to continue to weigh on performance, and while management has slowed attrition, the down-trend has not yet reversed. In parallel, we have initiated discussions with lenders regarding a comprehensive debt solution to provide additional liquidity and extend the runway for management to complete a turnaround. Such a solution would likely require follow-on equity financing, a decision the Partnership expects to face in the coming weeks.

Investment Information

	SCI VI	SCP VI	SCP VI-A	Total
Date of Initial Investment	July 2022			
Amount of Initial Investment	$2,371,755	$115,607,387	$9,020,858	$127,000,000
Monitoring Role	Active – Majority Control of Board of Directors			
% Ownership	1.5%	74.8%	5.8%	82.2%

12/31/2025 Holdings/Valuation

	Principal Amount or # of Shares	Cost: Average per Share	Cost: Total	Estimated Value: Average per Share	Estimated Value: Total
Sentinel Capital Partners VI, L.P.					
Class A Units	115,607,387	$1.00	$115,607,387	$0.39	$45,457,886
Sentinel Capital Partners VI-A, L.P.					
Class A Units	9,020,858	$1.00	$9,020,858	$0.39	$3,547,084
Sentinel Capital Investors VI, L.P.					
Class A Units	2,371,755	$1.00	$2,371,755	$0.39	$932,596

Financial Information (000's)

	Year Ending December 31, 2019	2020	2021	2022	2023	2024	2025
Revenue	$29,114	$42,658	$60,262	$101,475	$118,235	$121,592	$117,946
Adjusted EBITDA	$7,402	$12,406	$17,433	$30,691	$34,817	$35,305	$26,371

Balance Sheet as of December 31, 2025

Assets		Liabilities	
Current Assets	$16,922	Current Liabilities	$29,669
PP&E, net	57,764	Other Liabilities	92,146
Other Assets	248,330	Long-Term Debt	183,747
		Stockholders' Equity	17,454
Total Assets	$323,016	Total Liabilities and Equity	$323,016

Valuation Rationale

Bandon significantly underperformed in 2025. As of December 31, 2025, Sentinel continues to value Bandon at the same 8.6x EBITDA multiple we paid for the business, unchanged from the prior year. After adjusting for net debt outstanding as of December 31, 2025, Sentinel is valuing the Partnership's Class A units at $0.39 per share. The total value of the Partnership's holdings is therefore $49.9 million, or 0.4x cost and down 60.0% from the prior year.

Bandon Holdings, LLC
12/31/25
($000, except per-share calculations)

	Valuation - Fair Value			
	SCP VI	SCP VI-A	SCI VI	Total
Trailing 12 Month Adjusted Revenue	$117,946	$117,946	$117,946	$117,946
Trailing 12 Month Adjusted EBITDA	$26,371	$26,371	$26,371	$26,371
Valuation Multiple	**8.6x**	**8.6x**	**8.6x**	**8.6x**
Enterprise Value	$227,283	$227,283	$227,283	$227,283
Less: Senior Debt	(183,747)	(183,747)	(183,747)	(183,747)
Plus: Cash	13,852	13,852	13,852	13,852
Less: MI Attributable to Aus Subs.	(4,295)	(4,295)	(4,295)	(4,295)
Subtotal	(174,190)	(174,190)	(174,190)	(174,190)
Gross Equity Value	$53,093	$53,093	$53,093	$53,093
Value of Class A Equity	49,977	49,977	49,977	49,977
Value of Class B Equity	3,116	3,116	3,116	3,116
Value of Class C Equity	0	0	0	0
# Class A Units Outstanding	127,100,000	127,100,000	127,100,000	127,100,000
# Class B Units Outstanding	7,925,000	7,925,000	7,925,000	7,925,000
# Class C Units Outstanding	6,307,407	6,307,407	6,307,407	6,307,407
Value per Class A Unit	$0.39	$0.39	$0.39	$0.39
Value per Class B Unit	$0.39	$0.39	$0.39	$0.39
Value per Class C Unit	$ -	$ -	$ -	$ -
SCP VI Investment Valuation				
# Class A Units owned by SCP VI	115,607,387	9,020,858	2,371,755	127,000,000
Value of SCP Class A Units	$45,458	$3,547	$933	$49,938
Value of Investment	**$45,458**	**$3,547**	**$933**	**$49,938**
Cost of SCP VI's Investment	$115,607	$9,021	$2,372	$127,000
Times Original Investment SCP VI	0.4x	0.4x	0.4x	0.4x
Original Transaction Multiple (EBITDA)	8.6x	8.6x	8.6x	8.6x

BRIDGEVIEW EYE PARTNERS[1]

Company Information

Transaction Summary

Original Platform Investment

Date of Investment	August 2021
Source	Physician Growth Partners
Enterprise Value	$170.0 million
Total Investment	$101.5 million
Class A Units	$81.8 million
Class B Units	$19.7 million
Sentinel Capital Partners VI, L.P. Investment	$71.0 million
Class A Units	$71.0 million
Fully Diluted Ownership	61.2%
Sentinel Capital Partners VI-A, L.P. Investment	$5.5 million
Class A Units	$5.5 million
Fully Diluted Ownership	4.8%
Sentinel Capital Investors VI, L.P. Investment	$1.5 million
Class A Units	$1.5 million
Fully Diluted Ownership	1.3%
Sentinel Capital Solutions I, L.P. Investment	$11.1 million
Class A Units	$1.9 million
Subordinated Debt	$9.3 million
Fully Diluted Ownership	1.6%
Transaction Multiple of EBITDA	11.7x
Debt as % of Enterprise Value	47.8%
Total Debt/EBITDA	5.4x

Follow-on Investments

Date of Investments	Jun, Dec 2022; Mar, Jun 2023
Enterprise Value	$113.8 million
Total Investment	$52.3 million
Common Stock	$52.3 million
Sentinel Capital Partners VI, L.P. Investment	$21.2 million
Common Stock	$21.2 million
Fully Diluted Ownership	56.5%
Sentinel Capital Partners VI-A, L.P. Investment	$1.7 million
Common Stock	$1.7 million
Fully Diluted Ownership	4.4%
Sentinel Capital Investors VI, L.P. Investment	$0.4 million
Common Stock	$0.4 million
Fully Diluted Ownership	1.2%
Sentinel Capital Solutions I, L.P. Investment	$10.2 million
Common Stock	$0.5 million
Mezzanine Delayed-Draw Term Loan Commitment	$7.4 million[2]
Subordinated Debt	$2.3 million
Fully Diluted Ownership	1.4%

[1] Legal name: Midwest Eye Services Holdings, LLC.
[2] Unfunded as of June 2022 closing; fully funded as of 12/31/25.

Business

Bridgeview Eye Partners, headquartered in Wabash, Indiana, provides management services to one of the largest networks of integrated eye care services in Indiana, Nebraska, Ohio, and Oklahoma. Bridgeview's affiliated optometry and ophthalmology practices provide the full spectrum of eye care to their patients, including primary care, surgical services, LASIK, and prescription eyewear. As of the closing, these practices operated in 54 locations primarily in rural and secondary markets and employed more than 74 healthcare specialists. Since its inception 45 years ago, Bridgeview has completed 61 highly accretive acquisitions and invested meaningfully in infrastructure to support growth via acquisition. As a management services organization ("MSO"), Bridgeview does not engage in the practice of medicine—instead, it provides affiliated practices with business support and administrative functions.

Bridgeview was known as Midwest Eye Consultants before 2022, and the Midwest name is still used for affiliated eye care practices in Indiana and Ohio, where the brand has a longstanding presence. The Bridgeview brand was chosen to better position the company as a national, vertically integrated, acquisitive eye care platform.

Bridgeview operates in the $17.6 billion optometric services and $13.0 billion ophthalmologic services industries, from which it derived 69% and 31%, respectively, of its revenue as of the closing. Optometric services is a highly fragmented and consolidating market. Of the approximately 39,000 optometrists in the United States, 74% operate independently. Two powerful trends are driving demand for eye care services—an aging U.S. population and heavy and growing use of computer screens that are harmful to eyes. Optometric services were expected to grow at a 3% CAGR annually, and ophthalmologic services, at a 5% CAGR through 2026. As of the closing, Bridgeview was the largest player in Indiana and northwest Ohio, which have an addressable market of $726 million representing ~2,400 optometrists. In a steady and fragmented industry, Bridgeview is well positioned to accelerate its growth.

Descriptions of Bridgeview's business segments follow.

Primary Care (59% of revenue at closing). Bridgeview's 100+ optometrists and 54 primary care locations see more than 330,000 patients annually. Services offered include eye exams, refractive testing, dry eye treatment, diabetic eye exams, pediatrics, glaucoma treatment, cornea treatment, and opticalwear sales (glasses, lenses, and contacts). Optometrists are equipped to handle light medical treatments and optical diagnostics. In primary care, as of closing, 51% of revenue is cash pay and 49% is paid by insurance.

Surgical Care (31% of revenue at closing, including ambulatory surgery center ("ASC") facility fees representing 12% of Bridgeview's revenue). In this segment, Bridgeview annually serves more than 130,000 patients and performs more than 65,000 surgeries, including cataract surgery, cornea and glaucoma procedures, retina surgery, strabismus surgery, LASIK surgery, and cosmetic surgery. Surgeries are performed by 12 ophthalmologists who operate in nine owned ASCs, 12 owned surgical clinics, and a network of third-party surgery centers. As of the closing, 64% of surgical referrals were from Bridgeview optometrists, with the rest coming from approximately 400 independent optometrists who trust Bridgeview to handle their surgery referrals. As of the closing, 38% of surgical revenue was cash pay, 36% Medicare, 6% Medicaid, and 20% commercial insurers.

Optical Lab (10% of revenue at closing). Through its optical lens lab, Bridgeview fulfills more than 95,000 jobs annually. Bridgeview captures a significant portion of the value chain by keeping lens production in-house and sells its manufactured lenses to its primary care clinics at prices similar to those charged by third-party labs. Optical lab services include lens design, lens manufacturing, lab dispensing, designer frames, accessories, and anti-reflective coatings.

As of the closing, Bridgeview generated 91% of its revenue in Indiana and 9% in Ohio. The Wabash, Indiana headquarters (~7,000 square feet) housed a 31-person billing and collections department, a 28-person call center, and marketing and finance functions.

Bridgeview's regional market leadership provides financial and operational benefits. As the largest integrated eye care practice in Indiana, Bridgeview enjoys negotiating power with payors and vendors (including equipment suppliers and medical malpractice insurers), and it leverages advertising across multiple locations. Operationally, the proximity of Bridgeview's offices to each other enables its clinical leadership to maintain close oversight of optometrists, surgeons, and office managers and allows management to efficiently monitor each location's performance. Because of its scale, Bridgeview can also manage payors, process claims, and ensure regulatory compliance more effectively than single-office or small-group practices.

Bridgeview has a balanced and attractive mix of payors, with cash pay making up 25% of 2025 revenue. Medicare accounted for 26% of total revenues, vision plans 11%, Medicaid 8%, and other commercial insurers 30%. VSP, the leading vision insurance company in the United States, is a key payor for the primary care segment, making up 10% in 2025.

Bridgeview's mix of surgical referral sources is well diversified, with 64% of referrals coming from Bridgeview primary care clinics and 36% from external optometrists as of the closing. Bridgeview has built a strong brand name and takes advantage of the significant brand awareness to drive primary-care patients to its higher-producing surgical clinics and ASCs—an optometry-led business model that is unique in the industry. The lower-cost optometry clinics also allow Bridgeview to test the efficacy of new regions without the high initial investment of a surgical clinic or ASC.

Central to Bridgeview's success has been its ability to recruit and retain top-quality optometrists and ophthalmologists. Bridgeview continues to attract optometrists and ophthalmologists from top fellowship programs in its geographic markets. Bridgeview leverages its strong relationship with the Indiana School of Optometry, one of the top optometry schools in the country. Optometrists are attracted to the Bridgeview platform because they (i) can lead their practice without the high startup cost of buying or starting their own practice, (ii) are freed of the administrative burdens of smaller practices, (iii) have a consistent source of patient referrals from Bridgeview's brand recognition and marketing, and (iv) can focus on medical optometry rather than optical sales. Optometrists are heavily involved in their communities, interacting with more than 30,000 patients per year and serving as the first point of contact for all eye care needs. In rural areas, patients often turn to their optometrists for eye care, which positions optometrists as a key source for surgery referrals. Bridgeview's ophthalmologic surgeons can optimize their surgical load, productivity, and compensation by accessing Bridgeview's referral sources and by moving nonsurgical treatment, such as pre-op and post-op care, to optometrists or non-surgeon eyecare professionals.

Having acquired and successfully integrated 61 accretive add-ons, Bridgeview has a proven ability to grow via accretive acquisitions. Bridgeview's excellent reputation, established platform, and strong doctor-management relationships well position it to execute more add-ons.

Before Sentinel's investment, Bridgeview experienced several years of steady sales growth and impressive profit growth. From 2018 to the 12 months ending June 30, 2021, net revenue grew from \$82.6 million to \$91.1 million, a CAGR of 4.0%, and adjusted EBITDA grew from \$8.6 million to \$14.5 million, a CAGR of 23.3%. During the Covid-19 pandemic, Bridgeview had to close its clinics from late March 2020 through early May 2020. After the shutdown, Bridgeview experienced robust pent-up demand for the next few months, eventually stabilizing at or above pre-Covid levels.

Bridgeview is an asset-light business that generates high free cash flow and produces an impressive return on net invested capital. When we invested, Bridgeview employed $7.3 million of tangible capital and generated $14.5 million of EBITDA, which produced an impressive 199.1% return on net invested capital.

Investment Rationale

Sentinel invested in Bridgeview based on (i) its market leadership in Indiana and northwestern Ohio; (ii) a favorable growth outlook for the eye care industry; (iii) the intrinsic recession resilience of its core business; (iv) its optometry-led model that provides for the full spectrum of coordinated eye care, from diagnosis to surgery in owned ASCs; (v) the opportunity to grow through strategic add-ons at accretive multiples; (vi) strong financial momentum; (vii) attractive free cash flow conversion and high return on invested capital; and (viii) its highly experienced and committed management team, who invested meaningfully alongside Sentinel.

Transaction Background

Before Sentinel's investment, Bridgeview was majority-owned by its founding doctors. The original founder, Dr. Greg Garner, had stepped away from day-to-day operations several years earlier and wanted to fully exit the business. In 2021, Bridgeview hired Physician Growth Partners, a midmarket healthcare investment bank, to find a financial partner who could recapitalize the company and position it as a platform to continue consolidating its highly fragmented industry.

Even though our bid was not the highest, management chose Sentinel because of our relevant experience rapidly scaling healthcare companies that operate in fragmented industries, the strong chemistry we developed with management, and our history of working productively with founders. Sentinel sponsored the transaction and arranged the debt financing.

On August 20, 2021, Sentinel acquired Bridgeview for an enterprise value of $170.0 million, or 11.7x trailing 12-month adjusted EBITDA, which is reduced to 10.1x after adjusting for the estimated present value of the tax shield. The purchase price included a $6.0 million escrowed earnout, which was paid to the sellers in 2021. We believe this is an attractive entry multiple for a leading multi-unit healthcare services platform with strong free cash flow characteristics, a scalable platform for accretive consolidation in a highly fragmented industry, and a talented and committed management team whose interests align closely with Sentinel's.

Total funds required at closing, including transaction expenses, the pre-funded VSP escrow, and other purchase price adjustments, were $181.4 million. To finance the transaction, Sentinel secured $70.0 million of senior debt from Churchill consisting of a $10.0 million undrawn revolver and a $60.0 million senior term loan. Sentinel also raised $18.8 million of 10.5% mezzanine debt (with 1% optional PIK) led by GMB ($9.5 million), with Sentinel Capital Solutions I ($9.3 million) participating on the same terms. At the closing, total net debt to EBITDA was 5.2x; funded senior debt to EBITDA was 4.1x; and mezzanine debt to EBITDA was 1.3x.

To complete the transaction, Sentinel structured a $101.4 million equity financing, of which Sentinel VI invested $78.0 million, GMB Mezzanine $1.9 million, Sentinel Capital Solutions I $1.85 million, and management $19.7 million. Sentinel established a time- and performance-vesting incentive unit pool for non-doctor management and other key employees as an opportunity to participate meaningfully in the upside rewards. Sentinel also offered the opportunity for doctors to purchase leveraged equity at fair market value. These two offerings represent 12.5% of fully diluted ownership.

Sentinel owns a controlling interest in Bridgeview and has the right to designate a majority of its board of directors. Michael Fabian, Josh Garrett, and Paul Murphy are directors. Bridgeview's CEO, Executive Medical Director, Chief Medical Officer, and President/COO also serve on the board. Dr. Marc Loev and Jim Robinson, former executives of Sentinel IV portfolio company National Spine & Pain, serve on the board as outside directors.

Performance

Bridgeview's performance was strong in the four months following the August 2021 closing. For the full year 2021, revenue increased 13.7% year-over-year to $91.7 million, and EBITDA rose 63.8% to $15.3 million. Bridgeview's growth was driven by increased surgical volumes and associated ASC fees. As of December 31, 2021, Bridgeview's total net debt to EBITDA was 4.9x, down from 5.2x at the closing, and mezzanine debt to EBITDA was 1.2x, down from 1.3x at closing.

Bridgeview made good progress in 2022, completing three accretive add-ons totaling five practices in Indiana, Ohio, and Oklahoma with combined revenue of $35.7 million and adjusted EBITDA of $9.3 million for the 12 months prior to their closings. Bridgeview paid $93.6 million for the three add-ons, an accretive 10.0x adjusted EBITDA, and financed them with incremental senior and mezzanine debt and follow-on equity. We raised a $27.0 million incremental term loan and $45.0 million delayed-draw term loan led by Churchill, with Audax, Manulife, and Siemens participating. We also raised an incremental mezzanine tranche of $4.7 million and a $15.0 million mezzanine delayed-draw term loan led by GMB ($7.6 million), with Sentinel Capital Solutions I ($7.4 million) participating on identical terms. Sentinel led a $39.5 million follow-on equity financing, of which Sentinel VI invested $17.1 million, Sentinel Capital Solutions I $0.4 million, selling shareholders $17.6 million, and Bridgeview's existing doctors and shareholders $4.8 million.

While Bridgeview grew substantially through acquisition, organic growth in 2022 lagged plan. Pro forma for the acquisitions, revenue declined 3.8% from 2021 to $124.6 million, and EBITDA fell 11.4% to $21.4 million. The causes of the sharper EBITDA decline included investments in non-clinical personnel to support growth and inflation in certain clinical cost categories. As of December 31, 2022, Bridgeview's net debt to EBITDA was 6.1x, up from 4.9x the prior year.

For Bridgeview, 2023 was highly productive. Bridgeview completed four accretive add-ons—three optometry practices totaling seven clinics and 18 optometrists and one surgical practice with a new ASC near Indianapolis. For the 12 months before their closings, total revenue for the four add-ons was $27.5 million and adjusted EBITDA was $5.2 million. Bridgeview paid a total of $46.1 million for the four add-ons, an accretive 8.9x adjusted EBITDA, and financed them with $30.0 million of incremental senior and mezzanine debt and $16.0 million of follow-on equity, of which Sentinel VI invested $6.6 million, Sentinel Capital Solutions I $0.1 million, selling shareholders $9.2 million, and Bridgeview's existing doctors and shareholders $0.2 million.

Performance in 2023 was strong—pro forma for the four add-ons, revenue increased 3.3% year-over-year to $154.2 million, and EBITDA rose 5.3% to $26.7 million. The revenue increase was fueled by strong growth in Bridgeview's base business and the 2022 and 2023 add-ons. EBITDA grew despite SG&A investments and inflationary pressures on operating expenses. As of December 31, 2023, Bridgeview's net debt to EBITDA was 5.6x, down from 6.1x the prior year.

For Bridgeview, 2024 was another productive year. Bridgeview completed six accretive add-ons—four optometry practices with four clinics and 10 optometrists and two surgical practices with ASCs in

Nebraska and Indiana. For the 12 months before their closings, total revenue for the six add-ons was $18.6 million and adjusted EBITDA was $2.5 million. Bridgeview paid a total of $16.2 million for the add-ons, or a highly accretive 6.5x adjusted EBITDA, financing them with $12.7 million of cash on hand and $3.5 million of rollover equity from the selling shareholders. In December, to support future M&A, Bridgeview raised an incremental $75.0 million senior delayed-draw term loan from existing lenders.

Bridgeview's organic growth in 2024 lagged plan. Pro forma revenue grew 0.2% year-over-year to $176.7 million, but EBITDA fell 6.9% to $28.1 million due to underperformance in Oklahoma and SG&A investments. As of December 31, 2024, Bridgeview's net debt to EBITDA was 5.8x, up from 5.6x the prior year.

For Bridgeview, 2025 was transformational. In August, Bridgeview completed a long-planned CEO succession with the hiring of Primo Beadling as CEO. Primo, most recently President and CFO of USRetina, brings a proven track record in the optical industry and more than 15 years of senior executive leadership experience. Under his leadership, Bridgeview has recruited new executives to lead marketing, IT, business development, and revenue cycle management. Founder and former CEO Dr. Bruce Trump continues to oversee the physician network as Executive Medical Director. During the year, Bridgeview also completed five accretive add-ons—four primary care practices and one surgical practice with an ASC. Bridgeview paid a total of $21.8 million for the five add-ons, representing an accretive 7.8x their aggregate EBITDA of $2.8 million, and funding them with cash on hand, senior debt from existing lenders, and rollover equity from selling physicians.

Bridgeview's financial performance improved modestly in 2025. Pro forma for the add-ons, revenue declined 0.6% year-over-year to $181.9 million, primarily due to reimbursement rate reductions and slight underperformance in Oklahoma. EBITDA, however, increased 2.1% to $30.9 million, driven by growth in higher-margin ASCs and effective field-level cost management. As of December 31, 2025, Bridgeview's net debt to EBITDA was 5.7x, down from 5.8x the prior year.

Entering 2026, our outlook for Bridgeview is positive. With new leadership in place, we believe Bridgeview is well positioned to accelerate growth. Bridgeview is also poised to continue executing its acquisition strategy, supported by a robust pipeline of additional targets and several accretive add-ons under LOI.

Investment Information

	SCI VI	SCP VI	SCP VI-A	Total
Date of Initial Investment	August 2021			
Amount of Initial Investment	$1,456,669	$71,002,962	$5,540,370	$78,000,000
Date of Follow-on Investment	June 2022			
Amount of Follow-on Investment	$97,593	$4,757,020	$371,191	$5,225,804
Date of Follow-on Investment	December 2022			
Amount of Follow-on Investment	$213,654	$10,414,236	$812,624	$11,440,514
Date of Follow-on Investment	March 2023			
Amount of Follow-on Investment	$122,831	$5,987,181	$467,180	$6,577,192
Monitoring Role	Active – Majority Control of Board of Directors			
% Ownership	1.1%	55.2%	4.3%	60.7%

12/31/2025 Holdings/Valuation

	Principal Amount or # of Shares	Cost: Average per Share	Cost: Total	Estimated Value: Average per Share	Estimated Value: Total
Sentinel Capital Partners VI, L.P.					
Class A Units	92,161,399	$1.00	$92,161,399	$101,329,003	$1.10
Sentinel Capital Partners VI-A, L.P.					
Class A Units	7,191,365	$1.00	$7,191,365	$7,906,714	$1.10
Sentinel Capital Investors VI, L.P.					
Class A Units	1,890,747	$1.00	$1,890,747	$2,078,826	$1.10

Financial Information (000's)

	Year Ending December 31,				
	2021	2022[1]	2023[1]	2024[1]	2025[1]
Revenue	$91,743	$124,595	$154,223	$176,693	$181,891
Adjusted EBITDA	$15,272	$21,408	$26,668	$28,119	$30,859

Balance Sheet as of December 31, 2025

Assets		Liabilities	
Current Assets	$30,046	Current Liabilities	$18,357
PP&E, net	18,478	Long-Term Debt	244,525
Other Assets	254,381	Stockholders' Equity	40,024
Total Assets	$302,906	Total Liabilities and Equity	$302,906

Valuation Rationale

Bridgeview's financial performance improved modestly in 2025. As of December 31, 2025, Sentinel is valuing Bridgeview at the same 11.7x EBITDA Sentinel paid for the business and unchanged from the prior year. Adjusting for net debt outstanding as of December 31, 2025, the value of the Partnership's Class A units is $1.10 per share. As of December 31, 2025, the total value of the Partnership's holdings is therefore $111.3 million, or 1.1x cost and up 9.9% from the prior year.

[1] Pro forma for the full-year impact of add-ons acquired in the year.

Bridgeview Eye Partners (a/k/a Midwest Eye Services Holdings, LLC)
12/31/2025
($000, except per-share calculations)

	Valuation - Fair Value			
	SCP VI	SCP VI-A	SCI VI	Total
TTM Adjusted Revenue, Less NCI	$181,713	$181,713	$181,713	$181,891
TTM Adjusted EBITDA, Less NCI	$30,671	$30,671	$30,671	$30,859
Valuation Multiple	**11.7x**	**11.7x**	**11.7x**	**11.7x**
Enterprise Value	$359,477	$359,477	$359,477	$361,676
Less Senior Debt	(143,528)	(143,528)	(143,528)	(143,133)
Less: Mezzanine Debt	(39,356)	(39,356)	(39,356)	(39,356)
Less: Seller Notes	(4,472)	(4,472)	(4,472)	(3,358)
Less: Severance Liability	(2,061)	(2,061)	(2,061)	(1,972)
Plus Adj. Escrow	0	0	0	0
Plus Cash	11,433	11,433	11,433	7,522
Subtotal	(177,983)	(177,983)	(177,983)	(180,298)
Plus: Outstanding Doctor Loans	$2,316	$2,316	$2,316	$2,316
Gross Equity Value	$183,810	$183,810	$183,810	$183,694
Value of Class A Equity	115,433	115,433	115,433	115,438
Value of Class B Equity	67,926	67,926	67,926	67,802
Value of Class C Equity	451	451	451	455
# Class A Units Outstanding	104,993,510	104,993,510	104,993,510	104,993,510
# Class B Units Outstanding	61,782,691	61,782,691	61,782,691	61,667,947
# Class C Units Outstanding	4,536,153	4,536,153	4,536,153	4,569,486
Value Per Class A Unit	$1.10	$1.10	$1.10	$1.10
Value Per Class B Unit	$1.10	$1.10	$1.10	$1.10
Value Per Class C Unit	$0.10	$0.10	$0.10	$0.10
SCP VI Investment Valuation				
# Class A Units owned by SCP VI	92,161,399	7,191,365	1,890,747	101,243,510
Value of SCP Class A Units	$101,329	$7,907	$2,079	$111,315
Value of Investment	**$101,329**	**$7,907**	**$2,079**	**$111,315**
Cost of SCP VI's Investment	$92,161	$7,191	$1,891	$101,244
Times Original Investment SCP VI	1.10x	1.10x	1.10x	1.10x
Original Transaction Multiple (EBITDA)	11.7x	11.7x	11.7x	11.7x

CATALYST MEDTECH, LLC[1]

Company Information

Transaction Summary

Original Platform Investment

Date of Investment	December 2021
Source	Harris Williams
Enterprise Value	$140.0 million
Total Investment	$87.0 million
Class A Units	$74.0 million
Class B Units	$13.0 million
Sentinel Capital Partners VI, L.P. Investment	$67.4 million
Class A Units	$67.4 million
Fully Diluted Ownership	67.8%
Sentinel Capital Partners VI-A, L.P. Investment	$5.3 million
Class A Units	$5.3 million
Fully Diluted Ownership	5.3%
Sentinel Capital Investors VI, L.P. Investment	$1.4 million
Class A Units	$1.4 million
Fully Diluted Ownership	1.4%
Sentinel Capital Solutions I, LP Investment	$8.1 million
Class B Units	$1.4 million
Subordinated Debt	$6.8 million
Fully Diluted Ownership	1.4%
Transaction Multiple of EBITDA	11.9x
Debt as % of Enterprise Value	45.4%
Total Debt/Adjusted EBITDA	5.4x

Follow-on Investments

Date of Investment	August 2022, May 2023, October 2024
Enterprise Value	$43.8 million
Total Investment	$34.1 million
Preferred Stock	$31.1 million
Senior Term Loan	$3.0 million
Sentinel Capital Partners VI, L.P. Investment	$24.5 million
Preferred Stock	$21.8 million
Senior Term Loan	$2.7 million
Fully Diluted Ownership	67.9%
Sentinel Capital Partners VI-A, L.P. Investment	$1.9 million
Preferred Stock	$1.7 million
Senior Term Loan	$0.2 million
Fully Diluted Ownership	5.3%

[1] Name changed from TTG Imaging Solutions in January 2025.

Sentinel Capital Investors VI, L.P. Investment	$0.5 million
Preferred Stock	$0.4 million
Senior Term Loan	$0.1 million
Fully Diluted Ownership	1.4%
Sentinel Capital Solutions I, LP Investment	$4.1 million
Preferred Stock	$0.1 million
Subordinated Debt	$4.0 million
Fully Diluted Ownership	1.1%

Business

CATALYST MEDTECH

Founded in 1985 and headquartered in Pittsburgh, Pennsylvania, Catalyst MedTech, known as TTG Imaging Solutions when Sentinel first invested, provides a comprehensive suite of medical nuclear imaging products and services. Catalyst sells and leases nuclear imaging equipment, refurbishes used equipment, services equipment under long-term contracts, staffs customer locations with technicians, and supplies radioactive isotopes. Customers include hospitals, imaging centers, physician offices, and nuclear pharmacies across the United States. The leading independent service provider in the nuclear imaging market, Catalyst has built a reputation for excellent service, best-in-class technical capabilities, and a strong culture for technicians and engineers.

Using specialized cameras to measure radioactive materials, nuclear imaging produces detailed pictures of organ function. Patients are injected with a radioactive isotope that adheres to certain cells, allowing doctors to get detailed 3D images of those cells and their movement. Nuclear medicine is commonly used in cardiology to map blood flow in the heart and in oncology to track cancerous cells and tumor growth. Catalyst focuses on gamma cameras and PET/CT scanners for cardiology and oncology imaging applications.

Nuclear imaging scanners are made by large OEMs, such as Phillips, Siemens, and GE, and smaller niche players like Spectrum, Mediso, and Medical Imaging Electronics. OEMs focus on selling or leasing new, state-of-the-art imaging equipment to large research hospitals and other institutions. Research institutions, which aim to be at the forefront of imaging technology, want the very latest equipment and typically own or lease the machines for about five years.

Catalyst, however, serves an important segment of the market that is generally underserved by OEMs and larger service providers. Smaller hospitals and physician practices do not need the latest equipment—older scanners updated with the latest software provide scans of adequate quality in most patient scenarios. Smaller hospitals and practices are more likely to be interested in refurbished scanners that were traded in or sold by larger institutions. Because scanners have an average useful life of 15 years if properly maintained, to smaller end users, refurbished scanners offer many more years of valuable service at affordable prices.

Catalyst acquires older scanners, refurbishes them to prolong their useful lives, and updates their software. These refurbished machines are sold at a significant discount to new OEM scanners, enabling a much broader range of customers to buy or lease in-house scanners. Catalyst then staples on a long-term service contract and offers other important services, like isotope procurement and technician staffing. Because scanners are crucial for medical diagnosis, generate revenue, and represent a convenience to patients who undergo imaging in their physician's office, Catalyst's offering and outstanding service fill an important need.

Catalyst's go-to-market strategy centers on selling an end-to-end solution and leveraging the company's national service footprint. It offers three service options—equipment service, equipment sales, and diagnostic imaging services. Descriptions of Catalyst's offerings follow.

Equipment Service (26% of revenue). Catalyst provides best-in-class service through a national network of more than 50 field service engineers who perform repair and maintenance under long-term service agreements that guarantee equipment uptime. Guaranteed uptime is critical to customers—without reliable imaging machines, doctors cannot diagnose, prescribe care, and generate revenue. Historically, contract renewal rates exceed 90%, and service contracts are typically renewed before expiration. Catalyst has a contracted installed base of more than 800 pieces of equipment. Equipment service is highly profitable for Catalyst.

Equipment Sales (20% of revenue). Catalyst sources, refurbishes, and then sells or leases gamma cameras and PET/CT scanners to healthcare providers at much lower prices than those of new OEM equipment. About 95% of the scanners Catalyst sells include a stapled long-term service contract. Catalyst carries more than 10,000 SKUs in climate-controlled warehouses to support its installed base.

Diagnostic Imaging Services (f/k/a Turnkey) (54% of revenue). Catalyst offers customizable turnkey programs to customers who want to own and operate an imaging center. Under a single long-term contract, Catalyst will sell or lease equipment, set up the imaging facility, handle all accreditation and regulatory requirements, staff the center with technicians, and supply isotopes. The turnkey solution enables owners of imaging centers to reduce their capital outlay and outsource the hiring, staffing, and operations.

Catalyst has a diverse base of more than 1,700 individual customers, with its top 20 customers accounting for 39% of revenue as of the closing. Catalyst's customers include hospitals, imaging centers, and physician's offices across cardiology, oncology, and other medical specialties. Cardiology customers accounted for 75% of Catalyst's customer base as of closing, general nuclear and neurology 21%, and oncology 4%. With a strong legacy in cardiology, Catalyst sees an exciting growth opportunity in the adjacent oncology and nuclear imaging markets.

Catalyst operates equipment refurbishment centers in Houston, Texas and Stokesdale, North Carolina. The used equipment that Catalyst buys is generally 5–7 years old and typically sourced from large hospital systems that upgrade to new OEM equipment. Catalyst maintains relationships with equipment brokers and hospital systems around the globe. After purchasing used equipment, Catalyst refurbishes the unit for resale or harvests the parts. While most parts Catalyst uses to service its installed base come from harvested units, Catalyst purchases parts from OEMs, aftermarket sellers, and brokers when needed.

Catalyst operates in the $10.6 billion U.S. market for nuclear medicine and molecular imaging equipment sales and service. The addressable market for used equipment and associated services is approximately $2.7 billion and projected to grow 8–10% per year. Market growth is driven by population growth, an aging population, increasing utilization of nuclear medicine and molecular imaging technologies, favorable reimbursement dynamics, and improved affordability of imaging equipment.

The nuclear imaging market is highly fragmented and consolidating, and Catalyst has emerged as an acquirer of choice. From 2019 to 2021, Catalyst completed seven acquisitions at highly accretive purchase multiples averaging 4.7x EBITDA. For all seven add-ons, integration was smooth and efficient.

For several years before Sentinel's acquisition, Catalyst's financial performance was solid. From 2016 through the 12 months ended November 2021, revenue increased from $49.7 million to $56.1 million, a 2.5% CAGR.

Catalyst is an asset-light, non-capital-intensive business that produces excellent free cash flow and a high return on invested capital. Including $11.1 million of average net working capital in the 12 months prior to closing and $3.4 million of PP&E, Catalyst employed $14.4 million of net tangible capital and generated $11.8 million of adjusted EBITDA, yielding a robust 81.6% return on net invested capital.

Investment Rationale

Sentinel invested in Catalyst based on its (i) market-leading position in nuclear imaging services; (ii) recurring service revenue under multi-year contracts; (iii) stable industry with favorable growth outlook; (iv) proven ability to make accretive acquisitions in a highly fragmented market; (v) strong margins, high free cash flow, and robust return on invested capital; (vi) tax-efficient structure; and (vii) professional, capable, and highly committed management team.

Transaction Background

In February 2021, Catalyst's founder stepped away from the business, recruited a new CEO, and together with other shareholders, decided to seek liquidity and find a private equity partner that could help accelerate Catalyst's growth and further consolidate its fragmented industry. Catalyst hired midmarket investment bank Harris Williams to manage a sale. Sentinel engaged early and established a strong rapport with the new CEO and his management team. In the first round of bidding, we were not competitive because our due diligence had shaped more conservative projections. When Catalyst's performance began to soften during the sale process because of global supply chain issues that constricted the supply of imaging equipment, the auction stalled. Having kept track of the sale process, Sentinel was poised to reevaluate and reengage. We capitalized on an opportunity to buy the business at a significantly reduced valuation. Sentinel was chosen as the buyer based on the credibility we established through the sale process, our experience investing in healthcare and service-based businesses with entrepreneurial founders, the strong chemistry we developed with management, and our willingness to close the transaction quickly and on the agreed terms.

Sentinel acquired Catalyst on December 23, 2021 for $140.0 million, or 11.9x trailing 12-month adjusted EBITDA. Adjusting for the present value of tax-deductible goodwill reduces the purchase multiple to 10.6x. We consider this a fair entry multiple for a market-leading, asset-light, nationwide service provider in the healthcare industry with stable recurring revenue, a proven record of making and integrating accretive acquisitions in a highly fragmented market, a strong margin profile, and a talented and committed management team.

Sentinel led the transaction and arranged the debt and equity financing. Total cash required at closing, including transaction fees and expenses, was $150.7 million. To finance the acquisition, Sentinel secured a $65.0 million senior credit facility led by NXT Capital, with Manulife participating, consisting of a $15.0 million revolver undrawn at closing and a $50.0 million term loan. Sentinel also raised $13.5 million of 10.75% mezzanine debt from Brookside Mezzanine ($6.75 million), with Sentinel Capital Solutions I ($6.75 million) participating on the same terms. At closing, total net debt to EBITDA was 5.4x, funded net senior debt to EBITDA was 4.3x, and mezzanine debt to EBITDA was 1.1x.

To complete the transaction, Sentinel led an $87.0 million equity financing, of which Sentinel VI invested $74.0 million, management $5.1 million, incumbent investor Chartwell $3.9 million, Catalyst's founder $1.0 million, Brookside $1.4 million, Sentinel Capital Solutions I $1.4 million, and NXT Capital

$0.3 million. Sentinel established a 12.5% time- and performance-vesting incentive unit pool that gives management an opportunity to participate meaningfully in future upside rewards.

Sentinel owns a controlling interest in Catalyst and has the right to designate a majority of its board of directors. George Appling, Steve Cumbow, and Paul Murphy are directors. Three others also serve as directors—Catalyst's CEO, founder, and the CEO of coinvestor Star Equity.

Performance

Catalyst performed as expected in the week following the Partnership's December 2021 investment. Catalyst's full-year revenue was $55.6 million, up 3.3% over 2020, and its EBITDA was $10.9 million, down 24.4%. We anticipated the EBITDA decline and factored this into our purchase price and underwriting. Catalyst's performance in the second half of 2021 was hurt by global supply chain interruptions. OEM shipment delays forced large customers to keep their older equipment longer, which led to delays in Catalyst receiving the used equipment it had purchased and caused Catalyst to miss its revenue and profit targets. As of December 31, 2021, Catalyst's net debt to EBITDA was 5.6x, up from 5.4x at the closing.

In August 2022, Catalyst acquired Acceletronics, a provider of linear accelerator equipment, parts, and services in the oncology market. The purchase price was $3.8 million, an accretive 3.5x EBITDA multiple. Linear accelerators generate radiation for cancer treatment administered in oncology centers. One of the few independent players in its market, Acceletronics brought to Catalyst a full suite of services in radiation oncology. The purchase was funded by a $4.3 million follow-on equity investment, of which the Partnership contributed $4.0 million, Sentinel Capital Solutions I $0.1 million, and management and other coinvestors $0.3 million. The follow-on investment brought the Partnership's total equity investment in Catalyst to $78.0 million. Acceletronics met its plan in the second half of 2022.

Catalyst's 2022 performance was disappointing. Pro forma revenue for the year was $62.6 million, up 5.0% over the prior year, but EBITDA was $9.3 million, down 17.9%. Although solid demand for nuclear imaging services drove revenue growth, continued supply chain delays, rising equipment costs, and persistent labor inflation put upward pressure on costs and constrained Catalyst's operating margins. As of December 31, 2022, Catalyst's total net debt to EBITDA was 7.6x, up from 5.6x the prior year.

In 2023, Catalyst completed a transformative acquisition when it purchased Digirad Health, Inc. for $40.0 million, or 6.6x EBITDA. For the 12 months prior to closing, Digirad generated revenue of $54.4 million and adjusted EBITDA of $6.0 million. Headquartered in Suwanee, Georgia, Digirad offers turnkey SPECT imaging solutions, including camera rentals, technician staffing, and pharmaceutical isotopes. Digirad primarily serves independent cardiologists who seek cost-effective ways to provide SPECT imaging to patients. Digirad delivers its SPECT cameras to doctors' offices for their short-term use, which gives medical practices immediate and convenient imaging capabilities without having to commit to a long-term leasing program like that offered by Catalyst. Digirad also manufactures and sells Digirad-branded SPECT cameras and services an installed base of approximately 900 Digirad cameras nationwide. Digirad and Catalyst are the only two businesses of scale in turnkey SPECT imaging, and the acquisition of Digirad established Catalyst as the clear leader in this market. Because there was no material overlap between Digirad's and Catalyst's customers, the combination created meaningful cross-selling opportunities and diversified Catalyst's service offering and distribution channels, presenting an opportunity to capture meaningful savings. Our due diligence identified $1.8 million of actionable cost savings, which we expected to reduce the 6.6x entry EBITDA multiple to 5.1x.

The $40.0 million purchase price for Digirad included $27.0 million of cash at close, a $7.0 million seller note, and $6.0 million of rollover equity in the combined entity issued to the sellers. The transaction was financed with $18.0 million of incremental debt and $26.8 million of equity. The debt consisted of a $10.0 million senior term loan from existing lenders and $8.0 million of mezzanine debt, of which Sentinel Capital Solutions I coinvested $4.0 million alongside the lead mezzanine investor. Sentinel VI ($20.0 million) led the follow-on equity offering, with the selling shareholders ($6.0 million) and management and other coinvestors ($0.8 million) also participating. The new equity investment carries a 1.0x liquidation preference. As of the closing, Catalyst's net debt to EBITDA was 5.3x. The follow-on investment brought the Partnership's total equity investment in Catalyst to $98.0 million.

In 2023, Digirad performed well, and integration went smoothly. But Catalyst's overall financial performance was disappointing: pro forma for the Digirad acquisition, 2023 revenue was $119.8 million, up 3.9% from 2022, but EBITDA fell 25.2% to $11.7 million. Although demand remained strong in Catalyst's end markets, persistent inflation in labor and materials pressured operating margins. As of December 31, 2023, net debt to EBITDA was 7.4x, down from 7.6x the prior year.

To address the operations challenges, the board made several senior leadership changes—the COO was replaced by a new operations executive from GE, and in January 2024, Catalyst replaced its CEO and CFO. As CEO, Catalyst promoted Digirad's capable leader, Martin Shirley, a veteran of the nuclear medicine industry; Sentinel operating partner Steve Cumbow became interim CFO. The reinvigorated leadership team immediately began a multistep turnaround plan. They terminated senior nonperformers and then focused on fixing persistent, unresolved issues. They restructured the field service organization, realigned equipment sourcing, redirected the go-to-market strategy, reduced headcount, fixed the ERP system, and outsourced Catalyst's noncore pharmacy division to a third party.

In 2024, the one-time costs of Catalyst's planned turnaround suppressed EBITDA. As expected, in September 2024, Catalyst breached certain debt covenants. We worked with Catalyst's lenders on a financing solution to give the company more time and flexibility to execute its turnaround. The solution, which closed on October 1, 2024, included the following key elements: the Partnership invested an additional $3.0 million structured as a last-out senior term loan; the senior lenders deferred interest and term loan amortization of approximately $3.3 million through March 2025 and reset covenants; and the mezzanine lenders agreed to PIK their interest through June 2026. This solution provided Catalyst $7.9 million of liquidity and 12 months of running room to implement its turnaround plan. The $3.0 million follow-on brought the Partnership's total investment in Catalyst to $101.0 million.

For 2024, Catalyst's revenue remained resilient, falling just 2.2% year-over-year to $117.1 million. EBITDA, however, declined 17.6% to $9.6 million, as expected. As of December 31, 2024, net debt to EBITDA was 9.7x, down 0.3x from the October 2024 closing and up from 7.4x the prior year.

In 2025, the turnaround plan initiated in 2024 showed tangible progress, particularly in the second half as the business reversed a multiyear decline. In the first half, however, despite healthy demand for Catalyst's equipment, ongoing fulfillment delays limited order-to-revenue conversion and resulted in a covenant breach, which the lenders temporarily waived. By year-end, fulfillment delays had been resolved. For the full year, revenue declined 1.9% year-over-year to $114.9 million due to the fulfillment issues, while adjusted EBITDA rose 29.5% to $12.4 million, benefiting from cost cuts and service optimization. As of December 31, 2025, net debt to EBITDA was 7.8x, down from 9.7x the prior year.

In March 2026, in conjunction with a highly strategic add-on and associated follow-on investment, we reached a comprehensive agreement with lenders that gives Catalyst more time and flexibility to execute its turnaround, while positioning the company for growth. To support the acquisition of X3D, a Danish manufacturer of branded SPECT medical imaging equipment, for $12.5 million, a highly accretive 6.5x multiple of X3D's $1.9 million of EBITDA, the Partnership invested an additional $7.5 million in a last-out senior term loan. Concurrently, the lenders reset covenants, improved pricing, and extended the debt maturity to December 2029. The follow-on brings the Partnership's total investment in Catalyst to $108.5 million.

Our outlook for Catalyst is cautiously optimistic. While the turnaround is not yet complete, Catalyst enters the second quarter of 2026 with solid momentum and the most challenging elements of the turnaround largely behind it. Management is now focused on driving profitable growth.

Investment Information

	SCI VI	SCP VI	SCP VI-A	Total
Date of Initial Investment	December 2021			
Amount of Initial Investment	$1,381,968	$67,361,784	$5,256,248	$74,000,000
Date of Follow-On Investment	August 2022			
Amount of Follow-On Investment	$74,701	$3,641,178	$284,122	$4,000,000
Date of Follow-On Investment	May 2023			
Amount of Follow-On Investment	$373,505	$18,205,888	$1,420,608	$20,000,000
Date of Follow-On Investment	October 2024			
Amount of Follow-On Investment	$56,026	$2,730,883	$213,091	$3,000,000
Monitoring Role	Active – Majority Control of Board of Directors			
% Ownership	1.4%	68.0%	5.3%	74.7%

12/31/2025 Holdings/Valuation

		Cost		Estimated Value	
	Principal Amount or # of Shares	Average per Share	Total	Average per Share	Total
Sentinel Capital Partners VI, L.P.					
Class A Units	67,361,784	$1.00	$67,361,784	$0.00	$0
Class E Units	3,641,178	$1.00	$3,641,178	$2.62	$9,540,863
Class F Units	18,205,888	$1.00	$18,205,888	$1.00	$18,205,888
Senior Term Debt			$2,730,883		$3,219,874
Sentinel Capital Partners VI-A, L.P.					
Class A Units	5,256,248	$1.00	$5,256,248	$0.00	$0
Class E Units	284,122	$1.00	$284,122	$2.62	$744,475
Class F Units	1,420,608	$1.00	$1,420,608	$1.00	$1,420,608
Senior Term Debt			$213,091		$251,247

		Cost		Estimated Value	
	Principal Amount or # of Shares	Average per Share	Total	Average per Share	Total
Sentinel Capital Investors VI, L.P.					
Class A Units	1,381,968	$1.00	$1,381,968	$0.00	$0
Class E Units	74,701	$1.00	$74,701	$2.62	$195,737
Class F Units	373,505	$1.00	$373,505	$1.00	$373,505
Senior Term Debt			$56,026		$66,058

Financial Information (000's)

	Year Ending December 31,						
	2019	2020	2021	2022[1]	2023[1]	2024	2025
Net Sales	$53,667	$53,816	$55,591	$62,579	$119,759	$117,092	$114,886
Adjusted EBITDA	$12,044	$14,465	$10,939	$9,332	$11,650	$9,600	$12,435

Balance Sheet as of December 31, 2025			
Assets		Liabilities	
Current Assets	$50,091	Current Liabilities	$18,975
PP&E, net	5,361	Other Liabilities	6,394
Other Assets	89,933	Long-Term Debt	104,513
		Seller Note	9,026
		Stockholders' Equity	6,748
Total Assets	$145,656	Total Liabilities and Equity	$145,656

Valuation Rationale

Catalyst's turnaround efforts bore fruit in 2025. As of December 31, 2025, Sentinel is valuing the equity at the same 11.9x EBITDA paid for the business, unchanged from the prior year-end. Adjusting for net debt outstanding as of December 31, 2025, we are valuing the Partnership's Class A units at $0.00 per share, Class E units at $2.62 per share, Class F units at $1.00 per share, and its senior term loan at par, or $3.5 million. The total value of the Partnership's holdings as of December 31, 2025 was $34.0 million, or 0.3x cost and up 297.3% from 2024.

[1] Pro forma for the full-year impact of add-ons acquired in the year.

Catalyst MedTech LLC
12/31/2025
($000, except per-share calculations)

	Valuation - Fair Value			
	SCP VI	SCP VI-A	SCI VI	Total
Trailing 12 Month Adjusted Revenue	$114,886	$114,886	$114,886	$114,886
Trailing 12 Month Adjusted EBITDA	$12,435	$12,435	$12,435	$12,435
Valuation Multiple	**11.9x**	**11.9x**	**11.9x**	**11.9x**
Enterprise Value	$148,028	$148,028	$148,028	$148,028
Less: Senior Debt	(73,639)	(73,639)	(73,639)	(73,639)
Less: Deferred Interest	-	-	-	
Less: SCP Debt Investment	(3,537)	(3,537)	(3,537)	(3,537)
Less: Mezzanine Debt	(27,337)	(27,337)	(27,337)	(27,337)
Less: Digirad Seller Note	(9,026)	(9,026)	(9,026)	(9,026)
Less: Capital Leases	(857)	(857)	(857)	(857)
Plus: Cash	4,504	4,504	4,504	4,504
Total Net Debt	109,892	109,892	109,892	109,892
Gross Equity Value	$38,136	$38,136	$38,136	$38,136
Value of Class A Equity	-	-	-	-
Value of Class B Equity	-	-	-	-
Value of Class E Equity	11,375	11,375	11,375	11,375
Value of Class F Equity	26,761	26,761	26,761	26,761
# Class A Units Outstanding	74,000,000	74,000,000	74,000,000	74,000,000
# Class B Units Outstanding	10,938,863	10,938,863	10,938,863	10,938,863
# Class E Units Outstanding	4,341,081	4,341,081	4,341,081	4,341,081
# Class F Units Outstanding	26,761,081	26,761,081	26,761,081	26,761,081
Value per Class A Unit	$ -	$ -	$ -	$ -
Value per Class B Unit	$ -	$ -	$ -	$ -
Value per Class E Unit	$2.62	$2.62	$2.62	$2.62
Value per Class F Unit	$1.00	$1.00	$1.00	$1.00
SCP VI Investment Valuation				
# Class A Units owned by SCP VI	67,361,784	5,256,248	1,381,968	74,000,000
# Class E Units owned by SCP VI	3,641,178	284,122	74,701	4,000,000
# Class F Units owned by SCP VI	18,205,888	1,420,608	373,505	20,000,000
Value of SCP Class A Units	$0	$0	$0	$0
Value of SCP Class E Units	$9,541	$744	$196	$10,481
Value of SCP Class F Units	$18,206	$1,421	$374	$20,000
Value of SCP Senior Debt	$3,220	$251	$66	$3,537
Value of Investment	**$30,967**	**$2,416**	**$635**	**$34,018**
Cost of SCP VI's Investment	$89,209	$6,961	$1,830	$98,000
Cost of SCP VI's Senior Debt Investment	$2,731	$213	$56	$3,000
Times Original Investment SCP VI	0.3x	0.3x	0.3x	0.3x
Original Transaction Multiple (EBITDA)	11.9x	11.9x	11.9x	11.9x

EMPIRE AUTO PARTS[1]

Company Information

Transaction Summary

Date of Investment	November 2021
Source	BlackArch Partners
Enterprise Value	$437.5 million
Total Investment	$199.7 million
Class A Units	$166.0 million
Class B Units	$33.7 million
Sentinel Capital Partners VI, L.P. Investment	$136.5 million
Class A Units	$136.5 million
Fully Diluted Ownership	60.5%
Sentinel Capital Partners VI-A, L.P. Investment	$10.7 million
Class A Units	$10.7 million
Fully Diluted Ownership	4.7%
Sentinel Capital Investors VI, L.P. Investment	$2.8 million
Class A Units	$2.8 million
Fully Diluted Ownership	1.2%
Sentinel Capital Solutions I, LP Investment	$20.0 million
Class A Units	$10.0 million
Unitranche Debt	$10.0 million
Fully Diluted Ownership	4.4%
Transaction Multiple of EBITDA	11.2x
Debt as % of Enterprise Value	58.8%
Total Debt/EBITDA	6.6x

Business

Headquartered in Totowa, New Jersey, Empire Auto Parts is a leading distributor of aftermarket vehicle collision repair parts throughout the eastern United States, with operations spanning 29 states. Empire distributes more than 51,000 parts covering nearly 610 vehicle models, primarily to collision repair centers.

Empire operates through nine hub distribution centers and 44 satellite locations that process 4,000+ orders per day. The hubs average 150,000 square feet, whereas the satellites occupy a much smaller footprint of 5,000 square feet on average. Satellites maintain virtually zero inventory and are used to facilitate same- or next-day local delivery. Using this network, Empire's fleet of 525 trucks complete 6,500+ deliveries per day.

Empire enjoys virtually no SKU concentration, and its extensive product catalog includes bumper covers (31% of revenue), hoods/fenders/truck lids (15%), lamps (13%), grills (10%), and inner structure (5%). Delivery speed and product availability are extremely important to Empire's customers, and

[1] Legal name: POY Holdings, LLC.

Empire meets this need with same- or next-day delivery service and an order fulfillment rate better than 95%. Empire's comprehensive product offering, commitment to part quality, and reliable delivery capability allow it to command attractive product margins of 50% or more across all product categories.

Empire distributes to more than 35,000 collision repair centers through several go-to-market strategies, including its own online portal (~40% of total revenue), phone orders (~20%), and third-party repair cost estimation software platforms, such as CCC One, OPSTrax, and PartsTrader (~40%). Empire sells to four types of customers: national multi-site operators ("MSOs"), regional MSOs, independent service shops, and dealerships. Because they keep minimal inventory on hand, repair centers require frequent deliveries—approximately 83% of Empire's revenue is generated by customers who order at least weekly. Due to the fragmented nature of its customer base, Empire enjoys minimal customer concentration. Its top customer, Joe Hudson's Collision, represents less than 6% of total revenue across 240 locations.

Empire's efficient distribution and diverse product offering have created strong, entrenched customer relationships. Empire is known for providing high-quality parts and better service than its competitors—its 11% return rate is well below the estimated industry average return rate of 20%, supporting its customers' quick repair times. These capabilities are important to both collision shops and auto insurance companies, which want reliability and fast turnarounds for their policyholders.

Empire sources all its products and has built longstanding relationships with overseas suppliers, most of which are in Taiwan. Empire's top 10 suppliers represent approximately 75% of total purchases, with an average relationship of more than 15 years. Empire's largest vendor, representing approximately 32% of its purchases, is Tong Yang, the leading global manufacturer of aftermarket collision repair parts. Empire has worked with Tong Yang for more than 30 years and is Tong Yang's second-largest channel partner in the United States. Based on our diligence, we believe Empire's concentration with Tong Yang is consistent with, or modestly less than, the industry average given Tong Yang's market dominance. Empire is a valuable aftermarket partner to Tong Yang and other suppliers because Empire helps diversify their customer mix and provides valuable feedback on product quality and opportunities for product line expansion.

Before 2020, Empire operated three hubs in New Jersey, Massachusetts, and Maryland. We saw an opportunity to expand into new geographies through Empire's proven greenfield expansion model. Since then, Empire has broadened its footprint and customer reach by building out its hub-and-satellite network, opening new hubs in North Carolina (2020), Georgia (2021), Tennessee (2022), Florida (2023), Dallas (2024), and Houston (2024). Sites opened since 2020 contributed $117.9 million of the $174.0 million in total sales growth from 2020 to 2024. The initial investment required for a new regional distribution network ranges from $7 million to $10 million, typically split evenly between facility costs and inventory. Historically, each network has reached profitability after six to nine months, with the investment recouped in less than 48 months. The new hubs in North Carolina, Georgia, Tennessee, Florida, and Texas have exceeded expectations in their ramp to maturity.

Empire operates in the $16 billion U.S. collision repair parts distribution market, made up of $11 billion of OEM parts, $3 billion of aftermarket collision parts, and $2 billion of refurbished and recycled parts. A study by Bain concluded that the market for aftermarket replacement parts—Empire's core market—has grown faster than the overall collision repair part industry and was expected to grow 4–6% annually. Aftermarket parts have gained share from OEM parts and other alternatives due to lower costs, improved availability, and better quality. Since 2016, the use of aftermarket parts in repairs has grown significantly, representing approximately 21% of the total market today, up from 18% in 2016.

The aftermarket is dominated by LKQ (NASDAQ:LKQ), a publicly traded global distributor that derives just 15–20% of its revenue from the U.S. aftermarket collision parts segment. LKQ distributes OEM, aftermarket, and refurbished and recycled products. LKQ holds approximately 70% of the total aftermarket segment; Empire, a regional distributor, has an estimated 8% share of the U.S. market, the second-largest behind LKQ. The rest of the market is mostly divided between other regional distributors and local independents. In its core Eastern U.S. geographies, Empire's market share increases to approximately 20%. We believed there was an attractive opportunity to build a clear number two in the market based on our diligence and market feedback from repair centers and insurance companies. Historically, LKQ, built through a rollup of national and regional suppliers, based its strategy on a limited-service model. We believed LKQ's approach afforded Empire the opportunity to take market share using its service- and quality-focused model.

Prior to Sentinel's investment, Empire experienced several years of strong sales and profit growth. From 2018 to the 12 months ended September 30, 2021, net revenue grew from $61.7 million to $117.9 million, a CAGR of 26.5%, and adjusted EBITDA increased from $12.6 million to $34.1 million, a CAGR of 43.6%. After accounting for the impact of recently opened hub and satellite locations, pro forma revenue for the 12 months ended September 30, 2021 was $134.2 million and adjusted EBITDA, $39.0 million. Empire was negatively affected by the Covid pandemic because repair centers were forced to shut down in March and April 2020, and because Americans traveled less, which reduced collisions. By late 2020, with travel rebounding and repair shops open, Empire opportunistically managed inventory and location growth to capture anticipated demand. Before the closing, Empire generated positive sales versus the prior-year comparable period for 16 consecutive months. Empire has also experienced consistent and robust growth across its legacy and recently opened hub networks. For the 12 months ended September 30, 2021, Empire's gross margins were 63.5% and adjusted EBITDA margins were 29.0%. Adjusted EBITDA margins expanded from 2018 to the closing due to operating leverage and pricing power achieved by Empire's value proposition to customers.

Empire is a high-margin, asset-light business that generates consistent free cash flow and high returns on invested capital. As of the closing, Empire employed $28.4 million of tangible capital and generated $34.1 million of adjusted EBITDA, which produced an impressive 120.4% return on net invested capital.

Investment Rationale

Sentinel invested in Empire based on its (i) leading regional market position in an industry with high barriers to entry; (ii) attractive organic growth opportunity through a proven greenfield strategy, coupled with ample white space; (iii) stable and long-term industry growth outlook based on miles driven and increasingly complex collision repairs; (iv) attractive value proposition for collision repair centers and insurance companies; (v) excellent reputation for product quality and order fulfillment; (vi) strong margins, attractive free cash flow conversion, and high return on invested capital; and (vii) experienced and committed management team.

Transaction Background

Empire was previously owned by private equity firm Tenex Capital Management, which acquired the business in 2018 from its founders. In 2021, after a three-year ownership period that saw robust organic growth and geographic expansion, Tenex hired midmarket investment bank BlackArch Partners to manage a sale. Sentinel and BlackArch have a close, longstanding relationship, having worked together on multiple buyside and sellside transactions. BlackArch and management chose Sentinel because of our experience investing in distribution and automotive aftermarket businesses, the strong chemistry we developed with management, and BlackArch's and Tenex's confidence that we could close a transaction quickly and on the agreed terms.

On November 16, 2021, Sentinel acquired Empire for a purchase price of $437.5 million, or 11.2x pro forma adjusted EBITDA of $39.0 million. The transaction was structured in a tax-efficient manner and provided an asset step-up of $359.3 million. Adjusting for the present value of the tax shield reduces the purchase multiple to 10.3x. We believe this is a fair valuation for a regional market leader with a clearly defined organic growth strategy, strong financial profile, and talented management team.

Total funds required at closing, including transaction expenses and closing adjustments, were $470.9 million. To finance the transaction, Sentinel secured a $255.0 million unitranche credit facility led by Golub Capital, of which Golub invested $173.4 million, Varagon $68.6 million, Sentinel Capital Solutions I $10.0 million, and GMB Capital $3.0 million. The unitranche credit facility consisted of a $30.0 million revolver ($2.5 million drawn at closing) and a $25.0 million delayed-draw term loan for future greenfield location investment. At the closing, net debt to EBITDA was 6.6x.

To support the transaction, Sentinel structured and led a $199.7 million equity financing, of which Sentinel invested $150.0 million, management $33.7 million, Sentinel Capital Solutions I $10.0 million, Golub $3.0 million, and GMB Capital $3.0 million. Sentinel established an 11.5% time- and performance-based incentive unit pool that gives management the opportunity to participate meaningfully in future upside rewards.

Sentinel owns a controlling interest in Empire and has the right to designate a majority of the board. Owen Basham, Jim Coady, and Cameron Smith are directors. Empire's CEO also serves on the board.

Performance

In the two months following the November 2021 closing, Empire's performance was excellent. Revenue rose 67.2% in the fourth quarter; for the full year, revenue was $134.6 million, up 53.5% over 2020, and EBITDA increased 77.9% to $39.2 million. As of December 31, 2021, Empire's total net debt to EBITDA was 6.2x, down from 6.6x at the closing.

Empire had a highly productive 2022, opening six new locations during the year—one distribution hub and five complementary satellites. The new location buildout was financed with incremental unitranche debt and cash on hand. During 2022, Empire also made significant progress building its senior management team—it hired a CFO, CTO, and VP of Sales, and promoted a regional GM to VP of Operations.

Empire's 2022 financial performance was outstanding. For the full year, revenue was $185.5 million, up 37.8% from the prior year, and adjusted EBITDA was $51.6 million, up 31.7%. Revenue growth was driven by new locations opened during the year and meaningful organic growth in existing regions. EBITDA growth lagged revenue growth due to considerable G&A investment to support growth and cost inflation in warehouse and delivery operations. After adjusting for the expected mature-level performance of recently opened hub and satellite locations, pro forma revenue for the 12 months ended December 31, 2022 was $202.2 million and adjusted EBITDA was $57.9 million. As of December 31, 2022, Empire's net debt to EBITDA was 4.6x, down from 6.2x the prior year.

Empire had another highly productive year in 2023. Continuing its greenfield expansion strategy, Empire opened one distribution hub and five satellites during the year, all of which performed in line with expectations. The new location buildout was financed with cash on hand.

Empire's 2023 financial performance was outstanding. For the full year, revenue increased 20.7% year-over-year to $224.0 million; adjusted EBITDA was $58.1 million, up 12.7%. Revenue growth was driven by new locations opened during the year and above-market organic growth in existing distribution networks. G&A investments tempered EBITDA growth. After adjusting for the expected mature-level performance of recently opened locations, pro forma revenue for the 12 months ended December 31, 2023 was $268.6 million and adjusted EBITDA was $76.5 million. Empire's strong EBITDA growth and free cash flow generation enabled it to complete a unitranche debt recapitalization in November and distribute $100.0 million to shareholders, which represents 52% of the initial investment cost. The Partnership's share of the distribution was $76.6 million, or 0.5x cost. As of December 31, 2023, Empire's net debt to EBITDA was 4.9x, up from 4.6x the prior year.

Empire continued its greenfield expansion strategy in 2024, opening eight new locations—two distribution hubs and six satellites—and financing the buildout with incremental debt and cash on hand. Empire also invested in its senior management team by hiring a new CFO.

Empire had a solid year in 2024. For the year, revenue rose 16.8% year-over-year to $261.6 million, but adjusted EBITDA declined 4.8% to $55.4 million. Revenue growth was driven by new locations opened during the year, new strategic MSO partnerships, and market share gains, offset by industry headwinds due to a reduction in repairable claims caused by an increase in repair costs and insurance premiums relative to vehicle values. EBITDA growth lagged due to upfront investment costs for new regions ahead of expected revenue growth and G&A infrastructure spending. After adjusting for the expected mature-level performance of recently opened locations, pro forma revenue was $342.8 million and adjusted EBITDA was $87.6 million. As of December 31, 2024, Empire's net debt to EBITDA was 5.6x, up from 4.9x the prior year because of debt financing to build out new markets and the EBITDA decline.

For Empire, 2025 was challenging. Elevated insurance premiums, moderating used-car values, and newly imposed tariffs on imported parts weighed on the collision repair industry's volumes, negatively affecting Empire's performance. In response, we concluded that a leadership change was needed to accelerate strategic execution across Empire's significantly expanded footprint. Beginning in November, Empire elevated its CFO to CEO, hired a COO with deep distribution experience, and promoted two senior team leaders to Chief Commercial Officer and Chief Human Resources Officer. Empire also engaged a consultant to help develop an enhanced pricing strategy.

Empire underperformed in 2025. Revenue increased 5.9% year-over-year to $276.9 million, but adjusted EBITDA declined 22.5% to $42.9 million. Revenue growth was driven by maturation of locations opened in recent years and volume gains from price adjustments. The EBITDA decline reflected underperformance in legacy regions and continued investment in new regions. Under new, more proactive leadership, performance improved meaningfully in the fourth quarter, supported in part by implementation of more dynamic pricing.

Looking ahead, we expect Empire's new leadership team to continue enhancing operational execution and refining the company's pricing strategy. Growth in 2026 and beyond should also benefit from the addition of two significant MSO customers with significant revenue potential. We also expect industry conditions to stabilize and anticipate a return to sustainable profit growth.

Investment Information

	SCI VI	SCP VI	SCP VI-A	Total
Date of Initial Investment	November 2021			
Amount of Initial Investment	$2,801,286	$136,544,157	$10,654,557	$150,000,000
Monitoring Role	Active – Majority Control of Board of Directors			
% Ownership	1.3%	61.5%	4.8%	67.6%

12/31/2025 Holdings/Valuation

		Cost		Estimated Value	
	Principal Amount or # of Shares	Average per Share	Total	Average per Share	Total
Sentinel Capital Partners VI, L.P.					
Class A Units	136,544,157	$1.00	$136,544,157	$0.74	$101,018,604
Sentinel Capital Partners VI-A, L.P.					
Class A Units	10,654,557	$1.00	$10,654,557	$0.74	$7,882,494
Sentinel Capital Investors VI, L.P.					
Class A Units	2,801,286	$1.00	$2,801,286	$0.74	$2,072,458

Financial Information (000's)

	Year Ending December 31,					
	2020[1]	2021	2022	2023	2024	2025
Net Sales	$87,675	$134,572	$185,542	$224,032	$261,612	$276,942
Adjusted EBITDA	$22,208	$39,155	$51,583	$58,141	$55,361	$42,906

Balance Sheet as of December 31, 2025			
Assets		Liabilities	
Current Assets	$97,430	Current Liabilities	$35,082
PP&E, net	18,442	Long-Term Debt	414,769
Other Assets	329,116	Other Long-Term Liabilities	86,998
		Stockholders' Equity	(91,860)
Total Assets	$444,988	Total Liabilities and Equity	$444,988

Valuation Rationale

Empire underperformed in 2025. As of December 31, 2025, Sentinel continues to value Empire at the same 11.2x EBITDA multiple we paid for the business, unchanged from year-end 2024. After adjusting for net debt outstanding and incorporating a run-rate adjustment for recently opened locations and a normalized level of working capital as of December 31, 2025, the value of the Partnership's Class A units is $0.74 per share. The total value of the Partnership's holdings is therefore $111.0 million, or 0.7x cost and down 54.4% from the prior year. Including cumulative proceeds through 2025, the value of the Partnership's holdings as of December 31, 2025 was $188.2 million, or 1.3x cost.

[1] Includes three months of Covid normalization adjustments.

Empire Auto Parts (a/k/a POY Holdings, LLC)
12/31/2025
($000, except per-share calculations)

	Valuation - Fair Value			
	SCP VI	SCP VI-A	SCI VI	Total
Trailing 12 Month Revenue	$276,942	$276,942	$276,942	$276,942
Trailing 12 Month Adjusted EBITDA	$50,079	$50,079	$50,079	$50,079
Valuation Multiple	**11.2x**	**11.2x**	**11.2x**	**11.2x**
Enterprise Value	$561,268	$561,268	$561,268	$561,268
Less Unitranche Debt	(412,470)	(412,470)	(412,470)	(412,470)
Less Vehicle Financing Debt	(12,174)	(12,174)	(12,174)	(12,174)
Plus Cash	5,341	5,341	5,341	5,341
Less TTM Average Working Capital	(52,034)	(52,034)	(52,034)	(52,034)
Plus Actual Working Capital	57,117	57,117	57,117	57,117
Subtotal	(414,220)	(414,220)	(414,220)	(414,220)
Gross Equity Value	$147,048	$147,048	$147,048	$147,048
Value of Class A Equity	122,811	122,811	122,811	122,811
Value of Class B Equity	22,156	22,156	22,156	22,156
Value of Class C Equity	2,081	2,081	2,081	2,081
Value of Class D Equity	0	0	0	0
# Class A Units Outstanding	166,000,000	166,000,000	166,000,000	166,000,000
# Class B Units Outstanding	29,947,457	29,947,457	29,947,457	29,947,457
# Class C Units Outstanding	8,319,792	8,319,792	8,319,792	8,319,792
# Class D-1 Units Outstanding	5,561,358	5,561,358	5,561,358	5,561,358
Value per Class A Unit	$0.74	$0.74	$0.74	$0.74
Value per Class B Unit	0.74	0.74	0.74	0.74
Value per Class C Unit	0.25	0.25	0.25	0.25
Value per Class D-1 Unit	$ -	$ -	$ -	$ -
SCP VI Investment Valuation				
# Class A Units owned by SCP VI	136,544,157	10,654,557	2,801,286	150,000,000
Value of SCP Class A Units	$101,019	$7,882	$2,072	$110,974
Total Cash Realized to Date				
Q2-2023 Distribution	$652		$13	$666
Q4-23 Dividend	$69,684	$5,437	$1,430	$76,551
2023 Distributions	$70,336	$5,437	$1,443	$77,217
Value of Investment	**$171,355**	**$13,320**	**$3,515**	**$188,190**
Cost of SCP VI's Investment	$136,544	$10,655	$2,801	$150,000
Times Original Investment SCP VI	1.3x	1.3x	1.3x	1.3x
Original Transaction Multiple (EBITDA)	11.2x	11.2x	11.2x	11.2x

NSI INDUSTRIES[1]

Company Information

Transaction Summary

Date of Investment	November 2024
Source	Harris Williams
Enterprise Value	$1.50 billion
Total Investment	$705.0 million
Class A Units	$683.5 million
Class B Units	$21.5 million
Sentinel Capital Partners VII, LP and Affiliates	$518.6 million
Class A Units	$518.6 million
Fully Diluted Ownership	66.2%
Sentinel Capital Partners VI, LP Investment	$68.3 million
Class A Units	$68.3 million
Fully Diluted Ownership	8.7%
Sentinel Capital Partners VI-A, LP Investment	$5.3 million
Class A Units	$5.3 million
Fully Diluted Ownership	0.7%
Sentinel Capital Investors VI, LP Investment	$1.4 million
Class A Units	$1.4 million
Fully Diluted Ownership	0.2%
Sentinel Capital Solutions II, LP Investment	$40.0 million
Class A Units	$20.0 million
Unitranche Term Loan	$20.0 million
Fully Diluted Ownership	2.6%
Transaction Multiple of EBITDA	9.9x
Debt as % of Enterprise Value	58.3%
Total Debt/EBITDA	5.8x

HVAC Divestiture (investment amounts shown post-sale)

Date of Divestiture	October 2025
HVAC Division Enterprise Value	$550.0 million
Total Post-Sale Investment	$522.0 million
Class A Units	$506.8 million
Class B Units	$15.2 million
Sentinel Capital Partners VII, LP and Affiliates	$325.0 million
Class A Units	$325.0 million
Fully Diluted Ownership	56.0%

[1] Legal name is NSI Holding, LP.

Transaction Summary (cont.)

Sentinel Capital Partners VI, LP Investment	$68.3 million
Class A Units	$68.3 million
Fully Diluted Ownership	11.8%
Sentinel Capital Partners VI-A, LP Investment	$5.3 million
Class A Units	$5.3 million
Fully Diluted Ownership	0.9%
Sentinel Capital Investors VI, LP Investment	$1.4 million
Class A Units	$1.4 million
Fully Diluted Ownership	0.2%
Sentinel Capital Solutions II, LP Investment	$40.0 million
Class A Units	$20.0 million
Unitranche Term Loan	$20.0 million
Fully Diluted Ownership	3.4%
Divestiture Multiple of EBITDA	10.0x

Business

Founded in 1975, NSI Industries is a leading manufacturer and supplier of branded electrical components to third-party distributors in the United States and Canada. Through a broad portfolio of iconic brands, NSI offers more than 10,000 low-ticket, high-margin SKUs used by electrical contractors. When we invested in 2024, NSI comprised three divisions—electrical, HVAC, and network infrastructure. Markets served include residential (28% of revenue at closing) and commercial (72%), including warehouse (14%), retail (12%), office (10%), power and utilities (9%), manufacturing (8%), and data centers (7%). NSI is headquartered in Huntersville, North Carolina and operates 21 facilities across North America.

Descriptions of NSI's divisions as of closing follow.

Electrical (54% of revenue, 59% of EBITDA at closing). NSI's electrical division offers high-quality electrical parts, components, and accessories through a portfolio of market-leading brands: Bridgeport (48% of revenue at closing), Polaris (20%), NSI (14%), Remke (7%), Tork (7%), and Metallics (4%). NSI's electrical products are sold through distributors to electrical contractors, who choose NSI's products based on their superior durability, reliability, and functionality. The electrical division has three main product categories: cable-conduit fittings (49%), connectors (32%), and supplies and consumables (20%).

HVAC (33% of revenue, 31% of EBITDA). The HVAC division offered a wide range of premium HVAC components and accessories through two leading brands: Duro Dyne (69% of revenue at closing) and Supco (31%). Both brands have served the HVAC components market for 70+ years and have strong recognition among HVAC contractors for their premium quality and dependability. The HVAC division sold more than 7,000 SKUs across its key product categories: connectors and insulation fasteners (35% of revenue), hanging systems and other consumables (25%), switches, controls, and other components (24%), air distribution accessories (9%), and tools and test instruments (8%).

Network Infrastructure (13% of revenue, 10% of EBITDA). NSI's network infrastructure division offers network connectivity products and accessories through three prominent brands: Lynn (54% of revenue at closing), ENET (24%), and Platinum Tools (23%). These brands are recognized for their quality, innovation, and performance. The division's products are sold through distributors to network engineers and contractors, who choose NSI's solutions for their reliability, availability, and advanced technology. The network infrastructure division serves four primary channels: data communications (36% of revenue at closing), broadband (33%), IT (19%), and AV/Security (12%).

NSI is well diversified across products, applications, suppliers, and customers. NSI fulfills more than 340,000 orders per year, with an average selling price under $6 per product. Demand is replenishment-driven, and NSI's products typically represent less than 5% of the total job cost. Sought out by end users, NSI's brands generate high margins for the company and its distributors.

At closing, NSI manufactured approximately 48% of its products in its 11 U.S. manufacturing facilities and sourced 52%, providing quick turnarounds for customers from 21 distribution facilities throughout the United States and Canada. Of NSI's approximately 1,900 suppliers at closing, 54% are in North America (based on 2024 spend), 45% are in Asia, and the average relationship with NSI's top 10 vendors exceeds 20 years. In the 12 months before closing, no supplier represented more than 10% of spend.

NSI's customers consist of large national distributors, which operate through a network of local branches with localized purchasing decisions, and smaller regional distributors. NSI served about 2,500 parent customers and 25,000 branches annually, with an average customer relationship length of 32 years for its top 10 customers. At closing, no customer accounted for more than 8% of revenue and its top 10 combined 37%. The top 10 branches served represented only 7% of total revenue as of closing. NSI also has a strong position with national buying groups, which favor players of scale and value NSI for its recognized brands, vast offering, single point of purchase, and customer service.

When Sentinel invested, NSI operated in the $7.0–8.0 billion electrical and $3.5–4.5 billion HVAC components markets. The electrical components market, which includes network infrastructure, grew at an 11% CAGR from 2020 to 2023 and was expected to grow at a ~5% CAGR through 2028. The HVAC components market grew at a 14% CAGR from 2020 to 2023 and was forecasted to grow at a ~3% CAGR from 2023 to 2028. On top of the factors that have historically driven both markets—commercial construction, new housing starts, renovations, and government infrastructure spend—the current tailwinds expected to support NSI's market growth include increasing electrification, energy transition, datacenter expansion, broadband connectivity, and industrial manufacturing growth in the United States. We believe NSI is well positioned to continue growing in its core markets, underpinned by its strong brand reputation, extensive distributor network, high-quality service, and superior product performance. NSI has significant runway to gain share by cross-selling to existing customers, investing more in R&D, and boosting wallet share with national distributors.

Before Sentinel, NSI experienced several years of solid revenue and profit growth, propelled by a mix of price increases, volume gains, and margin expansion. From 2020 to the 12 months ended July 31, 2024, net revenue grew from $447.9 million to $682.8 million, a CAGR of 12.5%, and adjusted EBITDA increased from $75.0 million to $150.7 million, a CAGR of 21.5%. In the same period, NSI significantly expanded its margins through operating leverage, cost savings from add-ons, strategic pricing initiatives, and increased purchasing power with suppliers—for the 12 months ended July 31, 2024, gross margins were 40.0%, up from 34.6% in 2020, and adjusted EBITDA margins were 22.1%, up from 16.7%. NSI is an asset-light business that generates high free cash flow. When we invested, the business employed $295.3 million of tangible capital, which produced a solid 51.0% return on net invested capital.

Having completed 11 add-ons from 2020 to mid-2024, NSI demonstrated it can execute acquisitions in its fragmented market in the highly accretive range of 5.0–7.0x EBITDA. A key component of our investment thesis is NSI's ability to continue to make accretive add-ons across diversified product categories and realize savings through integration. NSI's acquisition pipeline at closing included 90+ targets with cumulative revenue of more than $5 billion, including several in active discussions.

Investment Rationale

Sentinel invested in NSI based on (i) its high-quality, market-leading brands; (ii) strong industry tailwinds in electrical and HVAC; (iii) attractive and diversified distributor customers; (iv) high margins, high free cash flow conversion, and solid return on invested capital; (v) vast portfolio of low-ticket products with replenishment-driven demand; (vi) anticipated strategic interest at exit; (vii) proven ability to execute and integrate accretive add-ons; (viii) potential cost savings from facility integration and business simplification; and (ix) professional, capable, and highly committed management team with a proven record of success.

Transaction Background

Before Sentinel, NSI was owned by Odyssey Investment Partners. In 2023, Odyssey hired Harris Williams, a midmarket investment bank, to sell the business. During the sale process, strategic buyers expressed interest in the electrical, HVAC, and network infrastructure segments individually, but not all three combined. Sentinel was among a small group of sponsors willing to buy the entire business, and we saw an opportunity to create value by exiting the segments separately. Management and Odyssey chose Sentinel due to our experience in industrials, including ECM Industries, a business that operates in the same electrical products market as NSI and that we successfully sold to nVent in 2023; our strong chemistry with management, including with then-CEO G.R. Schrotenboer, who we worked with at former Sentinel portfolio company Power Products; our deep understanding of the business from having participated in NSI's sale processes four times (2013, 2016, 2019, and 2023–24); and confidence that we would close the transaction quickly and on the agreed terms.

On November 15, 2024, Sentinel acquired NSI for $1.5 billion, or 9.9x trailing 12-month adjusted EBITDA of $150.7 million. We consider this to be an attractive valuation for a market leader in the electrical and HVAC components markets with a portfolio of premium brands, proven M&A capabilities, industry-leading financial profile, and history of consistent organic growth.

Sentinel built structural and tax flexibility into the transaction to allow us to sell the divisions separately. While we considered the HVAC and network infrastructure businesses attractive assets that we would have had no hesitation owning, we immediately began exploring the sale of both segments. Divesting these two segments would allow NSI to focus on the electrical segment, where we have a proven roadmap from our previous ownership of Power Products and ECM and a strong team of operating partners eager to support this investment.

Total funds required at closing, including transaction fees and expenses, were $1.62 billion. To finance the transaction, Sentinel secured a $1.16 billion unitranche credit facility led by Blackstone and supported by other lenders, including Antares, Golub, J.P. Morgan, Audax, Morgan Stanley, and Sentinel Capital Solutions II ($20.0 million, fully funded at close). The facility consists of an $860.0 million term loan (5.7x EBITDA), a $150.0 million revolver ($15.0 million drawn at closing), and a $150.0 million delayed-draw term loan. To complete the transaction, Sentinel led a $705.0 million equity financing, of which Sentinel VII invested $518.6 million, the Partnership $75.0 million, Sentinel Capital Solutions II $20.0 million, management $21.5 million, and other coinvestors $69.9 million.

Sentinel owns a controlling interest in NSI and has the right to designate a majority of the board of directors. Patrick Knise, John Van Sickle, and Grant Wilson are directors. Also serving on the board are Sentinel operating partners Mike Masino and James Darby, who were previously executives at former Sentinel portfolio companies ECM Industries and Power Products, Andrew Quinn, the former CEO of ILSCO Corporation, which was acquired by ECM Industries under Sentinel's ownership, and G.R. Schrotenboer, NSI's CEO at the time of Sentinel's acquisition.

Performance

Between the November closing and year-end 2024, NSI met its plan. For the 12 months ended December 31, 2024, revenue increased 4.3% year-over-year to $682.2 million, and EBITDA rose 8.0% to $158.0 million. As of December 31, 2024, NSI's total net debt to EBITDA was 5.4x, down 0.3x from closing.

In August 2025, as planned prior to closing, NSI's CEO moved to a board-only role, and CFO Mike Pruss became interim CEO. Mike has his more than 20 years of senior executive experience, including serving as SVP and CFO in private equity–backed businesses. He is also supported by our active board members, all of whom have extensive executive experience in electrical businesses. In his first half-year, Mike has proven to be a capable interim leader. A search for a full-time CEO is underway.

For NSI, 2025 was transformational. In October, consistent with our going-in strategy to divest a noncore operation, NSI sold its HVAC division to strategic buyer Lennox International Inc. (NYSE: LII) for $550.0 million in cash, or 10.0x trailing 12-month EBITDA. In the less than one year we owned the HVAC business, the segment performed well. The divestiture refocused NSI as a pure-play manufacturer of branded electrical products. The Partnership received $25.8 million, or 0.3x its original investment in NSI, as its share of the $182.9 million shareholder distribution resulting from the sale.

NSI delivered excellent financial performance in 2025. Excluding the divested HVAC business, revenue rose 9.7% year-over-year to $509.8 million, and EBITDA increased 27.6% to $138 million. These strong results were driven by cross-selling across product lines, new product introductions, market share gains, price increases, and cost improvements. Net debt to EBITDA declined to 5.1x as of December 31, 2025 from 5.4x the prior year-end, reflecting higher EBITDA and excess cash flow generation.

Looking ahead, NSI is well positioned to accelerate growth and gain market share as a refocused pure-play electrical parts provider. The management team is actively pursuing a pipeline of add-on acquisitions, while continuing to execute organic growth initiatives to sustain and extend NSI's strong performance.

<u>Investment Information</u>

	SCI VI	SCP VI	SCP VI-A	Total
Date of Initial Investment	November 2024			
Amount of Initial Investment	$1,400,643	$68,272,079	$5,327,278	$75,000,000
Date of Divestiture	October 2025			
Adjusted Investment	$1,400,643	$68,272,079	$5,327,278	$75,000,000
Sentinel VII Monitoring Role	Active – Majority Control of Board of Directors			
% Ownership	0.2%	11.8%	0.9%	12.9%

12/31/2025 Holdings/Valuation

		Cost		Estimated Value	
	Principal Amount or # of Shares	Average per Share	Total	Average per Share	Total
Sentinel Capital Partners VI, LP					
Class A Units	68,272,079	$1.00	$68,272,079	$1.26	$85,959,303
Sentinel Capital Partners VI-A, LP					
Class A Units	5,327,278	$1.00	$5,327,278	$1.26	$6,707,415
Sentinel Capital Investors VI, LP					
Class A Units	1,400,643	$1.00	$1,400,643	$1.26	$1,763,507

Financial Information (000's)

	Year Ending December 31,				
	2021	2022	2023	2024	2025[1]
Net Sales	$528,625	$638,084	$654,759	$682,199	$509,795
Adjusted EBITDA	$102,369	$129,381	$146,307	$157,970	$137,977

Balance Sheet as of December 31, 2025			
Assets		Liabilities	
Current Assets	$248,200	Current Liabilities	$74,397
PP&E, net	$37,435	Long-Term Debt	$719,020
Other Assets	$927,931	Other Long-Term Liabilities	$69,701
		Stockholders' Equity	$350,448
Total Assets	$1,213,556	Total Liabilities and Equity	$1,213,566

Valuation Rationale

NSI had a transformational year in 2025, and its performance was excellent. As of December 31, 2025, Sentinel is valuing NSI at 9.9x EBITDA, which equals the entry multiple we paid for the business. After adjusting for net debt outstanding as of December 31, 2025, we are valuing NSI's Class A units at $1.26 per share. This values the Partnership's equity at $94.4 million, up 23.1% from the prior year-end. Including proceeds from the October 2025 divestiture, the value of the Partnership's holdings as of December 31, 2025 is $120.2 million, or 1.6x cost and up 56.7% from the prior year.

[1] Declines reflect October 2025 divestiture of HVAC division.

NSI Industries
12/31/25
($000, except per-share calculations)

	Valuation - Fair Value			
	SCP VI	SCP VI-A	SCI VI	Total
Trailing 12 Month Adjusted Revenue	$509,795	$509,795	$509,795	$509,795
Trailing 12 Month Adjusted EBITDA	$137,977	$137,977	$137,977	$137,977
Valuation Multiple	**9.9x**	**9.9x**	**9.9x**	**9.9x**
Enterprise Value	$1,372,864	$1,372,864	$1,372,864	$1,372,864
Less: Unitranche Debt	(726,301)	(726,301)	(726,301)	(726,301)
Plus: Cash	27,453	27,453	27,453	27,453
Subtotal	(698,848)	(698,848)	(698,848)	(698,848)
Gross Equity Value	$674,016	$674,016	$674,016	$674,016
Value of Class A Equity	638,113	638,113	638,113	638,113
Value of Class B Equity	19,090	19,090	19,090	19,090
Value of Class C Equity	16,813	16,813	16,813	16,813
# Class A Units Outstanding	506,813,298	506,813,298	506,813,298	506,813,298
# Class B Units Outstanding	15,162,000	15,162,000	15,162,000	15,162,000
# Class C Units Outstanding	27,894,737	27,894,737	27,894,737	27,894,737
Value per Class A Unit	$1.26	$1.26	$1.26	$1.26
Value per Class B Unit	$1.26	$1.26	$1.26	$1.26
Value per Class C Unit	$0.60	$0.60	$0.60	$0.60
SCP VI Investment Valuation				
# Class A Units owned by SCP VI	68,272,079	5,327,278	1,400,643	75,000,000
Value of SCP Class A Units	$85,959	$6,707	$1,764	$94,430
Total Cash Realized to Date				
Q4-25 HVAC Divestiture	$23,462	$1,831	$481	$25,774
Value of Investment	**$109,421**	**$8,538**	**$2,245**	**$120,204**
Cost of SCP VI's Investment	$68,272	$5,327	$1,401	$75,000
Times Original Investment SCP VI	1.6x	1.6x	1.6x	1.6x
Original Transaction Multiple (EBITDA)	9.9x	9.9x	9.9x	9.9x

THE RECREATIONAL GROUP[1]

Company Information

Transaction Summary

Controlled Products Acquisition

Date of Investment	October 2021
Source	Piper Sandler
Enterprise Value	$217.5 million
Total Investment	$105.6 million
Class A Units	$87.1 million
Class B Units	$10.5 million
Class C Units	$8.1 million
Sentinel Capital Partners VI, L.P. Investment	$72.8 million
Class A Units	$72.8 million
Fully Diluted Ownership	60.7%
Sentinel Capital Partners VI-A, L.P. Investment	$5.7 million
Class A Units	$5.7 million
Fully Diluted Ownership	4.7%
Sentinel Capital Investors VI, L.P. Investment	$1.5 million
Class A Units	$1.5 million
Fully Diluted Ownership	1.2%
Sentinel Capital Solutions I, LP Investment	$18.0 million
Class A Units	$3.0 million
Subordinated Debt	$15.0 million
Fully Diluted Ownership	2.5%
Transaction Multiple of EBITDA	10.7x
Debt as % of Enterprise Value	57.4%
Total Debt/Adjusted EBITDA	6.1x

Recreational Group Acquisition

Date of Investment	December 2021
Source	Lincoln International
Enterprise Value	$280.0 million
Total Investment	$120.1 million
Class A Units	$93.7 million
Class B Units	$15.9 million
Class C Units	$10.6 million
Sentinel Capital Partners VI, L.P. Investment	$70.5 million
Class A Units	$70.5 million
Fully Diluted Ownership	55.9%
Sentinel Capital Partners VI-A, L.P. Investment	$5.5 million
Class A Units	$5.5 million
Fully Diluted Ownership	4.4%
Sentinel Capital Investors VI, L.P. Investment	$1.4 million
Class A Units	$1.4 million
Fully Diluted Ownership	1.1%
Sentinel Capital Solutions I, LP Investment	$12.0 million
Class A Units	$2.0 million
Subordinated Debt	$10.0 million
Fully Diluted Ownership	1.9%

[1] Legal name: CP Turf Topco, LLC.

Business

Sentinel's investment in The Recreational Group began with the acquisition of Controlled Products ("CP") in October 2021. While performing due diligence on CP, Sentinel was introduced to The Recreational Group ("RG"), a similar-sized and highly complementary business located next door to CP in Dalton, Georgia. In December 2021, about eight weeks after acquiring CP, the Partnership purchased RG, combined the two businesses, and renamed the combination The Recreational Group ("RecGroup").

Founded in 1989 and headquartered in Dalton, Georgia, CP is a market-leading manufacturer and distributor of premium synthetic turf products for landscape, sports, commercial, and specialty applications. CP distributes a variety of premium synthetic turf solutions through an international network of dealers and customers and to its company-owned and franchised Purchase Green stores. CP serves a diverse group of residential, commercial, and field customers with leading brands—including GrassTex, SporTurf, and Synthetic Turf International—and private-label products. As of the closing, approximately 83% of CP's sales were to the attractive non-field segment, which is characterized by small tickets of $1,000–15,000. Approximately 17% of sales were to the field end market, with ticket sizes ranging from $80,000 to $130,000. Descriptions of CP's pre-combination business units follow.

Purchase Green (37% of CP's revenue at closing) primarily sells imported turf used in residential lawn and landscape applications directly to local contractors and DIY consumers through a network of company-owned and franchised brick-and-mortar locations. Purchase Green has 16 company-owned stores and 36 franchise locations across 17 states.

Private-label products (32% of revenue) are sold into both the field and non-field segments. In the field segment, CP primarily sells to two large field installers—A-Turf and ATG, with A-Turf representing approximately 6% of CP's sales. In the non-field segment, CP serves recreation, fitness, and pet end markets through B2B direct sales. The private-label non-field business represented 23% of CP's revenue as of the closing, and the private-label field business, 9%.

Synthetic Turf International ("STI") (17% of revenue) is a leading non-field turf brand that serves the golf and high-end landscape end markets. STI sells through a network of more than 100 U.S. and international dealers, many of whom source their turf products solely from CP. STI focuses on developing strong relationships with its dealers and hosts training and education events to strengthen dealers' sales skills and market position. The average STI ticket is approximately $5,000.

SporTurf (8% of revenue) primarily serves the field market, selling through an international network of dealers and surfacing contractors. SporTurf's branded products are used in both indoor and outdoor applications, including sports fields, indoor arenas, and training facilities. The average SporTurf ticket is approximately $80,000.

GrassTex (6% of revenue) is a leading non-field turf brand that primarily serves lawn and recreational end markets through sales to dealers and distributors. GrassTex's go-to-market strategy focuses on educating carpet and flooring dealers and landscape distributors on synthetic turf applications and installation. The average GrassTex ticket is approximately $5,000.

CP has strong brands, a broad product offering, and a sophisticated, multichannel distribution network that serves a diverse customer base. Excluding Purchase Green, as of the closing, CP's end-market mix consisted of landscape (27% of revenue), field (23%), golf (19%), non-field sport (10%), gym (9%), and other customers (12%). Its top five customers accounted for 15% of revenue, and its top 10, 23%.

Before combining with RG, CP sourced extruded yarn products from various domestic and international suppliers, which it then tufted into finished goods. CP tufts and coats all its branded turf products except its products sold through Purchase Green, most of which are sourced from third parties. Tufting, coating, and logo fabrication operations take place in CP's 272,000-square-foot manufacturing facility in Dalton, Georgia.

Over the several years leading up to Sentinel's investment, CP experienced strong sales and profit growth. From 2019 to the 12 months ended June 30, 2021, net revenue grew from $77.1 million to $100.3 million, a CAGR of 19.1%, and adjusted EBITDA increased from $14.2 million to $20.3 million, a CAGR of 27.3%. Revenue growth was driven by market growth, share gains, and product introductions.

Founded in 1998 and headquartered next door to CP in Dalton, RG designs, manufactures, and installs premium surfacing products, including synthetic turf and composite modular tile. As of the closing, approximately 80% of RG's sales were generated from turf products and 20% from tile products. Approximately 55% of RG's sales were to the residential end market and 45% to nonresidential customers. Descriptions of RG's pre-combination business units follow.

XGrass (19% of RG's revenue at closing) is RG's branded turf sales and installation business. XGrass primarily serves the high-end commercial and residential market with an average order of approximately $8,000.

Synthetic Grass Pros ("SGP") (14% of revenue) was acquired in 2021 and sells synthetic turf through three storefronts in Texas, with an average order of approximately $3,000. As of the closing, SGP sourced its turf products from RG and other suppliers and planned to transition approximately 70% of its turf purchases to RG.

Viridian Fibers (13% of revenue) manufactures and sells extruded yarn made of nylon, polypropylene, and polyethylene. Viridian primarily sells texturized yarn, a highly specialized, difficult-to-manufacture product for which Viridian is the market leader. At closing, Viridian had five extrusion machines, with a sixth expected to be delivered within six months. Viridian supplies yarn for RG's internal manufacturing operations and directly to third-party turf manufacturers, including CP.

Engineered Turf (12% of revenue) was acquired in 2020 and provides tufting capabilities for RG's turf operations.

VersaCourt (10% of revenue) is one of RG's two tile brands. RG manufactures interlocking tiles for game courts (e.g., basketball, pickleball, and volleyball) and sells under the VersaCourt brand. VersaCourt serves residential and commercial customers, including schools and community centers.

SwissTrax (10% of revenue) manufactures and sells branded modular flooring tiles for residential and commercial garages.

Turf Factory Direct ("TFD") (9% of revenue) was acquired in 2020 and is an online distributor of synthetic turf for nonresidential and residential applications, with an average order size of approximately $2,000. TFD primarily sells "seconds," or pieces of turf that were originally intended for a different application, for a slight discount. TFD represents an opportunity for RG to minimize product waste and generate additional profit from turf that would not be sold through its other channels.

Easy Grass (5% of revenue) was acquired in 2021 and operates through a single storefront in Florida. Easy Grass sells synthetic turf for residential and nonresidential applications, with an average order size of approximately $8,000. As of the closing, Easy Grass sourced 100% of its products from RG.

Over the several years leading up to Sentinel's investment, RG generated strong sales and profit growth. Pro forma for all acquisitions, from 2019 to the 12 months ended August 31, 2021, net revenue grew from $108.5 million to $128.0 million, a CAGR of 10.4%, and adjusted EBITDA increased from $18.2 million to $23.4 million, a CAGR of 16.3%.

The combination of RG and CP diversified and expanded the customer base and geographic reach of each business. Because there was minimal customer overlap between the two businesses, cannibalization was negligible, and significant opportunities existed to cross-sell existing products and develop new products to be sold through the combination's customer network. The combination also united valuable manufacturing capabilities. For example, RecGroup has combined and expanded RG's yarn extrusion capabilities and CP's coating capabilities, which reduces reliance on external suppliers and has generated meaningful cost savings. In addition, RecGroup's manufacturing and distribution footprint has been consolidated from nine locations to six. In total, as of the closing, the combination was expected to generate more than $8.2 million of cost savings.

The market for recreational surfacing products is large and growing rapidly, with few vertically integrated suppliers of scale. The $4.0 billion synthetic turf market consists of two segments—outdoor living ($2.0 billion) and field ($2.0 billion). Outdoor living turf is in the early stages of adoption, with an estimated market adoption of less than 5% compared to field turf's 20% market adoption. The modular sport and specialty tile market is more nascent and was estimated to be $309 million in 2021. RecGroup holds an estimated 5% share of the total addressable turf market and an estimated 15% share of the addressable tile market.

At closing, the synthetic turf market was expected to grow 8–10% per year, driven by awareness of synthetic turf applications and benefits such as low maintenance, aesthetics, and environmental friendliness. The tile market was expected to grow 7% per year, driven by increasing awareness and relatively low market penetration.

RecGroup is an asset-light, non-capital-intensive business that produces excellent free cash flow and a high return on invested capital. With adjusted working capital of $25.0 million and net PP&E of $30.3 million, the combination employed $55.2 million of net tangible capital and generated $44.1 million of adjusted EBITDA for the 12 months before closing, which yielded a robust 79.9% return on net invested capital.

Investment Rationale

Sentinel invested in RecGroup based on its (i) portfolio of high-quality brands with leading market positions; (ii) strong tailwinds in the artificial turf and recreational surfacing industry; (iii) broad and diverse mix of channels and customers; (iv) history of successfully acquiring and integrating accretive add-ons and opportunity for further acquisitions; (v) strong margins, limited capital requirements, high free cash flow, and solid return on invested capital; and (vi) experienced, committed, and highly capable management team.

Transaction Background

CP was previously owned by private equity firm Clearview Capital. During Clearview's five-year ownership, CP experienced substantial organic growth and completed the transformative Purchase

Green acquisition. In 2021, Clearview engaged Piper Sandler, a midmarket investment bank with whom Sentinel has a longstanding relationship, to find a new partner to support CP's continued success in a rapidly growing industry. Although we were not the highest bidder, Clearview and management chose Sentinel because of the strong rapport we established with management during the sale process, our established record helping similar businesses scale organically and through acquisitions, our willingness and ability to provide significant capital to support acquisitions, and our ability to close the transaction quickly and on the agreed terms. In particular, our experience helping to transform former Sentinel portfolio company PlayCore through acquisition played an important role in establishing our credentials with management and the sellers. Sentinel sponsored the transaction and arranged the debt financing. Seven members of CP's team invested $18.3 million alongside Sentinel.

RG was previously owned by private equity firm Eagle Merchant Partners and RG's management. In 2021, Lincoln, a midmarket investment bank with whom Sentinel has a strong working relationship, was hired to sell the company. Sentinel was not the highest bidder, but Eagle and management chose us because of the relationships we developed with RG's management team, our prior success with PlayCore, the industry knowledge we developed through our involvement with CP, the significant growth potential and future equity appreciation opportunities resulting from a combination with CP, and the sellers' and Lincoln's confidence that we would close a transaction quickly and on the agreed terms. Twelve members of RG's team invested $26.5 million alongside Sentinel and the CP team.

Sentinel acquired CP for $217.5 million, which represented 10.7x trailing 12-month adjusted EBITDA. After accounting for the estimated present value of the inherited tax asset, the purchase multiple reduces to 10.3x. Total funds required at closing, including transaction expenses and closing adjustments, were $231.7 million. To finance the transaction, Sentinel secured a $111.5 million senior credit facility led by Madison Capital and NXT Capital, with Churchill and Bank of Ireland participating, consisting of a $20.0 million revolver, of which $2.75 million was drawn at closing, and a $91.5 million term loan. Sentinel also raised $30.5 million of 10.75% mezzanine financing led by Churchill Mezzanine ($15.5 million), with Sentinel Capital Solutions I ($15.0 million) participating on the same terms. At the closing of the CP transaction, net debt to EBITDA was 6.0x; funded senior net debt to EBITDA was 4.5x; and mezzanine debt to EBITDA was 1.5x.

To complete the initial CP transaction, Sentinel structured and led a $105.6 million equity financing, of which the Partnership invested $80.0 million, management $18.3 million, Churchill Mezzanine $3.1 million, Sentinel Capital Solutions I $3.0 million, and other coinvestors $1.3 million. Sentinel established a 12.0% time- and performance-vesting incentive option pool that gives management an opportunity to participate meaningfully in the upside rewards.

Eight weeks after the acquisition of CP, the Partnership acquired RG for $280.0 million, which represented 12.0x trailing 12-month adjusted EBITDA. The Partnership also pre-funded two small, accretive add-ons RG had under letter of intent for $12.8 million. Total funds required at closing, including transaction expenses, closing adjustments, and excess cash to pre-fund one-time integration costs, were $319.8 million. To finance the transaction, Sentinel raised an incremental term loan of $152.0 million on the same terms as the original CP financing. Madison Capital and NXT arranged the financing, with Churchill and Bank of Ireland participating. Sentinel also raised an incremental $46.0 million, 10.75% mezzanine tranche led by Churchill Mezzanine ($36.0 million), with Sentinel Capital Solutions I ($10.0 million) participating on the same terms.

To complete the RG transaction, Sentinel led a $120.1 million follow-on equity financing of which the Partnership invested $77.5 million, management $26.5 million, Churchill Mezzanine $7.2 million, Sentinel Capital Solutions I $2.0 million, and other coinvestors $7.0 million.

The combined purchase price of $510.3 million represented 11.5x trailing 12-month adjusted EBITDA. After accounting for the estimated present value of the inherited tax assets, the purchase multiple reduces to 10.9x. At the closing, net debt to pro forma adjusted EBITDA, including $8.2 million of identified cost savings, was 5.8x; funded senior debt to EBITDA was 4.5x; and mezzanine debt to EBITDA was 1.4x.

Sentinel owns a controlling interest in RecGroup and has the right to designate a majority of the board of directors. Haley Abate, Eric Bommer, and Patrick Knise are directors. The CEO and CFO of RG and former CEO of CP serve on the board. Also serving on the board are the retired CEO of former Sentinel portfolio company PlayCore; the founder and former CEO of CP; and the cofounder of RG.

Performance

For The Recreational Group and Controlled Products, 2021 was transformative. Besides the combination, RG completed two accretive add-ons in December—Ultrabase, which sells modular tile products that underlay turf and other surfaces to provide stability and drainage, and J.R. Mats, which sells branded golf mat products for residential and nonresidential applications. For the 12 months prior to closing, the two add-ons generated $12.1 million of revenue and $3.2 million of EBITDA. The total price paid for the two add-ons was $12.8 million, representing a highly accretive 4.0x multiple. Both add-ons were financed with pre-funded debt.

In the brief period following the October 2021 closing, RecGroup's performance met expectations. As of December 31, 2021, pro forma for the combination of RG and CP and the two accretive acquisitions, revenue was $256.3 million, up 15.9% over 2020, and EBITDA was $44.7 million, down 1.2% because of rising input costs and supply chain constraints. As of December 31, 2021, RG's net debt to financing EBITDA was 6.1x, up from 5.8x at the closing.

For RecGroup, 2022 was another transformative year in which management made considerable progress integrating the combined business. By year-end, total projected cost savings had increased to $11.8 million, up from $8.2 million underwritten at close, of which RecGroup had realized $5.5 million. In March 2022, RecGroup acquired Artificial Grass Superstore ("AGS"), an Arizona-based local distributor of synthetic turf with $2.2 million of EBITDA. The enterprise value was $12.0 million, representing a highly accretive 5.5x EBITDA multiple, with the acquisition financed entirely with senior debt.

RecGroup performed well in 2022, despite supply chain disruptions and rising input costs. Pro forma for the full-year impact of the AGS add-on, revenue increased 11.7% year-over-year to $286.2 million, and EBITDA rose 9.0% to $48.7 million. The revenue increase was driven by strong demand and market share gains, and integration-related savings boosted EBITDA growth. As of December 31, 2022, RG's net debt to financing EBITDA was 5.9x, down from 6.1x the prior year.

RecGroup had a highly productive 2023. By year-end, management had fully realized $11.8 million of cost savings from the 2021 merger of Controlled Products and RecGroup, and all integration actions were complete. In December, RecGroup acquired TurfHub, a local distributor with five locations in Arizona and Texas with $8.9 million of EBITDA, for $60.0 million. The base purchase price represents an accretive 6.7x EBITDA multiple, or 5.3x after the impact of $2.4 million of projected cost savings from purchasing synergies and insourced manufacturing. The sellers are also eligible for earnouts of up to $20.0 million based on EBITDA growth in 2023–2025. If all earnouts are paid, the 6.7x purchase multiple would reduce to 6.0x. The transaction was financed entirely with senior debt and $10.0 million of rollover equity from TurfHub's founder. Following the closing, RecGroup's net debt to EBITDA was 5.5x.

In 2023, RecGroup grew EBITDA significantly despite sluggish local distribution demand. Pro forma for the full-year impact of TurfHub, revenue increased 13.9% from 2022 to $325.9 million, and EBITDA was $65.2 million, up 33.7%. The revenue increase was due to the impact of the TurfHub acquisition. Organic revenue declined largely because of demand softness at RecGroup's California local distribution stores. EBITDA growth was attributable to continued cost savings from the integration, selective price increases, and the impact of the TurfHub acquisition. As of December 31, 2023, RecGroup's net debt to EBITDA was 5.5x, down from 5.9x the prior year.

In 2024, RecGroup continued its add-on program. In June, RecGroup acquired Perfect Turf, a turf and playground surfacing installer near Chicago with $4.0 million of EBITDA, for $16.0 million. The sellers received a $1.0 million earnout for 2024 performance and are eligible for another $1.0 million earnout based on 2025 performance. The base purchase price represents an accretive 4.0x EBITDA, or 3.3x after the impact of $0.8 million of cost savings expected from purchasing synergies. The add-on was financed with additional senior debt. Following the closing, RecGroup's net debt to EBITDA was 5.5x.

RecGroup's financial performance in 2024 was below plan. Pro forma for the full-year contribution of Perfect Turf, revenue rose 0.2% year-over-year to $326.6 million, but EBITDA fell 14.7% to $55.6 million. Revenue grew because of the Perfect Turf add-on and declined organically because of soft demand in the local distribution division—same-store sales at Purchase Green stores were down 15%, while revenue for the rest of the business was off only 3%. Organic EBITDA declines were steeper because of selective price concessions at Purchase Green stores and higher operating expenses from new store buildout. As of December 31, 2024, RecGroup's net debt to EBITDA was 6.3x, up from 5.5x the prior year.

In 2025, RecGroup focused on stabilizing sales and improving profitability. During the year, management closed eight underperforming stores, generating cost savings that drove a year-over-year EBITDA margin increase in the company-owned local distribution segment. RecGroup also converted two stores from the Purchase Green small-format model to the larger TurfHub model, increasing annual revenue at those units by 70% and 51%. In addition, RecGroup achieved $2.9 million of annualized savings through RFP-based procurement initiatives and the outsourcing of select SKUs.

RecGroup's financial performance in 2025 was solid. Driven by these initiatives, revenue for the 12 months ended December 31, 2025 increased 0.4% from 2024 to $327.8 million, and EBITDA rose 7.0% to $59.5 million. As of December 31, 2025, net debt to EBITDA stood at 5.8x, down from 6.3x the prior year.

Looking ahead to 2026, accelerating revenue growth is RecGroup's top priority. Based on a comprehensive review of pricing strategy and salesforce effectiveness, near-term initiatives include selective price increases, a reorganization of the sales team, and revised sales rep compensation to better incentivize new customer acquisition. RecGroup also plans to convert four more Purchase Green stores to the higher-profit TurfHub model. Demand for RecGroup's products would likely benefit from lower interest and mortgage rates, which could drive increased housing turnover. To support its M&A strategy—expected to resume in 2026—RecGroup raised $60.0 million of incremental DDTL capacity in December from existing lenders and new financing partners Webster Bank and Third Point.

Investment Information

	SCI VI	SCP VI	SCP VI-A	Total
Date of Initial Investment	October 2021			
Amount of Initial Investment	$1,494,019	$72,823,551	$5,682,430	$80,000,000
Date of Follow-on Investment	December 2021			
Amount of Follow-on Investment	$1,447,331	$70,547,815	$5,504,854	$77,500,000
Monitoring Role	Active – Majority Control of Board of Directors			
% Ownership	1.1%	54.6%	4.3%	60.0%

12/31/2025 Holdings/Valuation

		Cost		Estimated Value	
	Principal Amount or # of Shares	Average per Share	Total	Average per Share	Total
Sentinel Capital Partners VI, L.P.					
Class A Units	143,371,365	$1.00	$143,371,365	$1.21	$173,640,657
Sentinel Capital Partners VI-A, L.P.					
Class A Units	11,187,285	$1.00	$11,187,285	$1.21	$13,549,201
Sentinel Capital Investors VI, L.P.					
Class A Units	2,941,350	$1.00	$2,941,350	$1.21	$3,562,343

Financial Information (000's)

	Year Ending December 31,					
	2020	2021	2022[1]	2023[1]	2024[1]	2025
Net Revenue	$221,109	$256,322	$286,202	$325,893	$326,569	$327,789
Adjusted EBITDA	$45,244	$44,692	$48,735	$65,151	$55,593	$59,490

Balance Sheet as of December 31, 2025

Assets		Liabilities	
Current Assets	$98,529	Current Liabilities	$37,588
PP&E, net	37,457	Long-Term Debt	405,071
Other Assets	416,725	Other Liabilities	51,122
		Stockholders' Equity	58,930
Total Assets	$552,711	Total Liabilities and Equity	$552,711

[1] Pro forma for the full-year impact of add-ons acquired in the year.

Valuation Rationale

RecGroup performed well in 2025. As of December 31, 2025, Sentinel is valuing RecGroup at the same 11.5x entry multiple paid for the business, unchanged from the prior year. Adjusted for net debt outstanding and a normalized level of working capital as of December 31, 2025, this values the Partnership's Class A units at $1.21 per share. The total value of the Partnership's holdings as of December 31, 2025 is therefore $190.8 million, or 1.2x cost and up 20.6% from the prior year.

The Recreational Group (a/k/a CP Turf TopCo, LLC)
12/31/2025
($000, except per-share calculations)

	Valuation - Fair Value			
	SCP VI	SCP VI-A	SCI VI	Total
Trailing 12 Month Revenue	$327,789	$327,789	$327,789	$327,789
Trailing 12 Month Adjusted EBITDA	$59,490	$59,490	$59,490	$59,490
Valuation Multiple	**11.5x**	**11.5x**	**11.5x**	**11.5x**
Enterprise Value	$684,905	$684,905	$684,905	$684,905
Less Senior Debt	($332,008)	($332,008)	($332,008)	($332,008)
Less: Mezzanine Debt	(76,500)	(76,500)	(76,500)	(76,500)
Less: TurfHub Earnout	(3,000)	(3,000)	(3,000)	(3,000)
Less: TTM Average Working Capital	(64,438)	(64,438)	(64,438)	(64,438)
Plus: Actual Working Capital	60,299	60,299	60,299	60,299
Plus: Cash	13,623	13,623	13,623	13,623
Subtotal	(402,024)	(402,024)	(402,024)	(402,024)
Gross Equity Value	$282,881	$282,881	$282,881	$282,881
Value of Class A Equity	218,911	218,911	218,911	218,911
Value of Class B Equity	38,829	38,829	38,829	38,829
Value of Class C Equity	22,622	22,622	22,622	22,622
Value of Class D Equity	2,519	2,519	2,519	2,519
# Class A Units Outstanding	180,750,000	180,750,000	180,750,000	180,750,000
# Class B Units Outstanding	32,059,922	32,059,922	32,059,922	32,059,922
# Class C Units Outstanding	18,678,753	18,678,753	18,678,753	18,678,753
# Class D Units Outstanding	11,932,385	11,932,385	11,932,385	11,932,385
Value per Class A Unit	$1.21	$1.21	$1.21	$1.21
Value per Class B Unit	$1.21	$1.21	$1.21	$1.21
Value per Class C Unit	$1.21	$1.21	$1.21	$1.21
Value per Class D Unit	$0.21	$0.21	$0.21	$0.21
SCP VI Investment Valuation				
# Class A Units owned by SCP VI	143,371,365	11,187,285	2,941,350	157,500,000
Value of SCP Class A Units	$173,641	$13,549	$3,562	$190,752
Value of Investment	**$173,641**	**$13,549**	**$3,562**	**$190,752**
Cost of SCP VI's Investment	$143,371	$11,187	$2,941	$157,500
Times Original Investment SCP VI	1.2x	1.2x	1.2x	1.2x
Original Transaction Multiple (EBITDA)	11.5x	11.5x	11.5x	11.5x

REFRIGIWEAR, LLC

Company Information

Transaction Summary

Date of Investment	November 2021
Source	William Blair
Enterprise Value	$235.0 million
Total Investment	$133.5 million
Class A Units	$133.5 million
Sentinel Capital Partners VI, L.P. Investment	$91.0 million
Class A Units	$91.0 million
Fully Diluted Ownership	59.8%
Sentinel Capital Partners VI-A, L.P. Investment	$7.1 million
Class A Units	$7.1 million
Fully Diluted Ownership	4.7%
Sentinel Capital Investors VI, L.P. Investment	$1.9 million
Class A Units	$1.9 million
Fully Diluted Ownership	1.2%
Sentinel Capital Solutions I, LP Investment	$13.2 million
Class A Units	$2.2 million
Subordinated Debt	$11.0 million
Fully Diluted Ownership	1.4%
Transaction Multiple of EBITDA	12.9x
Debt as % of Enterprise Value	43.2%
Total Debt/Adjusted EBITDA	6.5x

Business

Headquartered in Dahlonega, Georgia, RefrigiWear designs and sells insulated clothing, headwear, handwear, and footwear for workers in extreme cold environments. RefrigiWear's brand is highly recognized and well-regarded in its core market, and its customers rely on RefrigiWear to provide durable, effective, and attractive workwear. RefrigiWear reaches a diverse base of customers across the food and grocery, outdoor construction, agriculture, transportation, and telecommunications industries.

RefrigiWear offers 2,300 unique SKUs that meet customer needs across temperatures, styles, and sizes. It sells its products into three core segments: Business-to-Business Food ("B2B Food"), Business-to-Business Outdoor ("B2B Outdoor"), and Direct-to-Consumer ("DTC"). Descriptions of RefrigiWear's business segments follow.

B2B Food (83% of sales). RefrigiWear's core customers are food distributors, protein processors, grocery chains, and cold storage facilities. RefrigiWear provides a diverse portfolio of jackets, bibs, pants, coveralls, handwear, headwear, and footwear that provide head-to-toe protection against the freezer environment while preserving mobility and functionality. RefrigiWear typically sells directly to the end customer in this segment. RefrigiWear has the number one market position in the segment.

B2B Outdoor (10% of sales). RefrigiWear provides workwear for outdoor operators in the telecom, construction, agriculture, and air traffic control end markets. Although the products sold into this channel are identical to those offered in the B2B Food channel, they generally feature less customization because most B2B Outdoor sales are to third-party distributors, not end users. B2B Outdoor, which RefrigiWear entered in 2018, is a key growth avenue for the company.

DTC (7% of sales). RefrigiWear sells directly to consumers through its website and retailers like Amazon, which represented 4% of total revenue at the closing and is RefrigiWear's largest third-party retailer. The product lines are identical to those offered through the B2B channels. Most customers use their RefrigiWear products at work and are reimbursed by their employers. A smaller but growing percentage of sales are to outdoor enthusiasts who use RefrigiWear products during recreational activities that require durable attire protection against cold weather. Referred to by RefrigiWear as "weekend warriors" or "industrial athletes," many of these customers were introduced to the RefrigiWear brand in the workplace.

RefrigiWear's products improve workers' safety, comfort, and productivity. Workers who are given RefrigiWear gear as an employee perk also report feeling more appreciated and better protected by their employers. Not surprisingly, cold storage companies that give their workers RefrigiWear's high-quality cold-climate gear report an average 40% reduction in employee turnover for the year.

RefrigiWear serves customers in the United States and Europe directly and serves customers in other geographies, such as Canada and Latin America, through distributor relationships. On average, RefrigiWear's top 10 customers have been with the company for more than 10 years. RefrigiWear's customer base is highly diversified; it serves more than 31,000 B2B customers and 140,000 DTC customers, the largest of which accounts for less than 8% of revenue. RefrigiWear goes to market through a 19-person B2B Food sales team, with each sales professional responsible for a region with 325–425 customers as well as a three-person B2B Outdoor sales team. The salesforce visits about 9,000 customer sites annually, which provides hundreds of individual touch points with customers over the course of a year. RefrigiWear's direct sales strategy is a key driver to its stable, long-term customer relationships. At the closing, RefrigiWear had a ~90% B2B customer retention rate and a 80% new facility win rate.

Innovation and new product development have been key ingredients in RefrigiWear's market leadership. At the closing, RefrigiWear held 112 IP registrations and had launched 100+ new products in the past four years. Sales of products launched in the past three years generated about 14% of revenue.

RefrigiWear sources its products from longstanding foreign vendors. RefrigiWear's two largest suppliers, which represent 38% of purchases, have supplied RefrigiWear for over a decade. Suppliers rely on RefrigiWear for product design, and RefrigiWear owns all designs. About 18% of B2B orders are customized with embroidery, patches, logos, emblems, custom colors/sizes, or alterations.

Although acquisitions were not a part of RefrigiWear's legacy strategy, we saw a compelling opportunity to acquire leading cold-environment workwear brands in other geographies. RefrigiWear's reputation for product quality, strong customer relationships, and established sales channels positions it well as a buyer of choice.

Prior to Sentinel's acquisition, RefrigiWear experienced several years of strong organic growth, with revenue increasing from $53.5 million in 2018 to $72.0 million in the 12 months ended September 2021, a CAGR of 11.4%, and adjusted EBITDA growing from $10.1 million to $18.2 million, a CAGR of 23.9%.

RefrigiWear has a consistent and proven track record of winning new business and increasing its share of wallet with existing customers.

RefrigiWear is an asset-light business. Working capital requirements and capital expenditures are modest. With average working capital of $20.4 million and net PP&E of $2.1 million, RefrigiWear employed $22.5 million of tangible capital at the closing and generated $18.2 million of EBITDA, which produced a robust 81% return on net invested capital.

Investment Rationale

Sentinel invested in RefrigiWear based on its (i) leading position in a growing niche market; (ii) opportunity to pursue add-ons in core and adjacent markets and channels; (iii) strong track record of organic growth; (iv) diversified customer base with little concentration; (v) high-quality, industry-recognized brand; (vi) attractive margins, limited capital requirements, high free cash flow, and solid return on invested capital; and (vii) talented, proven management team who rolled over a significant percentage of their proceeds.

Transaction Background

RefrigiWear, founded in 1954, was owned and operated by members of two families. Prior to Sentinel's acquisition, RefrigiWear had four shareholders—Ronald Breakstone and Mark Silberman and their sons, Dean Breakstone and Ryan Silberman. The two sons each held the title co-CEO. In the summer of 2021, with the elder shareholders having retired and looking to leave the business in the hands of their sons, RefrigiWear hired midmarket investment bank William Blair to manage a sale. Sentinel and William Blair have a close, longstanding relationship, having worked together on multiple buyside and sellside transactions. Sentinel was selected as RefrigiWear's partner based on our experience investing in founder-owned businesses, the strong chemistry we developed with management, our record of helping similar businesses scale rapidly through accretive acquisitions, and William Blair's confidence that we would close a transaction quickly and on the agreed terms.

Sentinel acquired RefrigiWear on November 2, 2021 for $235.0 million, or 12.9x trailing 12-month adjusted EBITDA. Adjusting for the present value of tax-deductible goodwill reduces the purchase multiple to 11.6x. We consider this a fair entry multiple for a niche market leader operating in a rapidly growing end market with a history of impressive organic growth, entrenched customer relationships, strong brand recognition, excellent free cash flow, and an experienced, committed management team.

Sentinel sponsored the transaction and arranged the debt financing. Total cash required at closing, including transaction fees and expenses, was $250.6 million. To finance the transaction, Sentinel secured a $105.5 million senior credit facility led by NXT with Varagon Capital participating, consisting of a $15.0 million revolver with $3.9 million drawn at closing, and a $90.5 million term loan. Sentinel also raised $23.0 million of mezzanine financing led by GMB Mezzanine ($12.0 million), with Sentinel Capital Solutions I ($11.0 million) participating on the same economic terms. At the closing, total net debt to EBITDA was 6.4x; funded senior debt to EBITDA was 5.1x; and mezzanine debt to EBITDA was 1.3x.

To complete the transaction, Sentinel led a $133.5 million equity financing, of which Sentinel VI invested $100.0 million, management $28.5 million, GMB Mezzanine $2.4 million, Sentinel Capital Solutions I $2.2 million, and other coinvestors $0.4 million. Sentinel established a 12.0% time- and performance-based incentive option pool that gives management the opportunity to participate meaningfully in future upside rewards.

Sentinel owns a controlling interest in RefrigiWear and has the right to designate a majority of the board of directors. Owen Basham, Mike Griffin, Chris McClain, Erika Stanford, and John Van Sickle serve as directors. RefrigiWear's CEO and its former co-president also serve on the board.

Performance

RefrigiWear achieved significant organic growth in 2021, driven by new customer and facility wins, higher sales volume with existing B2B customers, and growth in the DTC channel. For 2021, revenue was $75.7 million, up 16.7% over 2020, and EBITDA increased 11.8% to $18.4 million. As of December 31, 2021, RefrigiWear's net debt to EBITDA was 6.2x, down from 6.4x at the closing.

RefrigiWear had a highly productive 2022. In May 2022, RefrigiWear acquired Samco, a primary competitor in the B2B Food market with $1.5 million of adjusted EBITDA. The highly strategic add-on expanded RefrigiWear's portfolio to better serve customers across a spectrum of price points. RefrigiWear paid $7.7 million for Samco at a highly accretive 5.2x EBITDA multiple, and financed the transaction with an incremental term loan.

RefrigiWear performed well in 2022. It generated meaningful organic growth, driven by strong volume gains in the B2B Food and B2B Outdoor channels as well as price increases implemented during the year. Pro forma for the full-year impact of the Samco add-on, revenue rose 14.8% from 2021 to $96.4 million, and adjusted EBITDA increased 23.4% to $24.5 million. As of December 31, 2022, RefrigiWear's net debt to EBITDA was 4.7x, down from 6.2x the prior year.

In 2023, RefrigiWear performed below plan. Revenue was impacted by declines at two key customers and lower sales to certain other customers as rising unemployment and slower employee turnover resulted in fewer new workers requiring outfitting. Revenue decreased 8.1% year-over-year to $88.6 million, and adjusted EBITDA declined 6.2% to $23.0 million. Despite softer performance, RefrigiWear generated meaningful cash flow and continued to deleverage. As of December 31, 2023, RefrigiWear's net debt to EBITDA ratio was 4.5x, down from 4.7x the prior year.

In 2024, RefrigiWear made significant progress on its acquisition program, completing three accretive add-ons. In January, it acquired Avaska, a competitor in the U.S. B2B Food market, for a highly accretive 4.9x pro forma adjusted EBITDA of $1.9 million, and funded the $9.5 million purchase with cash on hand. In February, RefrigiWear acquired FlexiTog, a leading B2B Food brand and highly strategic add-on that expands RefrigiWear's presence in the UK and continental Europe and fortifies its leading global market position. RefrigiWear paid $35.9 million, or an accretive 9.6x FlexiTog's $3.7 million of EBITDA, and financed the transaction with an incremental term loan and seller rollover equity. In December, RefrigiWear acquired Tessuto, a Dutch B2B Food brand, paying $0.8 million in cash, or an accretive 6.1x Tessuto's $0.1 million of EBITDA.

RefrigiWear's organic growth fell short of plan in 2024. Revenue was impacted by declines among smaller customer accounts and industrywide headwinds in the United States, as reduced throughput at major cold storage companies dampened demand for protective workwear. Pro forma for the full-year impact of the three add-ons, revenue declined 4.0% year-over-year to $107.4 million, and adjusted EBITDA decreased 12.2% to $25.8 million. As of December 31, 2024, RefrigiWear's net debt to EBITDA was 5.2x, up from 4.5x the prior year.

For RefrigiWear, 2025 brought M&A growth in Europe but a new operational challenge. RefrigiWear acquired Goldfreeze in the UK and Fortdress, an established B2B Food brand in Germany. The $33.9 million combined purchase price represented an accretive 7.0x the combined pro forma $4.8 million of EBITDA, and was funded by incremental term debt, cash on hand, and seller rollover. In integrating the add-ons, RefrigiWear opened a Netherlands distribution center to consolidate its continental Europe facilities. Early execution issues at the new warehouse disrupted order fulfillment and invoicing, adversely affecting European performance.

The execution challenges at the European distribution center, compounded by higher imports tariffs, held back RefrigiWear's 2025 financial performance. These issues were partly offset by steady performance in the United States. Pro forma revenue increased 2.1% year-over-year to $138.0 million, while EBITDA declined 7.1% to $28.8 million. As of December 31. 2025, net debt to EBITDA was 6.2x, up from 5.2x the prior year.

Entering 2026, RefrigiWear has made solid progress addressing the warehouse issues, including the hiring of a new leader for the European business. And with the impact of 2025's tariffs now largely reflected in pricing, RefrigiWear is positioned for improved performance. RefrigiWear has also implemented several organic growth initiatives to accelerate momentum in the United States. RefrigiWear is the established global market leader, and we remain optimistic about its prospects.

Investment Information

	SCI VI	SCP VI	SCP VI-A	Total
Date of Initial Investment	November 2021			
Amount of Initial Investment	$1,867,524	$91,029,438	$7,103,038	$100,000,000
Monitoring Role	Active – Majority Control of Board of Directors			
% Ownership	1.2%	56.4%	4.4%	62.0%

12/31/2025 Holdings/Valuation

		Cost		Estimated Value	
	Principal Amount or # of Shares	Average per Share	Total	Average per Share	Total
Sentinel Capital Partners VI, L.P.					
Class A Units	91,029,438	$1.00	$91,029,438	$1.01	$91,671,267
Sentinel Capital Partners VI-A, L.P.					
Class A Units	7,103,038	$1.00	$7,103,038	$1.01	$7,153,120
Sentinel Capital Investors VI, L.P.					
Class A Units	1,867,524	$1.00	$1,867,524	$1.01	$1,1880,691

Financial Information (000's)

	Year Ending December 31,					
	2020	2021	2022[1]	2023	2024[1]	2025[1]
Net Sales	$64,831	$75,676	$96,395	$88,610	$107,447	$137,983
Adjusted EBITDA	$16,488	$18,442	$24,485	$22,965	$25,752	$28,766

[1] Pro forma for the full-year impact of add-ons acquired in the year.

Balance Sheet as of December 31, 2025			
Assets		Liabilities	
Current Assets	$56,798	Current Liabilities	$16,629
PP&E, net	4,491	Long-Term Debt	182,190
Other Assets	240,111	Stockholders' Equity	102,582
Total Assets	$301,401	Total Liabilities and Equity	$301,401

Valuation Rationale

RefrigiWear's 2025 performance was constrained by execution issues in Europe. As of December 31, 2025, Sentinel is valuing RefrigiWear at 11.5x EBITDA, unchanged from the prior year and below the 12.9x entry multiple, reflecting a blended multiple that incorporates subsequent larger add-ons. Adjusted for net debt outstanding as of December 31, 2025, the value of the Partnership's Class A units is $1.01 per unit. The total value of the Partnership's holdings as of December 21, 2025 is therefore $100.7 million, or 1.0x cost and down 10.1% from the prior year.

RefrigiWear, LLC
12/31/2025
($000, except per-share calculations)

	Valuation - Fair Value			
	SCP VI	SCP VI-A	SCI VI	Total
Trailing 12 Month Revenue	$137,983	$137,983	$137,983	$ 137,983
Trailing 12 Month Adjusted EBITDA	$28,766	$28,766	$28,766	$ 28,766
Valuation Multiple	**11.5x**	**11.5x**	**11.5x**	**11.5x**
Enterprise Value	$330,808	$330,808	$330,808	$330,808
Less: Senior Debt	(159,801)	(159,801)	(159,801)	(159,801)
Less: Mezzanine Debt	(23,000)	(23,000)	(23,000)	(23,000)
Less: Deferred Consideration	(1,494)	(1,494)	(1,494)	(1,494)
Plus: Cash	3,237	3,237	3,237	3,237
Subtotal	(181,058)	(181,058)	(181,058)	(181,058)
Gross Equity Value	$149,750	$149,750	$149,750	$149,750
Value of Class A Equity	134,506	134,506	134,506	134,506
Value of Class B Equity	1,124	1,124	1,124	1,124
Value of Class E Equity	14,081	14,081	14,081	14,081
Value of Class C Equity	39	39	39	39
# Class A Units Outstanding	133,564,285	133,564,285	133,564,285	133,564,285
# Class B Units Outstanding	1,115,665	1,115,665	1,115,665	1,115,665
# Class E Units Outstanding	11,265,100	11,265,100	11,265,100	11,265,100
# Class C Units Outstanding	5,573,243	5,573,243	5,573,243	5,573,243
Value per Class A Unit	$1.01	$1.01	$1.01	$1.01
Value per Class B Unit	$1.01	$1.01	$1.01	$1.01
Value per Class E Unit	$1.25	$1.25	$1.25	$1.25
Value per Class C Unit	$0.01	$0.01	$0.01	$0.01
P-1 Options Outstanding	0	0	0	0
P-2 Options Outstanding	0	0	0	0
SCP VI Investment Valuation				
# Class A Units owned by SCP VI	91,029,438	7,103,038	1,867,524	100,000,000
Value of SCP Class A Units	$91,671	$7,153	$1,881	$100,705
Value of Investment	**$91,671**	**$7,153**	**$1,881**	**$100,705**
Cost of SCP VI's Investment	$91,029	$7,103	$1,868	$100,000
Times Original Investment SCP VI	1.0x	1.0x	1.0x	1.0x
Original Transaction Multiple (EBITDA)	12.9x	12.9x	12.9x	12.9x

SMARTSIGN PARENT, LLC

Company Information

Transaction Summary

Original Platform Investment

Date of Investment	September 2022
Source	Robert W. Baird
Enterprise Value	$385.0 million
Total Investment	$211.8 million
Class A Units	$191.9 million
Class B Units	$19.8 million
Sentinel Capital Partners VI, L.P. Investment	$136.5 million
Class A Units	$136.5 million
Fully Diluted Ownership	54.6%
Sentinel Capital Partners VI-A, L.P. Investment	$10.7 million
Class A Units	$10.7 million
Fully Diluted Ownership	4.3%
Sentinel Capital Investors VI, L.P. Investment	$2.8 million
Class A Units	$2.8 million
Fully Diluted Ownership	1.1%
Sentinel Capital Solutions I, LP Investment	$24.0 million
Class A Units	$4.0 million
Subordinated Debt	$20.0 million
Fully Diluted Ownership	1.6%
Transaction Multiple of EBITDA	11.9x
Debt as % of Enterprise Value	50.6%
Total Debt/EBITDA	6.0x

Follow-on Investment in FenceScreen

Date of Investment	June 2023
Enterprise Value	$71.0 million
Total Investment	$22.6 million
Class B Units	$22.6 million
Sentinel Capital Partners VI, L.P. Investment	$11.7 million
Equity	$11.7 million
Fully Diluted Ownership	54.6%
Sentinel Capital Partners VI-A, L.P. Investment	$0.9 million
Equity	$0.9 million
Fully Diluted Ownership	4.3%
Sentinel Capital Investors VI, L.P. Investment	$0.2 million
Equity	$0.2 million
Fully Diluted Ownership	1.1%
Sentinel Capital Solutions I, LP Investment	$0.3 million
Equity	$0.3 million
Fully Diluted Ownership	1.6%
Transaction Multiple of EBITDA	7.8x

SmartSign Founded in 1999 and headquartered in Brooklyn, New York, SmartSign is an online provider of customizable and specialized signs, labels, and tags serving the compliance, safety, and regulatory needs of customers. SmartSign's customers include 75% of the Fortune 1000.

SmartSign operates 26 websites offering a product portfolio of specialized and customized signs, tape, labels, tags, floor mats, and related products and accessories suited for thousands of uses across dozens of end markets. SmartSign's websites account for approximately 80% of sales, with the remainder sold through Amazon or directly to third parties. At closing, SmartSign operated five manufacturing facilities that make 80% of the products it sells. The five company-owned facilities are in South Dakota, California, North Carolina, and New York and were SmartSign's largest vendors before they were acquired. Most products are manufactured to order and shipped in one or two days. SmartSign operates an office in Jaipur, India with 103 long-tenured employees who manage product design, ecommerce, quality control, and IT.

Descriptions of SmartSign's product categories follow.[1]

> **Signs and Tape** (69% of sales) is SmartSign's largest product category. Products include parking signs, safety signs, campground signs, floor tape, and related accessories like signposts and bollards. SmartSign's 64,000 SKUs can be configured more than 600,000 different ways; 66% of revenue comes from products customized on SmartSign's websites, and almost all products are available in a variety of sizes, colors, materials, and configurations. In 2025, the average order size for signs and tape purchased was $90, with 1.1 million orders in 2024.
>
> **Labels, Tags, and Floor Mats** (31% of sales) drive predictable repeat sales, which have contributed to SmartSign's organic growth and high customer retention. Products have a wide range of uses and include regulatory-related safety labels on industrial equipment, asset tags on company-owned laptops and devices, and town parking permits. As consumables, labels and tags generate strong repeat purchases. In 2025, the average order size for labels and tags purchased was $193, with around 219,000 total orders.

A key contributor to SmartSign's success is its proprietary ecommerce platform. A dedicated IT team works to ensure efficient advertising spend and search engine optimization across 60,000+ keywords that track customer demand in specific use cases. This allows SmartSign to dominate thousands of small niche product categories and be one of the first results when a customer searches for a specific sign or label. SmartSign's websites are designed to be easy to use and offer powerful customization capabilities and a wide range of pre-existing and configurable designs. Once a customer order is received, SmartSign prints to order, which eliminates the need for finished goods inventory, and ships most products within two days.

SmartSign serves more than 750,000 customers annually, with about 70% of revenue from repeat customers who return for their sign, label, and tag needs. SmartSign serves small to midsized businesses and large corporations, including 75% of the Fortune 1000, across hundreds of verticals, including education, healthcare, and industrials. Customers buy updated products from SmartSign whenever they expand, are involved in a merger or acquisition, face a change in regulations, or replace worn-out products. Over the last 10 years, SmartSign grew revenue contribution from returning customers from 43% to 70% of annual sales. Customer cohorts are predictable; after their first year,

[1] Excludes sales through third parties (e.g., Amazon and Granger) and signs manufactured for third parties.

each cohort averages 20% of its first-year revenue in the second year, with only moderate attrition after year two. This dynamic creates a growing and predictable customer base and improves the return on customer acquisition costs. Customers who have been repeat customers for more than five years tend to purchase signs every other year and tags and labels every 1.7 years. SmartSign is diversified across customers and end markets, with its largest 10 customers representing less than 1% of revenue in 2025.

SmartSign competes in the U.S. sign, label, tag, and accessories market, which was expected to grow 6–7% through 2026. The online segment of this market was estimated to be $1.3 billion and was projected to grow 13–14% annually through 2026. Driving this growth is the shift away from traditional catalog and brick-and-mortar dealers and the acceleration of ecommerce. Customers value the convenience, easy customization, lower pricing, and quicker deliveries of online providers, who are also able to update their product assortments to track changing regulations and demand in real time. SmartSign is a disruptive, digital, vertically integrated tech platform with a broad range of customizable SKUs and same-day shipping that is well positioned to continue gaining market share.

Having acquired and integrated five accretive add-ons since 2020, SmartSign has a proven ability to grow through acquisitions. SmartSign's excellent reputation, established platform, entrenched relationships, and breadth of products well position it to further consolidate its fragmented market. Management has developed an actionable list of acquisition targets and is in active discussions with many of them.

Before Sentinel's investment, SmartSign experienced many years of consistent sales and profit growth—especially impressive, it grew revenue every year from 2005 to closing, including in 2008 and 2020. From 2019 to the 12 months ended July 2022, pro forma revenue grew 9.7% annually from $104.5 million to $132.6 million, and adjusted EBITDA grew 11.6% annually, from $21.4 million to $32.3 million.

SmartSign is an asset-light business that generates high free cash flow and produces an impressive return on net invested capital. When we invested, SmartSign employed $11.6 million of tangible capital, which produced an impressive 279.0% return on net invested capital as of the closing.

Investment Rationale

Sentinel invested in SmartSign based on its (i) leadership position in the growing online segment of the custom signs, labels, and tags industry; (ii) high customer retention and recurring revenue; (iii) highly diversified customer base with no concentration; (iv) vertically integrated manufacturing capabilities; (v) proven, disruptive business model; (vi) high margins, strong free cash flow characteristics, and attractive return on invested capital; (vii) opportunity to execute accretive acquisitions; and (viii) well-aligned, capable, and committed management team with a proven record of success.

Transaction Background

SmartSign was previously owned by Norwest Venture Partners ("NVP"). Under NVP's ownership, SmartSign completed four acquisitions, vertically integrating its manufacturing partners. In 2021, having owned SmartSign for three years, NVP hired Robert W. Baird, a midmarket investment bank, to find a partner to acquire the company and support its ambitious growth strategy. Baird, with whom Sentinel has worked on many buyside and sellside transactions, invited Sentinel into the process as part of a select group of buyers with early access to management. Management and Baird ultimately chose Sentinel because of our relevant experience rapidly scaling business services and manufacturing companies that operate in fragmented industries, the strong chemistry we developed with management, and our ability to close the transaction quickly and on the agreed terms.

On September 7, 2022, Sentinel acquired SmartSign for $385.0 million, or 11.9x trailing 12-month adjusted EBITDA, which is reduced to 10.2x after adjusting for the estimated present value of the tax shield. We consider this an attractive valuation for a fast-growing, vertically integrated ecommerce platform offering specialized, nondiscretionary, high-margin products to attractive end markets.

Total funds required at closing, including transaction expenses and purchase price adjustments, were $406.8 million. To finance the transaction, Sentinel secured a $170.0 million senior credit facility led by Churchill, with Crescent, Manulife, and AEA participating. The senior facility consisted of a $25.0 million revolver, undrawn at closing, and a $145.0 million senior term loan. Sentinel also raised $50.0 million of 10.75% mezzanine financing led by New Canaan ($20.0 million), with Sentinel Capital Solutions I ($20.0 million) and GMB ($10.0 million) participating. At the closing, net debt to EBITDA was 5.9x; funded senior net debt to EBITDA was 4.5x; and mezzanine debt to EBITDA was 1.6x.

To complete the transaction, Sentinel led a $211.8 million equity financing, of which the Partnership invested $150.0 million, seller NVP $25.0 million, New Canaan $4.0 million, Sentinel Capital Solutions I $4.0 million, GMB $2.0 million, Baird Principal Group $3.0 million, SmartSign's founders $18.0 million, and management $5.8 million. Sentinel established a time-vesting and performance-based incentive unit pool for management and other key employees as an opportunity to participate meaningfully in the upside rewards. The incentive pool represents 15.0% of fully diluted ownership.

Sentinel owns a controlling interest in SmartSign and has the right to designate a majority of the board of directors. Trevor Anderson, Michael Fabian, and John McCormack are directors. Also serving on the board are SmartSign's CEO, a founder, and a representative from NVP.

Performance

SmartSign's performance was excellent following the September 2022 closing. SmartSign's growth was driven by strong sales to new and repeat customers, product introductions, and strategic price increases. For the full year, revenue rose 17.9% to $141.4 million, and EBITDA was $32.7 million, up 22.4%. As of December 31, 2022, SmartSign's total net debt to EBITDA was 5.7x, down from 6.0x at the closing.

In June 2023, SmartSign bought FenceScreen in a $71.0 million transformative acquisition that provided entry into an adjacent market. FenceScreen is an ecommerce retailer and manufacturer of custom screens for fences that provide privacy, windproofing, and soundproofing at construction sites, event venues, sport facilities, and more. These screens, sold through FenceScreen's website, are often mandated by law or local regulations. For the 12 months prior to closing, FenceScreen generated revenue of $25.2 million and adjusted EBITDA of $9.1 million. The $71.0 million purchase price placed a highly accretive 7.8x multiple on the transaction, which was financed with $55.0 million of incremental senior debt from existing lenders and $22.6 million of new equity. The Partnership ($12.9 million) led the equity financing, with Norwest Venture Partners ($2.1 million), Sentinel Capital Solutions I ($0.3 million), management ($1.4 million), other existing shareholders ($1.1 million), and the selling shareholder ($5.0 million) participating. The follow-on investment brought the Partnership's total investment in SmartSign to $162.9 million.

SmartSign's performance in 2023 was mixed. SmartSign started the year with strong top-line growth but encountered challenges in the third and fourth quarters. Soon after SmartSign acquired FenceScreen, supply chain delays limited product availability, resulting in missed sales during the peak construction season. In parallel, management moved a manufacturing plant from New York to a larger facility in North Carolina to reduce costs and add capacity. The move did not go smoothly—fewer employees relocated than anticipated, and production issues surfaced when equipment was reinstalled. For the full year, revenue, pro forma for the FenceScreen acquisition, was $172.8 million, up 3.8% over 2022, and EBITDA was $38.5 million, down 7.3%. The revenue increase was driven by stable demand in SmartSign's end markets, offset by lower output at the North Carolina facility. The EBITDA decline was magnified by plant execution issues, coupled with higher advertising spend and planned investments in SG&A. As of December 31, 2023, SmartSign's net debt to EBITDA was 6.2x, up from 5.8x the prior year.

For SmartSign, 2024 was a transition year. In response to the largely self-inflicted challenges in 2023, SmartSign replaced its CEO with Sentinel operating partner Chris McClain, who had been serving on the board, as permanent CEO. Under Chris's leadership, SmartSign has rebuilt its management team, adding a new CFO, COO, Chief Growth Officer, Chief of Staff, and President of FenceScreen. The original founders helped SmartSign through the changes, then transitioned to advisory roles at the end of 2024.

Performance for 2024 fell short of plan but stabilized under new leadership in the second half of the year. For the full year, revenue declined 3.0% to $167.6 million, and EBITDA fell 10.6% to $34.5 million. The revenue decrease was driven by lower order volumes across SmartSign's channels, partly offset by higher average order values. The larger EBITDA decline stemmed from operational issues in the North Carolina plant. As of December 31, 2024, SmartSign's net debt to EBITDA was 6.4x, up from 6.2x the prior year.

SmartSign turned a corner in 2025. The business benefited from a revamped and strengthened management team that systematically implemented improved business processes and established a culture of accountability. In an increasingly competitive digital environment, SmartSign focused on organic sales initiatives, cut costs, and wound down its underperforming Quality Circle Products (QCP) business. FenceScreen, which was underachieving its potential, delivered a strong year under new leadership.

SmartSign's performance improved markedly in 2025. Reflecting the discontinuation of QCP, year-over-year revenue declined 2.1% to $164.0 million, while EBITDA grew 6.4% to $36.7 million. Pro forma for the QCP closure, revenue increased a modest 0.6%, supported by wallet share gains with distribution customers and a rebound at FenceScreen. EBITDA growth resulted from the QCP closure and cost savings initiatives. As of December 31, 2025, SmartSign's net debt to EBITDA was 6.0x, down from 6.4x the prior year.

With a highly capable, new senior leadership team in place and operating effectively, our outlook for SmartSign is positive. We expect the recent investments in management talent and infrastructure to support accelerated growth. SmartSign also maintains a robust acquisition pipeline, providing opportunities to make accretive add-ons this year.

Investment Information

	SCI VI	SCP VI	SCP VI-A	Total
Date of Initial Investment	September 2022			
Amount of Initial Investment	$2,801,286	$136,544,157	$10,654,557	$150,000,000
Date of Follow-on Investment	June 2023			
Amount of Follow-on Investment	$240,110	$11,703,785	$913,248	$12,857,143
Monitoring Role	Active – Majority Control of Board of Directors			
% Ownership	1.1%	54.6%	4.3%	60.0%

12/31/2025 Holdings/Valuation

		Cost		Estimated Value	
	Principal Amount or # of Shares	Average per Share	Total	Average per Share	Total
Sentinel Capital Partners VI, L.P.					
Class A Units	136,544,157	$1.00	$136,544,157	$0.93	$127,003,170
Class B Units	9,363,028	$1.25	$11,703,785	$0.93	$8,708,789
Sentinel Capital Partners VI-A, L.P.					
Class A Units	10,654,557	$1.00	$10,654,557	$0.93	$9,910,072
Class B Units	730,598	$1.25	$913,248	$0.93	$679,548
Sentinel Capital Investors VI, L.P.					
Class A Units	2,801,286	$1.00	$2,801,286	$0.93	$2,605,547
Class B Units	192,088	$1.25	$240,110	$0.93	$178,666

Financial Information (000's)

	Year Ending December 31,				
	2021	2022	2023[1]	2024	2025
Revenue	$119,934	$141,350	$172,763	$167,573	$163,982
Adjusted EBITDA	$26,714	$32,709	$38,549	$34,458	$36,666

Balance Sheet as of December 31, 2025			
Assets		Liabilities	
Current Assets	$42,050	Current Liabilities	$25,631
PP&E, net	6,270	Long-Term Debt	243,913
Other Assets	324,854	Other Long-Term Liabilities	14,241
		Stockholders' Equity	89,390
Total Assets	$373,174	Total Liabilities and Equity	$373,174

Valuation Rationale

SmartSign delivered a significant improvement in performance in 2025 and enters 2026 with positive momentum. As of December 31, 2025, Sentinel is valuing SmartSign at the same 11.9x EBITDA multiple paid for the business, unchanged from the prior year. After adjusting for net debt outstanding as of December 31, 2025, we are valuing the Partnership's Class A and Class B units at $0.93 per share. The total value of the Partnership's holdings as of December 31, 2025 is therefore $149.1 million, or 0.9x cost and up 18.9% from the prior year.

[1] Pro forma for the full-year impact of add-ons acquired in the year.

SmartSign Parent, LLC
12/31/25
($000, except per-share calculations)

	Valuation - Fair Value			
	SCP VI	SCP VI-A	SCI VI	Total
Trailing 12 Month Revenue	$163,982	$163,982	$163,982	$163,982
Trailing 12 Month Adjusted EBITDA	$36,666	$36,666	$36,666	$36,666
Valuation Multiple	**11.9x**	**11.9x**	**11.9x**	**11.9x**
Enterprise Value	$437,672	$437,672	$437,672	$437,672
Less Senior Debt	(193,913)	(193,913)	(193,913)	(193,913)
Less Mezzanine Debt	(50,000)	(50,000)	(50,000)	(50,000)
Plus Cash	20,006	20,006	20,006	20,006
Subtotal	(223,907)	(223,907)	(223,907)	(223,907)
Gross Equity Value	$213,766	$213,766	$213,766	$213,766
Less Class A Redemption Value	($178,549)	($178,549)	($178,549)	($178,549)
Less Class B Redemption Value	($35,216)	($35,216)	($35,216)	($35,216)
Total Remaining Value	$0	$0	$0	$0
Class A Shares Value	$178,549	$178,549	$178,549	$178,549
Class B Shares Value	35,216	35,216	35,216	35,216
Class A Shares Outstanding	191,962,747	191,962,747	191,962,747	191,962,747
Class B Shares Outstanding	37,861,732	37,861,732	37,861,732	37,861,732
Class C Shares Outstanding	11,146,371	11,146,371	11,146,371	11,146,371
Value per Class A Unit	$0.93	$0.93	$0.93	$0.93
Value per Class B Unit	$0.93	$0.93	$0.93	$0.93
Value per Class C Unit	$0.00	$0.00	$0.00	$0.00
SCP VI Investment Valuation				
# Class A Units owned by SCP VI	136,544,157	10,654,557	2,801,286	150,000,000
# Class B Units owned by SCP VI	9,363,028	730,598	192,088	10,285,714
Value of SCP Class A Units	$127,003	$9,910	$2,606	$139,519
Value of SCP Class B Units	$8,709	$680	$179	$9,567
Value of Investment	**$135,712**	**$10,590**	**$2,784**	**$149,086**
Cost of SCP VI's Investment	$148,248	$11,568	$3,041	$162,857
Times Original Investment SCP VI	0.9x	0.9x	0.9x	0.9x
Original Transaction Multiple (EBITDA)	11.9x	11.9x	11.9x	11.9x

SPECTRUM SAFETY SOLUTIONS, LLC

Company Information

Transaction Summary

Date of Investment	July 2024
Source	Goldman Sachs, J.P. Morgan
Enterprise Value	$1.375 billion
Total Investment	$680.0 million
Class A Units	$660.0 million
Unitranche Term Loan	$20.0 million
Sentinel Capital Partners VII, LP and Affiliates	$440.0 million
Class A Units	$440.0 million
Fully Diluted Ownership	53.7%
Sentinel Capital Partners VI, L.P. Investment	$173.0 million
Class A Units	$173.0 million
Fully Diluted Ownership	21.1%
Sentinel Capital Partners VI-A, L.P. Investment	$13.5 million
Class A Units	$13.5 million
Fully Diluted Ownership	1.6%
Sentinel Capital Investors VI, L.P. Investment	$3.5 million
Class A Units	$3.5 million
Fully Diluted Ownership	0.4%
Sentinel Capital Solutions II, LP Investment	$40.0 million
Class A Units	$20.0 million
Unitranche Term Loan	$20.0 million
Fully Diluted Ownership	2.4%
Transaction Multiple of EBITDA	11.1x
Debt as % of Enterprise Value	56.0%
Total Debt/Adjusted EBITDA	6.2x

Business

spectrum SAFETY SOLUTIONS

Spectrum Safety Solutions is a leading manufacturer of branded industrial fire detection and suppression products and services used in mission-critical and high-hazard environments where the risk of injuries or fatalities and/or cost of damage are high. Markets served include oil and gas (28% of 2023 revenue), critical infrastructure (23%), marine and vessel (19%), commercial (15%), power generation and petrochemical (10%), and clean energy (5%). Spectrum's products are sold under the names Autronica, Det-Tronics, Fireye, and Marioff, all of which are highly recognized, premium industrial safety brands known for exceptional performance, reliability, and durability. Headquartered in Stamford, Connecticut, Spectrum has more than 1,700 employees worldwide, with key production facilities and brand headquarters in the United States and Europe.

Descriptions of Spectrum's four fire businesses follow.

Det-Tronics (28.8% of revenue as of 2025, 32.6% of EBITDA). Based in Minneapolis, Minnesota and founded in 1973, Det-Tronics is a global manufacturer of flame detection, gas detection, and high-hazard mitigation systems used in rugged environments. Det-Tronics offers a comprehensive range of products to detect flames, combustible gas, toxic gas, and smoke as well as corresponding controllers and communication solutions. Det-Tronics' products are used in upstream (28% of Det-Tronics' 2023 revenue), midstream (14%), refining (18%), industrial manufacturing (20%), power generation (11%), clean energy (10%), and marine (1%) end-market verticals. Det-Tronics has strong capture of replacement for its installed base, with 45% of revenue coming from service and aftermarket. Of Det-Tronics' revenue, 45% was from North America, ~33% Europe, ~12% Latin America, and ~10% APAC.

Marioff (39.0% of revenue, 33.6% of EBITDA). Based in Kerava, Finland and founded in 1985, Marioff is an industry-leading provider and manufacturer of high-pressure water mist fire suppression systems. Marioff's water mist solution has many benefits over traditional sprinkler and gaseous and chemical suppression systems, including less property damage post-discharge, favorable environmental considerations, improved safety for occupants, and superior fire suppression characteristics (including on electrical, battery, and grease fires). Marioff systems are used in marine (39% of Marioff's 2023 revenue), commercial (28%), data center (13%), industrial manufacturing (12%), and other (8%) end markets. Marioff has strong capture of replacement for its installed base, with service and aftermarket sales contributing 30% of revenue. Of Marioff's revenue, 66% was from Europe, 27% North America, and 6% APAC.

Autronica (23.0% of revenue, 21.2% of EBITDA). Based in Trondheim, Norway and founded in 1957, Autronica is a leading provider of fire, smoke, and gas detection solutions for rugged environments. Autronica offers turnkey systems for numerous applications, including cruise ships, hospitals, liquefied natural gas plants, offshore oil and gas, and offshore wind, and holds many advanced regulatory certifications for harsh environments. Autronica's products are used in commercial (24% of Autronica's 2023 revenue), marine and vessels (18%), industrial manufacturing (14%), upstream (14%), refining (5%), food and beverage (5%), and other (17%) end markets. Autronica's installed base has a substantial foothold that drives replacement revenue streams, with 50% of revenue coming from service and aftermarket. Of Autronica's revenue, 81% was from Europe, 12% APAC, and 7% North America.

Fireye (9.2% of revenue, 12.6% of EBITDA). Based in Derry, New Hampshire and founded in 1930, Fireye is the industry leader in flame safeguard controls and burner management systems for commercial and industrial applications. Fireye's products are used in refining (36% of Fireye's 2023 revenue), power generation (26%), petrochemicals (20%), combustion management (9%), and industrial manufacturing (8%). Fireye has strong capture of replacement for its installed base, with 46% of revenue coming from aftermarket sales. Of Fireye's revenue, 77% was in North America, 12% Europe, and 11% APAC.

Spectrum serves more than 9,000 customers in 20 countries in Europe, the Middle East, and Africa (collectively representing 53% of 2023 revenue); North America (34%); APAC (9%); and Latin America (4%). Spectrum goes to market through distribution channel partners (44% of revenue), direct sales to end users (18%), engineering procurement construction firms (16%), shipyards (15%), and direct sales to OEMs (7%). Spectrum's global installed base of 44,000+ sites drive strong follow-on and recurring revenue—of Spectrum's 2023 revenue, approximately 41% comes from aftermarket products and services and 59% from new product installations.

Spectrum's revenue is well diversified across projects, customers, geographies, and end markets. It fulfills more than 20,000 orders per year, with an average order size of $23,000, and its largest project accounted for 2% of 2023 revenue. Spectrum's top customer and top 10 customers represented 3% and 17% of 2023 revenue.

Spectrum operates in the $3.0–4.0 billion global industry for industrial fire equipment, which spans combustion management, high-pressure water mist suppression, flame and gas detection, and other detection and alarm products. This industry grew at a 7% CAGR in 2020–2023 and is expected to grow at a 6% CAGR through 2028. Key growth drivers include increasing investment in clean energy, the trend toward more and stricter regulations and construction standards, growth in infrastructure spending, replacement demand for noncompliant and outdated products, a shift to high-pressure water mist suppression, and the proliferation of highly flammable battery storage and data centers. Spectrum is well positioned to accelerate growth by capitalizing on these industry tailwinds, cross-selling across brands, and continuing to identify aftermarket opportunities in its large installed base. The industrial fire equipment industry is subject to continuously evolving, increasingly complex regulations and standards that create high barriers to entry and favor industry veterans like Spectrum.

Before Sentinel's investment, Spectrum experienced several years of solid revenue and profit growth. From 2020 to the 12 months ending March 31, 2024, revenue grew from $400.3 million to $553.3 million, a CAGR of 10.5%, and adjusted EBITDA grew from $68.9 million to $123.8 million, a CAGR of 19.7%. Over the same period, aftermarket and service as a percent of total revenue increased from 33% to 41%. Spectrum is an asset-light, non-capital-intensive business that produces strong free cash flow. Spectrum employed $136.1 million of tangible capital and generated $123.8 million of adjusted EBITDA, which produced an impressive 91.0% return on invested capital.

Investment Rationale

Sentinel invested in Spectrum based on (i) favorable industry growth trends fueled by complex regulations and marked by formidable barriers to entry; (ii) its market leadership and the excellent reputations of its brands; (iii) its vast product portfolio safeguarded by intellectual property rights; (iv) strategic buyer interest at elevated valuation multiples across the four businesses significantly increasing the potential for multiple arbitrage by selling the businesses separately; (v) its large installed base, entrenched customer relationships, and growing tail of recurring aftermarket opportunities; (vi) diversity in geography, end markets, and products; (vii) its strong financial momentum and expanding backlog; (viii) its attractive free cash flow conversion and high return on invested capital; and (ix) its experienced, capable senior and brand-level management teams.

Transaction Background

Spectrum's four distinct brands were previously owned by United Technologies Corp. (NYSE:UTX) until April 2020, when UTX divested them as part of its spinoff of Carrier Global Inc. (NYSE:CARR). Because industrial fire was noncore to Carrier, Carrier hired Goldman Sachs and J.P. Morgan in mid-2023 to sell the four businesses as a package. During the sale process, strategic buyers expressed significant interest in Spectrum's individual brands at elevated purchase multiples. With Carrier determined to sell its industrial fire assets as a package and none of the strategic buyers willing to navigate the complexity of carving out all four businesses, Goldman approached a limited field of financial sponsors, including Sentinel, that had expressed interest in the package and were able and willing to tackle a complicated carveout. Carrier and management chose Sentinel due to our experience in industrial products; our proven record with carveouts; our successful 2013 carveout from UTX of IEP Technologies, an analogous industrial fire and explosion detection and suppression business; our strong chemistry with management; and confidence that we would close the transaction quickly and on the agreed terms.

Transaction complexity included assessing four businesses in three countries on a shortened time frame, completing detailed standalone cost and separation diligence, and negotiating multiple interim transition services agreements with Carrier to facilitate a smooth post-closing transition to stand up the new business. Sentinel sponsored the transaction, arranged the debt financing, and built in structural flexibility to ultimately sell each of the four businesses separately.

On July 1, 2024, Sentinel acquired Carrier's industrial fire assets for $1.375 billion, creating Spectrum as a new standalone platform. The purchase price represents 11.1x Spectrum's EBITDA for the 12 months ended March 2024, or 10.4x after adjusting for the estimated present value of tax-deductible goodwill. We believe this is a fair purchase multiple for a market leader with industry-leading global brands, strong industry tailwinds, a growing service and aftermarket business, excellent free cash flow, strong strategic buyer interest for each of the four businesses at elevated multiples, and an experienced management team with local brand leadership that is well aligned with Sentinel.

Total funds required at closing, including transaction expenses, cash to the balance sheet, and purchase price adjustments, were $1.485 billion. To finance the transaction, Sentinel secured a $1.035 billion unitranche credit facility led by Blackstone, with KKR, Goldman Sachs, J.P. Morgan, Jefferies, Kohlberg & Company, and Sentinel Capital Solutions II ($20.0 million) participating. The unitranche facility consisted of a $150.0 million revolver ($35.0 million drawn at closing), a $150.0 million delayed-draw term loan, and a $735.0 million unitranche term loan, all priced at SOFR+500. At closing, net debt to EBITDA was 5.8x. To complete the transaction, Sentinel led a $715.0 million equity financing, of which Sentinel VII invested $440.0 million, the Partnership $190.0 million, Blackstone $30.0 million, Finback $25.0 million, Sentinel Capital Solutions II $20.0 million, and Sentinel GP Holdings $10.0 million. Sentinel established an approximately 12.7% time- and performance-based incentive option pool that gives management and the broader workforce the opportunity to participate meaningfully in future upside rewards.

Sentinel owns a controlling interest in Spectrum and has the right to designate a majority of its board of directors. Eric Bommer, operating partner James Darby, Josh Garrett, Grant Wilson, and Spectrum's CEO serve as directors.

Performance

Spectrum performed well following the July 2024 closing. For the six months through year-end, revenue increased 2.4% and EBITDA was up 2.0% over the comparable prior-year period. For the full year, pro forma revenue increased 5.9% year-over-year to $579.5 million, and EBITDA rose 4.8% to $128.3 million. Autronica and Marioff both experienced double-digit revenue gains in 2024, driven by strong aftermarket revenue and growth in the marine, clean energy, and industrial end markets. EBITDA growth was propelled by higher operating leverage, partly offset by executive hires—a new CFO, director of strategy, and director of M&A—to build out the new standalone's management team. As of December 31, 2024, Spectrum's net debt to EBITDA was 5.4x, down from 5.8x at the July closing.

Spectrum made excellent progress on multiple fronts in 2025. It completed its transition to a standalone organization on schedule following its complex carveout from Carrier, including further buildout of its corporate team. Three of Spectrum's four divisions completed add-ons during the year—Det-Tronics acquired RC Systems, a provider of industrial fire and gas detection systems and services; Marioff acquired a Polish channel partner; and Autronica acquired channel partners in Singapore and Italy. In total, Spectrum paid $41.8 million for the four add-ons, a highly accretive 8.2x combined EBITDA of $5.1 million. The transactions were financed with cash on hand and borrowings under the revolver facility.

Spectrum delivered strong financial performance in 2025. Pro forma for the four add-ons, revenue increased 12.0% year-over-year to $666.9 million, and EBITDA rose 9.5% to $145.2 million. Execution of growth initiatives in new product development, coupled with disciplined pricing and geographic expansion, fueled Spectrum's organic growth. Marioff and Autronica delivered strong double-digit revenue gains, driven by robust aftermarket activity and solid demand across the marine, data center, and energy end markets. EBITDA growth was modestly constrained by production challenges at Det-Tronics and infrastructure investments across Spectrum to support expansion. As of December 31, 2025, net debt to EBITDA was 5.3x, down 0.1x from prior year.

Spectrum enters 2026 with a record backlog, and we are highly optimistic about its outlook. We expect continued organic growth, supported by industry tailwinds, market share gains, new product development, and a sustained focus on aftermarket revenue. On January 7, Det-Tronics acquired Norway-based Optronics, adding cutting-edge gas detection technology that management believes will further strengthen Det-Tronics' position as an industry leader. Our first-quarter report will cover the transaction in more detail.

In late 2025, we began evaluating alternatives for Marioff, in line with our going-in investment strategy to divest Spectrum's four units separately. On March 22, 2026, Spectrum signed a definitive agreement to sell Marioff to European private equity firm Inflexion at an enterprise value of $861.0 million, or 16.0x EBITDA, a significant premium to the 11.1x entry multiple. The transaction is expected to close in the second or third quarter, subject to customary regulatory approvals, and will result in a partial liquidity event for the Partnership. Our 2026 quarterly reports will provide more details on the divestiture.

Investment Information

	SCI VI	SCP VI	SCP VI-A	Total
Date of Initial Investment	July 2024			
Amount of Initial Investment	$3,548,296	$172,955,933	$13,495,772	$190,000,000
Monitoring Role	Active – Majority Control of Board of Directors			
% Ownership	0.4%	20.9%	1.6%	23.0%

12/31/2025 Holdings/Valuation

		Cost		Estimated Value	
	Principal Amount or # of Shares	Average per Share	Total	Average per Share	Total
Sentinel Capital Partners VI, L.P.					
Class A Units	172,955,933	$1.00	$172,955,933	$1.16	$201,207,643
Sentinel Capital Partners VI-A, L.P.					
Class A Units	13,495,772	$1.00	$13,495,772	$1.16	$15,700,256
Sentinel Capital Investors VI, L.P.					
Class A Units	3,548,296	$1.00	$3,548,296	$1.16	$4,127,896

Financial Information (000's)

	Year Ending December 31,		
	2023	2024	2025[1]
Net Sales	$547,489	$579,532	$666,906
Adjusted EBITDA	$122,477	$128,324	$145,163

Balance Sheet as of December 31, 2025			
Assets		Liabilities	
Current Assets	$342,003	Current Liabilities	$147,731
PP&E, net	39,823	Long-Term Debt	816,959
Other Assets	1,163,577	Other Long-Term Liabilities	109,157
		Stockholders' Equity	471,555
Total Assets	$1,545,403	Total Liabilities and Equity	$1,545,403

Valuation Rationale

Spectrum's performance in 2025 was strong. As of December 31, 2025, we are valuing Spectrum at the same 11.1x EBITDA we paid for the business. Adjusting for net debt outstanding as of December 31, 2025, we are valuing Spectrum's Class A units at $1.16 per share. The value of the Partnership's equity holdings as of December 31, 2025 is therefore $221.0 million, or 1.2x cost and up 16.3% from the prior year.

[1] Pro forma for the full-year impact of add-ons acquired in the year.

Spectrum Safety Solutions Purchaser, LLC
12/31/25
($000, except per-share calculations)

	Valuation - Fair Value			
	SCP VI	SCP VI-A	SCI VI	Total
Trailing 12 Month Adjusted Revenue	$666,906	$666,906	$666,906	$666,906
Trailing 12 Month Adjusted EBITDA	$145,163	$145,163	$145,163	$145,163
Valuation Multiple	**11.1x**	**11.1x**	**11.1x**	**11.1x**
Enterprise Value	$1,612,219	$1,612,219	$1,612,219	$1,612,219
Less: Total Debt	(816,959)	(816,959)	(816,959)	(816,959)
Plus: Cash	44,429	44,429	44,429	44,429
Less: TTM Average Working Capital	(147,908)	(147,908)	(147,908)	(147,908)
Plus: Actual Working Capital	157,828	157,828	157,828	157,828
Subtotal	(762,610)	(762,610)	(762,610)	(762,610)
Gross Equity Value	$849,610	$849,610	$849,610	$849,610
Value of Class A Equity	831,793	831,793	831,793	831,793
Value of Class B Equity	9,904	9,904	9,904	9,904
Value of Class C Equity	5,419	5,419	5,419	5,419
Ownership Works Employee Provision	2,494	2,494	2,494	2,494
# Class A Units Outstanding	715,000,000	715,000,000	715,000,000	715,000,000
# Class B Units Outstanding	8,513,716	8,513,716	8,513,716	8,513,716
# Class C Units Outstanding	33,172,534	33,172,534	33,172,534	33,172,534
Ownership Works Employee Provision	15,268,827	15,268,827	15,268,827	15,268,827
Value per Class A Unit	$1.16	$1.16	$1.16	$1.16
Value per Class B Unit	$1.16	$1.16	$1.16	$1.16
Value per Class C Unit	$0.16	$0.16	$0.16	$0.16
Ownership Works Employee Provision	$0.16	$0.16	$0.16	$0.16
SCP VI Investment Valuation				
# Class A Units owned by SCP VI	172,955,933	13,495,772	3,548,296	190,000,000
Value of SCP Class A Units	$201,208	$15,700	$4,128	$221,036
Value of Investment	**$201,208**	**$15,700**	**$4,128**	**$221,036**
Cost of SCP VI's Investment	$172,956	$13,496	$3,548	$190,000
Times Original Investment SCP VI	1.2x	1.2x	1.2x	1.2x
Original Transaction Multiple (EBITDA)	11.1x	11.1x	11.1x	11.1x

SPL[1]

Company Information

Transaction Summary

Date of Investment	April 2022
Source	BlackArch Partners
Enterprise Value	$250.0 million
Total Investment	$95.4 million
Class A Units	$91.6 million
Class B Units	$1.1 million
Class C Units	$2.7 million
Sentinel Capital Partners VI, L.P. Investment	$77.4 million
Class A Units	$77.4 million
Fully Diluted Ownership	71.0%
Sentinel Capital Partners VI-A, L.P. Investment	$6.0 million
Class A Units	$6.0 million
Fully Diluted Ownership	5.5%
Sentinel Capital Investors VI, L.P. Investment	$1.6 million
Class A Units	$1.6 million
Fully Diluted Ownership	1.5%
Sentinel Capital Solutions I, L.P. Investment	$23.0 million
Class A Units	$3.0 million
Subordinated Debt	$20.0 million
Fully Diluted Ownership	2.8%
Transaction Multiple of EBITDA	8.6x
Debt as % of Enterprise Value	68.7%
Total Debt/EBITDA	5.9x

Business

Headquartered in Houston, Texas, SPL provides testing, inspection, and certification services for oil and gas, industrial, municipal, and environmental services customers in the United States. SPL's core end markets are the upstream and midstream oil and gas markets, with a growing emphasis on downstream finished products and environmental and water testing. SPL operates more than 35 testing and servicing facilities that serve more than 1,700 customers. SPL's labs analyze approximately 300,000 samples annually to test the physical and chemical composition of hydrocarbons, lubricants, water, and soil. SPL employs more than 200 trained technicians who inspect, install, and maintain field measurement systems for customers. As of closing, nearly 80% of SPL's revenue was from recurring services (lab testing, inspection services, and digital services), and 90% of gross profit was recurring.

[1] Legal name: Energy Labs Holdings Corp.

Descriptions of SPL's business segments follow.

Energy Laboratory Testing (35% of 2025 sales, 45% of 2025 gross profit). Energy testing labs test and certify the physical and chemical composition of hydrocarbons, fuels and lubricants, and other materials. SPL performs about 1,500 unique testing protocols through more than 120 technicians in 14 lab facilities. SPL analyzes more than 300,000 samples annually, and the average ticket is $90. SPL's energy lab testing services are mission-critical for its customers, both for regulatory compliance and to verify product characteristics. Testing requirements are heavily influenced by federal and state regulations, and many tests are required monthly, quarterly, or semiannually. Regular and recurring testing helps minimize product contamination and methane leakage from pipelines and maximizes the quality of finished products. Importantly, each time hydrocarbon products change hands, customers test them to verify chemical characteristics.

Environmental Laboratory Testing (33% of sales, 30% of gross profit). SPL's environmental labs cover a wide spectrum of needs, from assessing water and soil quality to analyzing air emissions. The six lab facilities perform hundreds of unique tests for more than 1,000 industrial, municipality, and environmental service customers. Environmental testing is driven by federally mandated standards and stringent state and municipal regulations. Prompt turnaround time for water testing is imperative to customers because government authorities can impose shutdowns for delinquent reporting. For SPL, environmental lab testing is a meaningful growth avenue.

Metrology and Other Energy Services (32% of sales, 26% of gross profit). The metrology segment is split between (i) the sale, installation, and maintenance of devices such as flow meters (7% of sales), (ii) recurring inspection and measurement services for those devices (14% of sales), and (iii) hydrocarbon production process certification and analysis (8% of sales). Devices sold typically cost ~$5,000 and must be replaced every five to seven years. With regular servicing needs during their operational lifetime, devices provide a long tail of service revenue and a meaningful installed base for replacement. The metrology segment serves nearly 750 customers through more than 200 highly trained technicians. Services such as device replacement, repair, calibration, and general maintenance are performed onsite by technical field technicians, helping customers avoid costly downtime or inaccurate data.

SPL is diversified across services, customers, and geographies. More than 80% of SPL's revenue comes from recurring services (energy and environmental lab testing, metrology services, and digital services), and more than 90% of gross profit is recurring. SPL's largest customer represented 6% of revenue in 2021, and its top 10 customers, 32%. SPL has developed strong, longstanding relationships with its clients—nine of its 10 largest customers as of closing have been with SPL for 10 years or longer, and all 10 use more than one service line.

SPL's 35+ locations throughout the United States give it the geographic scale to service large nationals and the flexibility to effectively service smaller regional customers. SPL's sales by geography are aligned with U.S. oil and gas basins; as of closing, it derived 22% of revenue from South Texas, 21% from New Mexico/West Texas, 12% from the Gulf of Mexico, 10% from offshore, 6% from the Rocky Mountains, and 4% from the Dakotas, Montana, and Wyoming. The remaining 25% of revenue is multiregional without specific geographic allocation. SPL's national presence and comprehensive service offering make it a one-stop shop for customers.

SPL operates in the $3.8 billion energy TIC services market, made up of production and gathering ($1.7 billion), transportation ($450 million), and refined and finished products ($1.7 billion). SPL's water testing and ancillary markets are estimated to be $1.7 billion, consisting of ESG consulting and auditing

($750 million), methane emissions ($500 billion), other emissions measurement ($250 million), and water and biofuels testing ($250 million).

SPL has expanded its service offerings outside of upstream oil and gas TIC services and into adjacent markets through acquisition and organic growth initiatives. SPL has also expanded its end markets organically by providing customers TIC services for air testing, methane emission detection, and finished products, such as transformer oils and jet fuels. These adjacent markets offer an exciting growth opportunity for SPL.

SPL has emerged as an acquiror of choice in its highly fragmented market. From 2015 through closing, SPL acquired and successfully integrated six accretive add-ons at an average purchase multiple of 5.7x. SPL's excellent reputation, established platform, entrenched relationships with blue-chip customers, and breadth of services position it to execute additional accretive add-ons. As of the closing, SPL had a robust pipeline of actionable small and midsized acquisition targets that could further expand its service offering, footprint, customer base, and talent pool.

Before the pandemic, SPL experienced several years of impressive sales and profit growth. From 2018 to 2019, revenue grew 10.8% from $114.2 million to $126.5 million, and adjusted EBITDA grew 14.8%, from $25.6 million to $29.4 million. In 2020, the energy market suffered unprecedented declines when shelter-in-place restrictions resulted in a dramatic decline in travel and less demand for oil and gas. From 2019 to 2020, SPL's revenue declined 20.0%, and EBITDA, 11.4%. In 2021, SPL bounced back, with annual revenue up 8.3% over 2020 and EBITDA up 11.7%. Overall, from 2018 to 2021, SPL's EBITDA grew at a CAGR of 3.8%. SPL is an asset-light business that generates high free cash flow and produces an impressive 107.0% return on net invested capital.

Investment Rationale

Sentinel invested in SPL based on (i) its market leadership, particularly in lab testing for the upstream oil and gas market; (ii) favorable industry trends in TIC services; (iii) steady demand driven by increasing regulatory requirements; (iv) the essential, nondiscretionary, and recurring nature of its service offerings; (v) its ability to expand into new adjacent markets, such as water testing and related environmental services; (vi) its limited customer and service concentration; (vii) the opportunity to make accretive add-ons; (viii) its strong financial momentum, attractive EBITDA margins, free cash flow, and return on invested capital; and (ix) its deep, highly experienced, and committed management team, who invested meaningfully alongside Sentinel.

Transaction Background

SPL was previously owned by private equity firm Industrial Growth Partners. In late 2019, having owned SPL for about three years, Industrial Growth Partners hired midmarket investment bank BlackArch Partners to manage a sale. BlackArch, with whom Sentinel has worked on many buyside and sellside transactions, invited Sentinel into the process. When the pandemic struck in early 2020, the sale process was put on hold. As the pandemic subsided, the sale process was restarted with fewer buyers, Sentinel still among them. Industrial Growth Partners and management chose Sentinel because of our experience investing in service businesses, the strong chemistry we developed with management, our record of helping similar businesses scale rapidly through acquisitions, and BlackArch's trust and confidence that we would close a transaction quickly and on the agreed terms.

On April 6, 2022, Sentinel acquired SPL for a purchase price of $250.0 million, or 8.6x adjusted EBITDA. Adjusting for the estimated present value of tax-deductible goodwill reduces the purchase multiple to 8.4x. We believe this is an attractive valuation for a niche-market leader with a clearly defined organic and acquisition growth strategy, strong financial profile, high level of recurring revenue, and talented and committed management team.

Total funds required at closing, including transaction expenses and purchase price adjustments, were $267.2 million. To finance the transaction, Sentinel secured a $124.0 million senior credit facility led by MidCap, with AEA, Bank of Ireland, Morgan Stanley, and Varagon participating, consisting of (i) a $20.0 million revolver, of which $3.7 million was drawn at closing, (ii) a $124.0 million senior term loan, and (iii) a $15.0 million delayed-draw term loan. Sentinel also raised $44.0 million of 10.5% mezzanine financing from Newstone Capital ($24.0 million) and Sentinel Capital Solutions I ($20.0 million). At the closing, total net debt to EBITDA was 5.9x; funded senior net debt to EBITDA was 4.4x; and mezzanine debt to EBITDA was 1.5x.

To complete the transaction, Sentinel structured a $95.4 million equity financing, of which the Partnership invested $85.0 million, Newstone Capital $3.6 million, Sentinel Capital Solutions I $3.0 million, and management $3.8 million. Sentinel established a 12.5% time- and performance-based incentive option pool that gives management the opportunity to participate meaningfully in future upside rewards.

Sentinel owns a controlling interest in SPL and has the right to designate a majority of its board of directors. Scott Perry, Cameron Smith, and Grant Wilson serve as directors.

Performance

SPL performed well from the April 2022 closing through the end of 2022. Revenue was $127.6 million, up 14.4% from the closing, and EBITDA increased 11.4% to $32.8 million. Sales growth was driven by strong performance across the lab and metrology segments, fueled by the rebound of global demand for oil and gas and from strategic pricing initiatives SPL implemented post-closing. EBITDA growth resulted from higher revenue volume, partly offset by increasing input and labor costs and a less favorable mix of products and services. As of December 31, 2022, total net debt to EBITDA was 5.2x, down from 5.9x at closing.

SPL made good progress in 2023, completing two add-ons—Ana-Lab, a Texas-based environmental lab testing business; and Volumetrics, a Wyoming-based hydrocarbon testing business. For the 12 months prior to their closings, the two add-ons generated $24.9 million of revenue and adjusted EBITDA of $4.5 million. The $19.9 million combined purchase price represents an accretive 4.4x multiple of adjusted EBITDA. SPL financed the acquisitions with cash on hand and existing revolver capacity.

SPL’s performance in 2023 was strong. During the year, SPL made a strategic decision to deemphasize its low-margin metrology segment and focus its growth initiatives on higher-margin lab services. This produced a modest year-over-year 4.1% drop in revenue to $145.3 million, but EBITDA, pro forma for the two add-ons, rose to $41.2 million, up 13.2% from 2022. For the year, SPL’s lab testing revenue produced strong growth, fueled in part by price increases. EBITDA growth was further enhanced by headcount reductions and facility closures in its deemphasized segments. SPL also continued to generate strong free cash flow. As of December 31, 2023, total net debt to EBITDA was 4.3x, down from 5.2x the prior year.

In 2024, SPL made solid progress building its environmental lab segment, acquiring two lab testing businesses—DHL, based in Texas, and Suburban Testing Labs, in Pennsylvania—with a combined $2.2 million of adjusted EBITDA. The $14.5 million combined purchase price represents an accretive 6.6x EBITDA multiple and was financed with cash on hand and $10.0 million of senior debt from existing lenders.

SPL's overall performance in 2024 was disappointing. Pro forma for the full-year impact of the two 2024 add-ons, revenue declined 1.3% to $143.3 million; EBITDA was $36.1 million, down 12.5%. Management had planned for soft sales because of SPL's strategic initiative to deprioritize elements of the metrology segment, but unplanned losses of metrology customers driven by employee turnover and slow responses to competitive pricing resulted in larger declines than expected. Wage inflation in the lab testing segment exacerbated the EBITDA decline. As of December 31, 2024, total net debt to EBITDA was 5.3x, up from 4.3x the prior year.

At the outset of the investment, we planned a CEO succession. With SPL's largely self-inflicted underperformance in 2024, we accelerated our timeline. In March 2025, SPL appointed as new CEO Colin Duncan, a seasoned executive who had led technical services companies for nearly 20 years. He has proven experience managing through different economic environments, integrating acquisitions, and navigating private equity exits.

Under its new CEO in 2025, SPL prioritized team building by strengthening its leadership team, including the hiring of a Chief Administrative Officer, a new GM for the Metrology division, and a Head of Financial Planning & Analysis. In addition, three existing employees were promoted to GM positions. Sentinel operating partner Rodney Lee is serving as interim CFO while a search for a permanent CFO is underway.

In 2025, SPL continued to grow its environmental lab segment through the acquisitions of Colorado Analytical and Franklin Analytical, which together generated $10.3 million of revenue and $2.8 million of adjusted EBITDA. The $16.8 million combined purchase price represents an accretive 6.1x EBITDA multiple and was financed with cash on hand and $17.5 million of senior debt from existing lenders.

SPL's 2025 performance was disappointing. Pro forma revenue was $137.9 million, down 9.2% from 2024, and EBITDA declined 19.4% to $30.9 million. The revenue decline was driven by continued underperformance in the metrology and data services segments, partly offset by growth in energy and environmental lab testing. The EBITDA decline reflects the loss of customers in metrology and data services, as well as the increased G&A investment in the leadership team. As of December 31, 2025, total net debt to EBITDA was 7.0x, up from 5.3x the prior year.

For 2026, we see steady improvement ahead. New leadership has tightened alignment around key priorities and strengthened collaboration between operations and finance. In the first quarter, SPL further enhanced its executive team with the hiring of a Head of Sales and a Chief Strategy Officer, both newly created roles. With energized leadership in place, we expect SPL's earnings to stabilize in 2026 as the company continues to build operational scale, improve efficiency across business segments, and capitalize on its robust environmental lab acquisition pipeline.

Investment Information

	SCI VI	SCP VI	SCP VI-A	Total
Date of Initial Investment	April 2022			
Amount of Initial Investment	$1,587,395	$77,375,022	$6,037,582	$85,000,000
Monitoring Role	Active – Majority Control of Board of Directors			
% Ownership	1.4%	68.7%	5.4%	75.5%

12/31/2025 Holdings/Valuation

	Principal Amount or # of Shares	Cost		Estimated Value	
		Average per Share	Total	Average per Share	Total
Sentinel Capital Partners VI, L.P.					
Class A Units	77,375,022	$1.00	$77,375,022	$0.5	$39,012,571
Sentinel Capital Partners VI-A, L.P.					
Class A Units	6,037,582	$1.00	$6,037,582	$0.5	$3,044,156
Sentinel Capital Investors VI, L.P.					
Class A Units	1,587,395	$1.00	$1,587,395	$0.5	$800,366

Financial Information (000's)

	Year Ending December 31,				
	2021	2022	2023[1]	2024[1]	2025[1]
Revenue	$108,298	$127,561	$145,298	$143,448	$137,904
Adjusted EBITDA	$28,627	$32,771	$41,243	$36,094	$30,889

Balance Sheet as of December 31, 2025

Assets		Liabilities	
Current Assets	$37,164	Current Liabilities	$24,624
PP&E, net	25,344	Long-Term Debt	250,783
Other Assets	207,301	Other Long-Term Liabilities	44,565
		Stockholders' Equity	(5,596)
Total Assets	$269,810	Total Liabilities and Equity	$269,810

Valuation Rationale

SPL's performance for 2025 was below plan. As of December 31, 2025, Sentinel is valuing SPL at the same 8.6x EBITDA we paid for the business, unchanged from the prior year. Adjusting for net debt outstanding as of December 31, 2025, this values the Partnership's Class A units at $0.50 per unit. As of December 31, 2025, the total value of the Partnership's holdings is therefore $42.9 million, or 0.5x cost and down 57.9% from the prior year.

[1] Pro forma for the full-year impact of add-ons acquired in the year.

SPL (a/k/a Energy Labs Holdings Corp.)
12/31/25
($000, except per-share calculations)

	Valuation - Fair Value			
	SCP VI	SCP VI-A	SCI VI	Total
Trailing 12 Month Adjusted Revenue	$137,904	$137,904	$137,904	$137,904
Trailing 12 Month Adjusted EBITDA	$30,889	$30,889	$30,889	$30,889
Valuation Multiple	**8.6x**	**8.6x**	**8.6x**	**8.6x**
Enterprise Value	$265,258	$265,258	$265,258	$265,258
Less Senior Debt	(163,730)	(163,730)	(163,730)	(163,730)
Less Revolver	(9,000)	(9,000)	(9,000)	(9,000)
Less Capital Leases	(4,595)	(4,595)	(4,595)	(4,595)
Less Mezzanine Debt	(44,000)	(44,000)	(44,000)	(44,000)
Plus Cash	4,724	4,724	4,724	4,724
Net Debt	(216,600)	(216,600)	(216,600)	(216,600)
Gross Equity Value	$48,658	$48,658	$48,658	$48,658
Class A Equity Value	$46,419	$46,419	$46,419	$46,419
Class B Equity Value	2,238	2,238	2,238	2,238
Class C Equity Value	0	0	0	0
Class D Equity Value	0	0	0	0
Class A Units Outstanding	92,065,000	92,065,000	92,065,000	92,065,000
Class B Units Outstanding	4,439,238	4,439,238	4,439,238	4,439,238
Class C Units Outstanding	2,411,856	2,411,856	2,411,856	2,411,856
Class D Units Outstanding	5,003,903	5,003,903	5,003,903	5,003,903
Value per Class A Unit	$0.50	$0.50	$0.50	$0.50
Value per Class B Unit	$0.50	$0.50	$0.50	$0.50
Value per Class C Unit	$0.00	$0.00	$0.00	$0.00
Value per Class D Unit	$0.00	$0.00	$0.00	$0.00
SCP VI Investment Valuation				
# Class A Units owned by SCP VI	77,375,022	6,037,582	1,587,395	85,000,000
Value of SCP Class A Units	$39,013	$3,044	$800	$42,857
Value of Investment	**$39,013**	**$3,044**	**$800**	**$42,857**
Cost of SCP VI's Investment	$77,375	$6,038	$1,587	$85,000
Times Original Investment SCP VI	0.5x	0.5x	0.5x	0.5x
Original Transaction Multiple (EBITDA)	8.6x	8.6x	8.6x	8.6x

TRIMECH ACQUISITION CORPORATION

Company Information

Transaction Summary

Date of Original Investment	March 2022
Source	Proprietary
Enterprise Value	$430.6 million
Total Investment	$235.8 million
Class A Units	$225.3 million
Class B Units	$10.5 million
Sentinel Capital Partners VI, L.P. Investment	$132.0 million
Class A Units	$132.0 million
Fully Diluted Ownership	50.4%
Sentinel Capital Partners VI-A, L.P. Investment	$10.3 million
Class A Units	$10.3 million
Fully Diluted Ownership	3.9%
Sentinel Capital Investors VI, L.P. Investment	$2.7 million
Class A Units	$2.7 million
Fully Diluted Ownership	1.0%
Sentinel Capital Solutions I, LP Investment	$20.4 million
Class A Units	$3.4 million
Subordinated Debt	$17.0 million
Fully Diluted Ownership	1.3%
Transaction Multiple of EBITDA	12.4x
Debt as % of Enterprise Value	51.1%
Total Debt/Adjusted EBITDA	6.3x

Solid Solutions Group Acquisition

Date of Investment	June 2022
Source	Proprietary
Enterprise Value	$208.3 million
Total Investment	$79.2 million
Class B Units	$79.2 million
Sentinel Capital Partners VI, L.P. Investment	$20.1 million
Class B Units	$20.1 million
Fully Diluted Ownership	43.5%
Sentinel Capital Partners VI-A, L.P. Investment	$1.6 million
Class B Units	$1.6 million
Fully Diluted Ownership	3.4%
Sentinel Capital Investors VI, L.P. Investment	$0.4 million
Class B Units	$0.4 million
Fully Diluted Ownership	0.9%
Sentinel Capital Solutions I, LP Investment	$4.4 million
Class B Units	$1.4 million
Subordinated Debt	$3.0 million
Fully Diluted Ownership	1.4%

Business

Sentinel's investment began with the acquisition of TriMech in March 2022. During the diligence process, Sentinel learned about management's longstanding relationship with Solid Solutions Group ("SSG"), a similar-sized and highly complementary business in the United Kingdom. In June 2022, about three months after acquiring TriMech, the Partnership purchased SSG and combined the two businesses in a highly transformative transaction.

Headquartered in Richmond, Virginia, TriMech is a service business that supplies computer-aided design ("CAD") software and computer-aided manufacturing ("CAM") software and solutions to design engineers throughout the central and eastern United States and Canada together with associated training and consulting services. TriMech does not develop software—instead, it is a value-added reseller for leading software OEMs, including SolidWorks, Dassault Systèmes, and SolidCam. TriMech also sells and services 3D printing hardware for Stratasys, Artec3D, and other OEMs. Through its Richmond, Virginia headquarters and 35 regional sales and customer support offices, TriMech serves more than 12,000 North American customers across diverse end markets, including aerospace and defense, consumer, government, healthcare, industrials, and technology. TriMech has no customer concentration—its largest customer represents less than 1.5% of revenue.

Descriptions of TriMech's business segments follow.

Application 3D CAD Software (69% of sales and 65% of gross profit at closing). TriMech is one of the largest resellers of 3D design simulation and data management software in North America. Through partnerships with SolidWorks, Dassault Systèmes, SolidCam, and other OEMs, TriMech sells software used for design, visualization, and simulation during product development cycles as well as for complex, compliance-intensive visualization and simulation used in heavy-duty product design applications.

Additive Manufacturing Hardware (14% of sales and 11% of gross profit). TriMech partners with select OEMs, including Stratasys, ExOne, and Origin, to sell and service best-in-class 3D printers and scanners. These products are used in applications ranging from product development to prototyping and short-run production manufacturing. TriMech also sells the consumable materials needed to support these processes and provides the ongoing maintenance services and support for the hardware.

Training, Implementation, and Engineering Services (9% of sales and 17% of gross profit). TriMech provides support services to its clients after their initial purchase of software or hardware. These services include implementation services (such as product installation, ensuring data integrity, and ongoing training) and engineering services, where TriMech applies its product knowledge and technical expertise to help clients develop proprietary products.

Staff Augmentation Services (5% of sales and 4% of gross profit). TriMech offers outsourced staffing and recruiting services to its clients, seeking to connect highly skilled and experienced engineers with temporary, temporary-to-permanent, and permanent placement openings. This segment helps customers supplement their workforce with individuals experienced in the suite of products that TriMech sells.

Advanced Manufacturing Services (2% of sales and 3% of gross profit). TriMech provides customers with the benefits of 3D printing capabilities on an outsourced basis. At its facilities in Connecticut and Canada, TriMech offers outsourced engineering and design services that allow customers to conduct prototyping and short-run production manufacturing.

Of TriMech's total gross profit, 65% consists of recurring products (software maintenance and 3D printing consumables), 24% comes from recurring services (training, staff augmentation, and advanced manufacturing), and 11% from product sales (software licenses, 3D printers, and 3D scanners). The software TriMech sells is mission-critical for its customers, and TriMech's software maintenance subscriptions renew at an industry-leading rate of 94%, providing both a highly predictable and steady growth platform as new customers mature and downside protection because most of its profit comes from recurring revenue.

TriMech dedicated considerable resources in the several years before Sentinel's investment to develop its in-house acquisition capabilities. In the 12 months before closing, TriMech completed nine highly accretive add-ons, which significantly diversified its product/service offering, client base, and geographic footprint. In 2021, TriMech acquired Javelin Technologies, which allowed TriMech to expand into Canada, further build out its web presence, add an experienced chief services officer, and bolster its North American relationship with SolidWorks.

Before Sentinel's investment, TriMech experienced several years of solid financial performance. Pro forma for all acquisitions, from 2019 to the 12 months ended November 30, 2021, net revenue grew from $166.5 million to $183.7 million, a CAGR of 5.0%, and EBITDA grew from $26.3 million to $34.7 million, a CAGR of 14.8%.

The June 2022 combination of TriMech and SSG was transformative. Founded in 1998 and headquartered in Leamington Spa, England, SSG is almost a clone of TriMech that operates only in the U.K. and Ireland. SSG provides software, support, and training to thousands of engineers, designers, and manufacturing companies. SSG's product offering includes SolidWorks solutions; computer-aided manufacturing; and a comprehensive portfolio of Dassault solutions, including CATIA, Dassault's 3DEXPERIENCE platform, and its full line of product data management and simulation tools. Through 22 sales offices, SSG serves more than 10,000 product designers, mechanical engineers, manufacturers, educational institutions, and other customers, with its software supporting a broad range of products across diverse end markets and industries.

Descriptions of SSG's business segments follow.

> **Application 3D Design Software** (83% of sales and 80% of gross profit at closing). SSG is the largest reseller of 3D design simulation and data management software in the U.K. and Ireland. Through partnerships with SolidWorks, Dassault Systèmes, and other OEMs, SSG sells software used for design, visualization, and simulation during product development cycles as well as highly complex, compliance-intensive visualization and simulation used in heavy-duty design applications.

> **Additive Manufacturing Hardware** (10% of sales and 5% of gross profit). SSG partners with select OEMs, including Formlabs, Ultimaker, Sindoh, and Markforged, to sell and service best-in-class 3D printers and scanners. These products are used in product development and prototyping applications. SSG also sells the consumable materials needed to support these applications and provides the ongoing maintenance services and support for the hardware.

> **Training, Implementation, and Engineering Services** (8% of sales and 15% of gross profit). SSG provides support services to its clients after their initial purchase of software or hardware. These include implementation services that range from product installation to ensuring data integrity, ongoing training, and engineering services, where SSG applies its product knowledge and technical expertise to help clients develop proprietary products.

Over the three years leading up to SSG's acquisition by TriMech, SSG generated strong sales and profit growth. Pro forma for all acquisitions, from 2019 to the 12 months ended March 31, 2022, net revenue grew from $76.7 million to $98.8 million, a CAGR of 11.9%, and adjusted EBITDA increased from $15.8 million to $24.3 million, a CAGR of 21.0%.

The combination of TriMech and SSG diversifies and expands the platform's customer base and geographic reach. With no geographic overlap between the two businesses and no risk of cannibalization, a significant opportunity exists to cross-sell and develop new products and services across the greatly expanded customer network. Also, the scale and breadth of the combined business's offerings make TriMech an acquiror of choice in North America and Europe. Pro forma for the combination, Application 3D Design Software represented 74% of revenue; Additive Manufacturing Hardware, 13%; Training, Implementation, and Engineering, 9%; Staff Augmentation, 3%; and Advanced Manufacturing Services, 2%.

TriMech operates in the $10 billion global CAD software and 3D manufacturing solutions markets, which are projected to grow 7% annually through 2030. Growth is driven by companies' increasing use of CAD software for product development and more advanced design applications. TriMech has attractive growth opportunities through new offerings such as CAM software, a $2.7 billion market expected to grow at a CAGR of 8.4% to reach $5.5 billion in 2028. The global 3D printing market is estimated to be $14.0 billion and is projected to grow at 21% annually through 2030, driven by shortened product development life cycles, custom manufacturing, and new 3D printing materials that are better than traditional resin.

The combination is an asset-light, non-capital-intensive business that produces excellent free cash flow and a high return on invested capital. With adjusted working capital of negative $1.4 million and net PP&E of $3.7 million, the combination employed $2.4 million of net tangible capital and generated $60.7 million of adjusted EBITDA for the 12-month period ended March 31, 2022, which yielded a robust 2,500%+ return on net invested capital.

Investment Rationale

Sentinel invested in TriMech and SSG based on (i) the combination's leading market position across 3D design software and additive manufacturing products; (ii) favorable industry growth trends; (iii) its highly recurring revenue model; (iv) its expansive and diverse customer base, end markets, and geographies; (v) the opportunity to grow through accretive add-on acquisitions in both North America and Europe; (vi) its attractive free cash flow conversion and high return on invested capital; and (vii) its highly experienced, committed management team and deep bench of employees, who invested meaningfully alongside Sentinel.

Transaction Background

In late 2021, impressed by what we learned during an auction for a TriMech competitor in which we were the cover bidder, Sentinel sought another platform in the engineering software services space. We approached private equity firm The Halifax Group about a proprietary transaction to acquire TriMech, which Halifax had owned for approximately two years. Halifax was receptive, and Sentinel secured and sponsored the transaction. Based on our longstanding relationship with Halifax (we sold them Interim Healthcare in 2012), our experience with services businesses, and our record of helping similar businesses scale rapidly through accretive acquisitions, Halifax chose to roll over $30.0 million of its proceeds alongside the Partnership.

SSG was previously owned by its management and U.K. minority private equity firm and minority investor LDC. We reached an agreement to acquire SSG prior to closing TriMech, in large part because of the relationship TriMech and Sentinel developed with SSG, Sentinel's track record, and our ability to integrate and scale businesses of similar size. Thirteen members of SSG's team invested $18.4 million alongside Sentinel and the TriMech team.

Sentinel acquired TriMech for $430.6 million, or 12.4x trailing 12-month adjusted EBITDA. In addition, a contingent earnout of up to $20.0 million will be paid to Halifax if certain performance hurdles are met. Total funds required at closing, including transaction expenses and purchase price adjustments, were $464.1 million. To finance the transaction, Sentinel secured $165.0 million of senior debt led by Antares, with Maranon, HPS, Manulife, and Varagon participating, and $52.0 million of 10.5% mezzanine debt led by AEA ($17.5 million) and Audax ($17.5 million), with Sentinel Capital Solutions I ($17.0 million) participating on the same terms. At the closing, total net debt to EBITDA was 6.2x, senior net debt to EBITDA was 4.8x, and mezzanine debt to EBITDA was 1.5x.

To complete the TriMech platform transaction, Sentinel led a $235.6 million equity financing, of which the Partnership invested $145.0 million, three Sentinel LPs $39.9 million (AlpInvest $13.3 million, HarbourVest $13.3 million, and Pantheon $13.3 million), Halifax $30.0 million in a rollover, AEA Mezzanine $3.5 million, Audax Mezzanine $3.5 million, Sentinel Capital Solutions I $3.4 million, and TriMech management $10.3 million. Sentinel established a 10.0% time- and performance-based incentive option pool that gives management the opportunity to participate meaningfully in future upside rewards.

Fifteen weeks after the acquisition of TriMech, Sentinel acquired SSG for $208.3 million, a highly accretive 8.6x trailing 12-month adjusted EBITDA multiple. Total funds required at closing, including transaction expenses, closing adjustments, and excess cash, were $248.8 million. To finance the transaction, Sentinel raised an incremental term loan of $115.2 million on the same terms as the original TriMech financing. Antares arranged the financing, with HPS and Bank of Ireland participating. Sentinel also raised an incremental $39.0 million of 10.5% mezzanine debt led by AEA Mezzanine ($11.0 million) and Audax Mezzanine ($25.0 million), with Sentinel Capital Solutions I ($3.0 million) participating on the same terms.

To complete the transaction, Sentinel led a $79.2 million follow-on equity financing, of which the Partnership invested $22.1 million, the three Sentinel LPs $19.5 million (Alpinvest $6.5 million, HarbourVest $6.5 million, and Pantheon $6.5 million), Halifax Partners $6.8 million, AEA Mezzanine $2.9 million, Audax Mezzanine $5.8 million, Sentinel Capital Solutions I $1.4 million, other coinvestors $0.3 million, TriMech management $1.9 million, and SSG management $18.4 million. The follow-on investment brought the total equity investment in TriMech to $315.0 million, of which the Partnership invested $167.1 million.

The combined purchase price of $658.9 million (including a $20.0 million earnout) represented 11.2x trailing 12-month adjusted EBITDA. At the closing, net debt to pro forma adjusted EBITDA was 5.9x; funded senior debt to EBITDA was 4.7x; and mezzanine debt to EBITDA was 1.5x.

Sentinel owns a controlling interest in TriMech and has the right to designate a majority of the board of directors. John McCormack, Scott Perry, and Erika Stanford are directors. Also serving on the board are the current CEO; TriMech's former CEO and chairman; the former CEO of Apex, a highly successful Sentinel V portfolio company; and a representative from Halifax.

Performance

For TriMech, 2022 was highly productive. Besides the transformational SSG acquisition, in July 2022, TriMech acquired Majenta Solutions, a design software solutions business, further solidifying its leading position in the U.K. The purchase price, funded with cash on hand, was $4.8 million, representing a highly accretive 4.0x multiple of Majenta's $1.2 million of EBITDA.

In the nine months after closing, TriMech performed well. Revenue for the base business rose 6.9% from 2021 to $194.8 million, and EBITDA was $35.0 million, up 1.3%. The revenue increase was driven by strong performance across the application software and enterprise software segments, fueled by growth in multi-year contract renewals. Revenue for SSG was $108.9 million, up 1.2% from 2021, and EBITDA was $27.3 million, up 6.1%. Strong performance in SSG's enterprise software drove the gains; absent the British pound's depreciation, revenue would have been up 12.3%, and EBITDA, up 17.0%. EBITDA growth outpaced revenue growth because of lower operating costs. As of December 31, 2022, pro forma for TriMech, SSG, and Majenta, total revenue rose 5.4% year-over-year to $303.6 million, and EBITDA was $62.3 million, up 3.4%. As of December 31, 2022, TriMech's net debt to EBITDA was 5.6x, down from 6.2x at the closing.

TriMech was productive in 2023, completing five acquisitions with a total of $3.4 million of EBITDA and adding new strategic business lines to its U.K. platform. The $17.3 million combined purchase price represented an accretive 5.1x EBITDA multiple. TriMech financed the add-ons with cash on hand and existing revolver capacity. As part of integrating TriMech's U.S. platform with SSG, Sentinel appointed Alan Sampson, the CEO and founder of the U.K. business and a 25-year veteran of the CAD industry, to interim global CEO.

For TriMech, 2023 was slightly below plan. Pro forma for the full-year impact of the five 2023 add-ons, revenue rose 3.4% year-over-year to $324.8 million, while EBITDA was $64.0 million, down 1.1%. Revenue growth was driven by strong performance in enterprise software, additive manufacturing services, and training and consulting in both the U.S. and U.K. The small EBITDA decline was the result of higher operating expenses and contractual changes at supplier SolidWorks that lowered profitability per license sold. SolidWorks implemented these changes to incentivize their channel partners to sell more annual licenses and fewer traditional perpetual licenses. SolidWorks' goal is to evolve its business closer to a SaaS-like revenue model. These changes were expected to modestly suppress TriMech's margins for the next 24 months, but that ultimately, TriMech's lifetime value per customer would increase. As of December 31, 2023, total net debt to EBITDA was 5.7x, up from 5.6x the prior year.

In 2024, TriMech completed two accretive add-ons, strengthening its position in additive manufacturing in the U.K. and product development services in North America. The $11.9 million combined purchase price, which TriMech financed with cash on hand and existing revolver capacity, represented an accretive 5.4x the combined EBITDA of $2.2 million. TriMech also raised an incremental $50.0 million of senior debt through a delayed-draw term loan from its existing lenders to support continued M&A.

Although the business grew through acquisition, TriMech's organic growth in 2024 was below plan. Pro forma for the full-year impact of the two add-ons closed in 2024, revenue was $345.8 million, up 3.0% from 2023, but EBITDA declined 0.5% to $64.4 million. Revenue growth was driven by strong performance in our core application solutions business segment, enterprise solutions, additive manufacturing, and product development, partly offset by the continued shift from perpetual to lower-priced term licenses that we expected. TriMech's EBITDA decline was the result of higher operating expenses and the residual impact of the SolidWorks channel changes implemented in 2023. As of December 31, 2024, total net debt to EBITDA was 5.8x, up from 5.7x the prior year.

In June 2025, TriMech completed a long-planned leadership transition with the appointment of Sebastien Bilodeau as Global CEO, succeeding Alan Sampson, who moved to a board-only role. Sebastien brings a strong record of leading high-performing technology organizations. Most recently, he served as President of Cerberus Technology Solutions, where he led enterprisewide digital transformation, advanced analytics, and AI initiatives. Earlier in his career, he spent two decades at Synapse Group, ultimately serving as CEO.

TriMech made excellent progress in 2025. It entered the rapidly growing adjacent AVEVA ecosystem through the acquisition of three software resellers. TriMech paid $71.0 million, representing an accretive 6.7x multiple of the add-ons' combined $10.5 million of EBITDA, and financed the transactions with a $70.0 million senior loan from existing lenders. The three add-ons now operate as TriMech Industrial Automation Solutions ("TIAS"). This strategic move diversifies vendor concentration, expands TriMech's total addressable market, and adds experienced management talent in an attractive, growing channel.

TriMech performed well in 2025. Pro forma for the three add-ons, revenue rose 8.8% year-over-year to $462.5 million, and adjusted EBITDA increased 7.6% to $81.4 million. Revenue growth was driven by robust growth in the new TIAS segment and strong performance across core applications solutions. EBITDA growth benefited from cost savings realized through the integration of the add-ons. As of December 31, 2025, total net debt to EBITDA was 5.5x, down from 5.8x the prior year.

Entering 2026, our outlook for TriMech is positive. Investments in management talent and corporate infrastructure position TriMech well for continued growth. As a generator of strong cash flow, TriMech has the capacity to continue executing debt-financed, accretive acquisitions, with one add-on currently under LOI and a robust pipeline of additional targets. In February 2026, TriMech completed another add-on in the AVEVA ecosystem, making TriMech the largest AVEVA reseller in North America. The add-on added $3.5 million of EBITDA at a 9.1x EBITDA multiple.

Investment Information

	SCI VI	SCP VI	SCP VI-A	Total
Date of Initial Investment	March 2022			
Amount of Initial Investment	$2,707,910	$131,992,685	$10,299,405	$145,000,000
Date of Follow-on Investment	June 2022			
Amount of Follow-on Investment	$413,154	$20,138,516	$1,571,411	$22,123,081
Monitoring Role	Active – Majority Control of Board of Directors			
% Ownership	0.9%	42.5%	3.3%	46.6%

12/31/2025 Holdings/Valuation

		Cost		Estimated Value	
	Principal Amount or # of Shares	Average per Share	Total	Average per Share	Total
Sentinel Capital Partners VI, L.P.					
Class A Units	131,992,685	$1.00	$131,992,685	$1.39	$183,946,784
Class B Units	20,138,516	$1.00	$20,138,516	$1.39	$28,065,307
Sentinel Capital Partners VI-A, L.P.					
Class A Units	10,299,405	$1.00	$10,299,405	$1.39	$14,353,389
Class B Units	1,571,411	$1.00	$1,571,411	$1.39	$2,189,939

		Cost		Estimated Value	
	Principal Amount or # of Shares	Average per Share	Total	Average per Share	Total
Sentinel Capital Investors VI, L.P.					
Class A Units	2,707,910	$1.00	$2,707,910	$1.39	$3,773,779
Class B Units	413,154	$1.00	$413,154	$1.39	$575,777

Financial Information (000's)

	Year Ending December 31,				
	2021	2022	2023[1]	2024[1]	2025[1]
Net Revenue	$288,009	$303,646	$324,843	$345,799	$462,490
Adjusted EBITDA	$59,163	$62,277	$63,969	$64,374	$81,357

Balance Sheet as of December 31, 2025			
Assets		Liabilities	
Current Assets	$175,094	Current Liabilities	$123,116
PP&E, net	12,723	Long-Term Debt	472,227
Other Assets	383,128	Other Liabilities	30,660
		Stockholders' Equity	(55,057)
Total Assets	$570,945	Total Liabilities and Equity	$570,945

Valuation Rationale

TriMech performed well in 2025. As of December 31, 2025, we are valuing TriMech at the same 11.2x EBITDA multiple we paid for the combined U.S. and U.K. platforms, unchanged from the prior year. After adjusting for net debt outstanding as of December 31, 2025, the value of the Partnership's Class A units is $1.39 per share and Class B units is $1.39 per share. The total value of the Partnership's holdings as of December 31, 2025 is therefore $232.9 million, or 1.4x cost, up 30.9% from the prior year.

[1] Pro forma for the full-year impact of add-ons acquired in the year.

TriMech Acquisition Corp.
12/31/25
($000, except per-share calculations)

	Valuation - Fair Value			
	SCP VI	SCP VI-A	SCI VI	Total
Trailing 12 Month Revenue	$462,490	$462,490	$462,490	$462,490
Trailing 12 Month Adjusted EBITDA	$81,357	$81,357	$81,357	$81,357
Valuation Multiple	**11.2x**	**11.2x**	**11.2x**	**11.2x**
Enterprise Value	$908,314	$908,314	$908,314	$908,314
Less Senior Debt	(381,227)	(381,227)	(381,227)	(381,227)
Less Mezzanine Debt	(91,000)	(91,000)	(91,000)	(91,000)
Less: Earnout Obligation	-	-	-	-
Plus Cash	27,605	27,605	27,605	27,605
Subtotal	(444,622)	(444,622)	(444,622)	(444,622)
Gross Equity Value	$463,692	$463,692	$463,692	$463,692
Less Class A Redemption Value	($233,100)	($233,100)	($233,100)	($233,100)
Less Class B Redemption Value	($91,070)	($91,070)	($91,070)	($91,070)
Less AVEVA Equity Dilution	($5,370)	($5,370)	($5,370)	($5,370)
Total Remaining Value	$134,153	$134,153	$134,153	$134,153
# Class A Outstanding	233,100,000	233,100,000	233,100,000	233,100,000
# Class B Outstanding	91,069,639	91,069,639	91,069,639	91,069,639
# Class C Outstanding	16,654,144	16,654,144	16,654,144	16,654,144
Class A Ownership	68.39%	68.39%	68.39%	68.39%
Class B Ownership	26.72%	26.72%	26.72%	26.72%
Class C Ownership	4.89%	4.89%	4.89%	4.89%
Value per Class A Unit	$1.39	$1.39	$1.39	$1.39
Value per Class B Unit	$1.39	$1.39	$1.39	$1.39
Value per Class C Unit	$0.39	$0.39	$0.39	$0.39
SCP VI Investment Valuation				
# Class A Units owned by SCP VI	131,992,685	10,299,405	2,707,910	145,000,000
# Class B Units owned by SCP VI	20,138,516	1,571,411	413,154	22,123,081
Value of SCP Class A Units	$183,946.784	$14,353.389	$3,773.779	$202,074
Value of SCP Class B Units	$28,065.307	$2,189.939	$575.777	$30,831
Value of Investment	**$212,012**	**$16,543**	**$4,350**	**$232,905**
Cost of SCP VI's Investment	$152,131	$11,871	$3,121	$167,123
Times Original Investment SCP VI	1.4x	1.4x	1.4x	1.4x